United Breweries Ltd. (UBL)

Conference call transcripts, oldest-first. 10 call(s). Generated 2026-06-08.

Call: May 2023

May 10, 2023

1. Department of Corporate Services, 2. Department of Corporate Services,
BSE Limited, National Stock Exchange of India Ltd.,
Floor 25, P J Towers, Exchange Plaza, Bandra Kurla Complex,
Dalal Street, Bandra (East),
Mumbai - 400 001 Mumbai – 400 051
Scrip Code: 532478 Scrip Code: UBL

Subject: Submission of written Transcript of Earning Conference Call pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir /Madam ,

Pursuant to Regulation 30 read with clause 15(B) of Para -A of Pa rt-A of Schedule III to the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find attach herew ith copy of Writ ten transcript of Quarter 4 FY2022 -23 Financial Results Earnings conference call held on Friday, May 05, 2023 @ 04.00 p.m. IST, by way of conference call with Investors and analyst, hosted by Investec India , to discuss on the Investor Presentation of the Company on Quarter and Year ended March 31, 2023.

Kindly take the same on record.

Yours faithfully,
For UNITED BREWERIES LIMITED

AMIT KHERA
Head Company Secretary and Compliance Officer

Encl: As above.
Amit
KheraDigitally signed
by Amit Khera Date: 2023.05.10 15:32:33 +05'30'

“United Breweries Limited
Q4 FY202 3 Earnings Conference Call ”

May 05, 2023

ANALYST : MR. HARIT KAPOOR – INVESTEC CAPITAL SERVICES INDIA PRIVATE LIMITED

MANAGEMENT : MR. RADOVAN SIKORSKY – DIRECTOR & CHIEF FINANCIAL OFFICER – UNITED BREWERIES LIMITED

 Moderator: Ladies and gentlemen, good day and welcome to United Breweries Limited Q4 FY2023 Earnings Conference Call hosted by I nvestec Capital Service s. As a remin der, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by p ressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Harit Kapoor from Invest ec Capital . Thank you and over to you Mr. Kapoor !
Harit Kapoor : Thank you Andrew . On behalf of Invest ec Capital Serv ices, I would like to welcome all the participants to the call as well as would like to thank the United Breweries management for giving us this opportunity to host the Q4 FY2023 earnings call for United Breweries. F rom the management a t Unite d Breweries, we have Mr. Radovan Sikorsk y, Director and CFO as well as Mr. Robin Achten who is part of business control and investor relations . I will now hand over the call to Radovan for his opening comments , post which will take Q&A so over to your Radovan.
Radov an Sikorsky: Good afternoon everyone on the call and thank you for joining. Today , we will discuss Q4 and full year 2023 results of UBL and I am here together with Robin and after the opening comments on our results , we are of co urse happy to take your que stions .
I will start with the highlights of Q4 volume growth of around 3% in the quarter driven by Telangana, West Bengal, Uttar Pradesh, and Rajasthan. We faced some route to market headwinds during Q4 as well and the volume gr owth excluding some of that was around 17% for the quarter. T he premium segments again recorded growth ahead of the total portfolio , which is nice to see , going around 19 % in the quarter driven by Heineken . Kingfisher, Ultra and Ultra Max , which were all nice to see. Ne t sales were up in the region of 3.5% with healthy pricing of around 5%

with some of the positive premiumization coming through in net sales as well , but quite a bit of states Inaudible (2:33) again by the negative state mix. N ow price increa ses have been taken across multiple states and we have a continued commitment in driving revenue management activities, and we are putting much more effort behind that and we see some fruits coming out of that going forward as well as . Gross margin u nder pressure as I h ad said befor e for Q4 that it would come and that is really coming through the cost of sales , for barley , and the packaging materials. T he decline versus Q3, we spoke that pressure would continue and was slightly more , but that was prim arily also because o f the state mix affect, so the state m ix affect was slightly higher than we thought and therefore a slight decline in the GP margin.

 On the EBIT margins , mainly driven by that gross margin and that was the key drive on th at one. In terms of highlights for the full yea r, fantastic 31 % growth showing that category really coming back and actually March 2023 year end was the highest volumes we had sold in terms of if you look back historically , which is great to see . The premium segment g rew close to 60% strong net sales growth as well supported by the pricing and that of course impacted by the negative state mix. There were the margin decline s for the full year again. I do not need to repeat the inflationary pressure , but we also of cours e got some fixed cos t leverage in that so that mitigated some of that negative impact . From the board meeting, the board proposed the dividends of Rs.7.5 per share and although that amount is slightly lower than last year , last year we had quite high cash positions but still it is quite a bit higher than in previous years and that really shows our commitment to shareholders that we really believe in the long -term categories of this business and the resilience of our business going forward , so that is nice t o see .
In terms of the final the outlook , nothing reall y changes from that perspective. We believe in further building category growth , driving premium throug h our portfolio, high Heineken silver, and Kingfisher Ultra family , so we will continue on th at journey. I n terms of the inflation ary pressure on our cost price well that will continue in the near term like I have mentioned , but we see some life at the end of the tunnel as we get to the back end of the year as well and we will continue with our revenu e management initiat ives and of c ourse have really a cos t mindset in terms of managing our cost base , so overall remain optimistic on the long -term gr owth potential of this industry, increasing disposable income, favorable demographics and premium ization . With that, I would conclude, and we can move to Q&A .
Moderator : Thank you . We will now begin the question -and-answer session . Ladies and gentlemen, we

will wait for a moment while the question queue assembles. The first question comes from the line of Latika Chopra from JP Mo rgan. Please go ahead .

Latika Chopra : Thanks for the opportunity . My first question was on the demand front as we exited the quarter 17% volume growth ex-Tamil Nadu , but it seems growth rates were fairly healthy but as we exited the q uarter did you sense a ny adverse impact from unseasonal rainfall as lot of other consumer companies were calling this out and do you see that as a risk for the summer quarter , which is the current quarter ?

Radovan Sikorsky : Moving into Q1 of this year ?

Latika Chopra : Yes.

 Radov an Sikorsky : The weather has been having an impact particularly in the north definitely and we see that . It is putting some pressure on what we are seeing in some of the volumes that consensus is there for sure .

Latika Chopra : T

he se cond part was other th an the weathe r impact , underlying consumer spending behavior fairly healthy in your view and how has market share progress ed for United Breweries including or excluding the Tamil Nadu piece ?

Radovan Sikorsky : In terms of consumers , we are not seeing any im pact.. We are still confident of the category and we are seeing the strong premiumization as well , so we are seeing the disposable incomes must be playing a role there as well , so at that moment I feel that I do not see rea lly any issue in that respect. I n terms of your question on market share , yes, we have come under a bit of pressure in our market share excluding Tamil Nadu , so we have lost low single digit shares , but again you probably know even better than me , how vola tile these marke t shares can be across the different states also depending on supply from interstate supply, etc., so I would not put too much reading into that at this point. We needed to look at it from a more longer -term perspective .

Latika Chopra : Sure, and the last qu estion I had was on raw material inflation you said this might remain a headwind in the near term . If I recollect correctly , last time you spoke about the high cost barley inventory probably getting exhausted by Q1 of FY2024 is that the same situati on that is the s core right now and we are increasingly finding that the fresh barley crop in India or the prices seem to be moderating I guess you would be procuring the fresh barley any color or incremental input cos t sensation particularl y for barley and for glass so assuming the state mix remains constant as Q4 , would it be right to say that Q4 was bottoming out of gross margin ?

Radovan Sikorsky : Yes, like you have rightly said , I have mentioned in the last call that Q1 is going to conti nue being diffic ult for us right in terms of mar gins. H opefully , the weather picks up a little bit and there are some green shoots in that in terms of the barley side, but the pressure on margins in Q1 will continue and we should start se eing some benefits flowing through in Q2 as we start incorporating the new barley crops into production and the current status on the barley in the market it is a good crop. Quality is good. S ome issues with moisture as it has been raining quite a bit as y ou rightly said ab out the weather conditions , so it has been raining more in those Northern parts in the Rajasthan area so there is moisture in the barley , but it seems to be that the crops are still good and in terms of pricing it is sort of more or less in line to what we thought that pricing is coming down versus what we had in the past so tha t is good to see .

 Latika Chopra : Sure, thank you so much and wish you the best.

Moderator : Thank you . The next question comes from the line of Nillai Shah from Moon Capital . Please go ahead. The line of Mr. Nillai Shah has been disconnected. I will promote another one that is Jay Doshi from Kotak.

Jay Doshi : Thanks for the opportunity . My apologies , I joined a bit late so if the question has been answered I will go ba ck to the queue. C ould you give so me color on your market share trends in the past ? For a couple of quarters . Have you managed to maintain market share or are you losing market share both in the premium segment as well as mainstream segment that is my firs t question ?

Radova n Sikorsky : Like I said in the previous call , we had come under a bit of pressure in the markets share , very low single digits but again like I mentioned to the previous question , I would not read too much into it . There is volatil ity in market shar e across states when we try and consolidate across the whole of India , so that that is the way we look at it. In terms of premium market share , I believe we are broadly flat in terms of the growth maybe excluding route to mar

ket share ye s it could be around I would say bro adly flat. As you
know it is not that easy to obtain exact market shares but the way we see how we are
growing in the market I would say we are broadly flat in premium .
Jay Doshi : Understood that is helpful and if you have not al ready answered could you giv e us some
color on what is the impact of AP and Telangana lost volumes on a Y-o-Y basis and what is
your strategy for those markets , and if you answered I will look at the transcript later ?
Radovan Sikorsky : I have mentioned in the tr anscript. I said that excluding so me of the route to market
headwinds we had a growth of around 17 % in the quarter . On Tamil Nadu , we are seeing
some positives coming through for summer in terms of volumes as there is shortage of
capacity as well , but we ar e cautious in terms of saying if that will continue , but it looks like
for the next couple of months we see increased demand fo r volumes , which is nice to see.
Whether that will be permanent , I cannot say at this time as we work through improving the
situa tion. We continue with the same route to market model that made using our own sales
force and we stick to that , but there seems to be a bit of positiveness coming out now for the
summer and we will monitor that.
Jay Doshi : Sure. Thank y ou so much . I will go back in the queue.
Moderator : Thank you . The next question comes from the line of Nillai Shah from Moon Capital .
Please go ahead .

 Nillai Shah: Thank you. I hope I am audible. M y question is essentially on the market shares . You gave
a little bit of color o n that , but just thinking about one state on which we get data on a
regular basis , Karnataka , which has generally been a state where you have been very strong
in the past , there has been a significant market share loss out t here. Can you give some
updates as to what r eally is happening in that particular state for you ?
Radovan Sikorsky : In Karnataka yes , we have lost some market share to be honest . What we are seeing in
terms of the growth is the economy segment particu larly driven by power cool . We have
also introduced the brand Bullet in that segment , but we are we are careful of driving that
volum e growth , because we feel that is no t good for the Inaudible (16:53) category s o we
had lost some share there , but we are going to work our way through it. In Karnataka as
well as you know the elections are coming through , so there is quite a bit of volatility in the
market of supply , so we have had some maybe a dministrative issues around dispatching that
has complicated things a bit . next week as you know , it is going to be a bit more difficult so
hopefully as we get through that and we can get back on track again .
Nilla i Shah: Okay and then the secon d question e ssentially is on this part that we have been trying to
focus on the premium segment , which obviously is good from a Heineken perspective and
good for UBL from a long -term perspective . In the near term , how do you balance the
volume growth vers us what your aspirations are from a long -term perspective for the
premium portfolio , which is to say that when your sales force is going through to the
outlets , how are they incentivi zed to drive volumes versus mix versus jus t overall growth
for the busine ss?
Radovan Sikorsky : I am not going to go now into details of the sales incentive schemes , but of course it is a
combination of the two. T he pull from the consumer and the p ush that we give. We are
doing intensifies sales to focus on premium as w ell, but imp ortantly not to take the eyes of
Kingfisher , which is the bread and butter of our business still , so it is the right balancing act
I would say ; in managing that by trying to build the brands through digital and through
media respect ing the regu latory envir onments. . We see nice trac

tion coming through
actually for the Heineken Silver Brand and that is how we do it and it needs t o be a game of
patience , that is key for u s. In takes a long time to buil d a brand . If you look at what
Heineken has done in markets like Brazil it has taken many years , but we can see that at the
end of the day there is huge opportunity for it.
Nillai Sha h: Got it that is clear. J ust one small bi t on the input cost bit, which you spoke ab out to the
earlier question , given that the volumes arguably are lower than what we would have
envisaged as we went into the season period and now we have certain issues w ith the
weather conditions so the volumes of next quarter are also slight ly uncertain at this point in

 time, would it then be fair to say that the barley which you have procured will probably go
through till the end of 2Q given the lower than expected volu mes that you have witnessed ?
Radovan Sikor sky: That is a good question. Of course , I am also grappling with that so I am still confident that
we will continue to have good volumes , but to your point of if we have muted volumes
going into the next couple of quarters , which hopefully will not be the case then that would
be an imp act 100 %. I cannot deny that. T hat would impact , yes.
Nillai Shah: Got it. T hank you very much for the time.

Moderator : Thank you . The next question comes from the line of Krishnan Samba Moorthy from Nirmal Bang . Please go ahe ad.
Krishnan S: Radovan , when y ou mentioned that gross margin pressures are likely to persist in Q1 , were you talking about both material co st pressures as well as state mix being unfavorable ?
Radovan Sikorsky : Yes, I mean this state mix is difficult to forecast was also a bit stronger in Q4 than we expected . It could continue not to the same extent potentially. What we are doing how ever is ensuring through revenue management activities is to try and get more pricing also in those states that have an impact on state mix , so that is key focus for us so we are looking at other states and where we could potentially take p rice as well that will help us in that respect .
Krishnan S: How many months of barl ey did you have inventory , did you have at the end of March and how much do you have currently , would you be able to share th at data given that you will be typically procure d barley for the seven to eight months of the year during the season ?
Radovan Sikor sky: We had quantities higher t han what we had in March 2022 and the reason behind it was that we needed to be slightly more conservative as we moved into 2022 and the back end because if you recall very well the barley crop was not good in 2022 and at the same time volumes wer e coming way above ex pectations. L ike I said at the beginning of the call if you look at the full year volumes , it was a record year for us which is fa ntastic also for the category and when we saw that coming through as we were progre ssing through the year , we made the ca ll that we need to procure more. At that stage , there was also the pressure around Ukraine and barley crops combinations of the volatil ity and therefore there was a more conservative outlook on that, so our crops are hi gher. H ow much more I cannot quite quote th at really to you at this point , but ye s that is basically the background to that.
 Krishnan S: Okay and have you been supplementing your inventory significantly over the last month or so?
Radovan Sikorsky : Have we been , sorry what.
Krishnan S: Increasing yo ur barley inventory?
Radovan Sikorsky : We now are working to get the new crop in , so we have already started purchasing new crops and we are in the markets and we are sourcing so that is happening yes , but of cour se we still have the old c rop.
Krishnan S: Okay just on

e more question on the other component of your raw materials ; while Q1 the highest proportion of markets would still m ean that any adverse effect from a sequential perspective your bottling cost can co me down do you see bottling cos t being high for a few months and therefore a risk to your Q2 numbers and beyond as well or do we see some kind of reproduction there ?
Radovan Sikorsky : Yes the pressure on the bottling is two way in pricing so we still see in our Q1 bottling pricing is wi ll be an imp act and even into Q2 on the bottle . It is more the barley that I see improvement coming through , but on the bottle the pressure is still there because of the supply in the market but we are working through that with our large suppliers, and we know we are much more looking now into the medium -to-longer term that we are in much better position.
Krishnan S: Would you be in a position to guide ; sorry ?
Radovan Sikorsky : On top of that I mentioned to those in my previous call is that a lot of focus on us on the returnability of the bottles to get that returnability improvements so that is what the team working on. It is not an easy process right , because it is a complex infrastructure of bottle collection through the d ifferent S 1, S2 and S3 sort of layers that we operate through but there is more that can be done there and that of course helps a lot, and it is also great for sustainability. It has got a double impact for us and double positive impact s, but some of these things just take a lit tle bit of time. It needs structure. It needs thinking through that we see opportunities there as well .
Krishnan S: Okay and would you be able to be in a position to guide as to when do you expect bottling cost to come down Q2 or Q3 realistical ly?
 Radovan Sikorsky : It is a little bit d ifficult for me to say that now in terms of bottles , I still see the pressure contin uing there on the bottles. We are going to get more the benefit of the barley than the bottles at this point in time. On the bottles it is more about being effective in terms of bottle returns that is what we need to a lso focus on .
Krishnan S: Okay , just on a follow -up on that typically if I am correct the market bottle proportion would be about 70 % to 75 % but f rom a four- or five -year perspective what do you expect that number to be ?

Radovan Sikorsky : We want to improve on where we are and how we came out of COVID and there has been some improvem ent already, but I am still not happy with it . I still want the teams to work more on that, to focus on that an d for me it is yes generating profit through efficiencies , but also the sustainability agenda for us.
Krishnan S: Understood. Tha nks a lot.
Moderator : Thank you . The next question comes from the line of Ajay Thakur from Anand Rathi . Please go ahead .
Ajay Thakur: Thanks for taking my question. I just want to understand on the competitive intensity given the fact that when the new pla yers are kin d of seeing increasing share or increasing revenue , which is much faster than our growth rates can we expect that in the medium term our market share could be at the threat from the current levels ?
Radovan Sikorsk y: If our market share will be , sorry.
Ajay Thakur: Our market share will be under threat in the medium term from our curren t levels given the competitive intensity rising from the new er players ?
Radovan Sikorsky : No, I mean look Kingfisher has a very stro ng brand presence in India and our premium ization strategy is also going in the right direction. C ompetition is healthy in I ndia and as we have always said there is a lot of opportunity for category growth . We just need to focus on doing the right things , in opening up new occasions for the brand K ingfisher and for our premium portfolio and if we do the right things we can keep ou

r market share or grow our market share actually in certain st ates and particu larly premium because w here we feel we are under indexed so that would be nice to se e and that i s our focus to bring up premium market share .

 Ajay Thakur: Secondly , I wanted to understand what would be the mix of bottles and barley for us in terms of the raw material cost and if I were to look at in t erms of the correction in the barley cost will we get the benefit of the whole of the correction in the barley c ost whenever we exhaust our current inventory ?
Radovan Sikorsky : Yes, we will get the full benefits when we exhaust the full inventory of barley . That is definitely the case and hopefully we c an exhaust i t as quickly as possible to be honest right . In terms of the mix cost and I have given quite a lot of information already on that from the previous question , so in terms of the bo ttle strategy and barley pricing, so you could pic k that up from the transcript as well , we have cover ed there.
Ajay Thakur: Okay thanks for the same.
Moderator : Thank you . The next question comes from the line of Chinmay Gander from Canara HSBC Life Insur ance. Please go ahead .
Chinmay Gander : Thank you f or taking my question. Just on the gross margins so you mentioned that largely it is attributed to state mix especially the Q -o-Q the sequential decline so can you help us understand like which are these states which would have resulted into a negative imp act with respect to the statements ?
Radovan Sikorsky : You are meaning Q4 ?
Chinmay Gander : From Q3 to Q4?
Radovan Sikorsky : We are getting really getting strong volume growths out of states like Telangana an d Rajasthan was also strong . The back end of March there was some weather impact already starting . Those states in the North and Telangana has some impact on the s tate mix, so the growth exceeded what we thought a bit ye s.
Chinmay Gander : You also mention ed that basically you are trying for a price incre ase in these states , which have impacted you negativ ely so have you got any heights in any of these states recently and what kind of quantum heights do we require over here ?
Radovan Sikorsky : We got some ni ce price increases in Rajasthan in Mar ch. It was a double -digit growth price increase coming through there and we are looking at opportunities also in some of the other states I mentioned .

 Chinmay Gander : You also men tioned Telangana ; we would have obviou sly filed fo r the price increase so is there a set time lines in whether we will get a response either we will get it or not get it and how is that?
Radovan Sikorsky : I am really sorry. I did not understand the questio n.
Chinmay Gander : In Telangana , we wo uld hav e also filed for price increases . Is there a set timeline , which the state has put stay in one month, two months or in certain time period we will get a notification whether we get it, or we do not get it ?
Radova n Sikorsky : While we are in the proces s of discuss ions on that one , so we are hopeful to get that pric e increase also in Telangana. our case is quite clear of why we want these price increases due

to the strong inflationary pressure our business . The offic ials understand our views. We are really open in these discussions , so hopefully we can get it . They n eed to do their work to understand this proposal and we are really pushing for it and that would be very nice if we could get tha t through.

Chinmay Gander : Lastly my question is on Tamil Na du. Because of the change in the route to m arket , we have lost our presence over there so do we have a target or a guidance or a path where you plan to say recover at least say 50% to 60% of the market whi ch we lost can you help us on that?

Radovan Sikors ky: On the previous calls we

mentione d we changed the route to market to operate with our own sales, etc., and like I said at the beginning of the call we see some positives coming through now going into the su mmer season , coming through for May and June , but I want to be cautious on that in terms of if this is for the longer term or not but it is nice to see that is happening and we can see also some excitement a t the brewery that this is happening b ut I am just cautiou s of i f this i s the long term , but we continue doing our efforts to try and to try and get the volumes but let us see.

Chinmay Gander : Ambitiously , I mean should we expect at least a 50 % kind of a r ecovery in that market in terms of the lost volume s say in a year's time or that we are too aggressive, or I mean can you just broadly help us on that ?

Radovan Sikorsky : I am cautious at the moment. We are doing what we can . There are some positives coming through for the next couple of months , but I cannot really s ay at this time .

Chinmay Gander : Thank you .

 Moderator : Thank you . The next question comes from the line of Chanchal from Birla. Please go ahead .

Chanchal: Thank you for the opportunity. Just firstly the Rishi has been released from today so in terms of management change new CEO , can you talk anything about it ?

Radovan Sikorsky : Yes this announce ment has been a few months back. A s you know he decided to try to do something dif ferent . In terms of the CEO search , we are in the process. We are a lot closer so that is good news . Hopefully , we can come to the conclusion of that in th e near term and that is basically what I know at t his stag e so much closer to the decision as we work through that

Chanchal: Near term would be two to three months , I assume ?

Radovan Sikorsky : Well hopefu lly, even sooner than that but two to three months , let us see. I cannot really give at this point in time yes. I should know over the next few weeks a bit more .

Chanchal: Sure. The second question is how big was Tami l Nadu for us in terms of million case s if you can help us understand ?

Radovan Sikorsky : We have discussed this. It was sort of high single digits in terms of volume s Sure I mean yes it has an impact .

Chanchal: I am just ask ing to say two three years back , if I ass ume three ye ars bac k how big was Tamil Nadu or as how big is Tamil Nadu in terms of bigger market rough numbers if you can help us understand ?

Radovan Sikorsky : Well, it was around 7% to 8% of our total volume so you ca n just figure it out .

Chanchal: Sure 7% to 8% of t otal vo lume? Thirdly in terms of operating profit per case do you internally look at operating profit per case state wise or how does your profit and P&L account work ; because each state profitability is mi xed and you have called out couple of quarters tha t becau se of the state mix your profit is not superior , so do you look at operating profit per case on various state internally ?

Radovan Sikorsky : Yes, we do . Internally , when we go into more details as a b usiness we do . We look at India of cou rse as a tot al and also we split this alcohol and soft drinks in our segments , but we also for internal purposes of course we look at per case per state as well per brand per SKU as well, small bottle , large bottle, can, etc.,

 Chanchal: Interesting , and what is the cutoff of operating profit per case that below that operating profit per case will not operate in a state or it is not good to operate in a state or you will focus on volume only ?

Radova n Sikorsky : No, definitely not just focus on volume , so not at all. You know well that certain states are more profitable than others , but we are a scale business. Kingfisher is a national brand. It is the multi national beer brand in India. We want to

keep it that way , but we have to make the right calls and do the right revenue management activities , so that we can grow profitability in the states that there is lower profits over time and that is why like I said in terms o f the

state mix where we have some neg ative impact s we try and focus our revenue management activities also around there o f how we can extract value. Of course, we are in a difficult pricing environment in some states but as we work through it and we have t he discussions around it and we show t hat w e have inflationary pressure we can have a good conversation around it and try and drive price.
Chanchal: Let me ask you again? I am just trying to decip her do you have a benchmark operating profit p er case , which you can share with us which you look at or it is an operating margin ? How do you look at the state wise?
Radovan Sikorsky : I am not going to share these types of details in terms of her per case, etc., and so we have that information, but that information is internal, and we cannot share ext ernal ly.
Chanchal: Sure, thank you. I wish you all the best. T hank you .
Moderator : Thank you . The next question comes from the line of Aakash Goel from Tara Capital Partners . Please go ahead .
Aakash Goel: Good afternoon . We have heard about the operating en viron ment an d the scenario and the possibilities of how the operating metrics would pan out maybe , but just to get a sense on some of the strategic initiatives or I mean how are you planning out what kind of some color on the strategy that you are taking t o kin d of co me back or maybe improve in terms of the overall performance and something some color on that would be very really helpful ?
Radovan Sikorsky : You mean overall .
Aakash Goel: Yes, from a broader perspective ?
Radovan Sikorsky : Well, our strategy re ally has not changed to what we have been saying . For us , we continue on with on the same track in terms of category penetration and playing our role as the
 market leader to grow the category in a responsible manner a nd that is important for us that there is a lot of opportunity to grow it in a responsible manner to premiumize , to look at more occa sions in all the segments , we are now looking much more and more on innovation ,to build an innovation funnel and to take more risk wit h the innovation a s well so that that continues. We look at our footprints in terms of where we have our breweries. We have got a healthy footprint that we can also improve on it in different areas so that we can serve the markets better. We look at also o ur SKU performance , bottles, cans and what is the consumer looking for so that is overall how we continue to look at the total category , and as the leader we take responsibility of that as well to do it in the right way and to also ensure that we look at o ur sus tainability agenda in the right way as well , which is very important for us and the planet .
Aakash Goel: Got it. That is helpful and in terms of the premiumization that you are talking about how are you looking to take that premiumization mix highe r what ar e you I mean going to do to promote that or something from maybe Heineken perspective as well so ?
Radovan Sikorsky : With Heineken , we are really focused on certain states that is important for us . It is really focusing on certain states and to grow and e xpand the brand step by step, so it is not an all-out India launch because then we are not focused, and it is not good for the brand so that is the approach . It is also important for us that we manage the profitability, so we try in the place wh ere we grow Heineken that we have the right footprints and the production for the brand, so we work through those things as well . In terms of the Kingfisher family with Ultra and Max the same thing , focus ed in states where

we believe t hat there is a lot of opportunity for Ultra and Ultra max, but then sometimes you just do not have the footprint for production there and therefore then the profitability is lower. We are working through this and to really focus on that premium and extract profitability and premium .
Aakash Goel: Got it and lastly just could you give any sense on the possibility of a stake increase from the prom oter side coming through or something like that ?
Radovan Sik orsky : Which type.
Aakash Goel: Promoter's stake; is there a possibility of promoters take increase coming through or something ?
Radovan Sikorsky : I can not actually understand the question .
Aakash Goel: The stake from the promoter in the company ; is there a ny possibili ty for a buyback there or a share increase from the promoter , is what I am asking about any color on that yes?
 Radovan Sikorsky : You mean from the majority shareholders .
Aakash Goel: Yes?
Radovan Siko rsky : Not that I am aware of. There is no plan like that .
Aakash Goel: Thank you.
Moderator : Thank you . The next question comes from the line of Prashant Kothari from Pictet Group .

Please go ahead .
Prashant Kothari: My question was on excise increases ; what are the kind of exercise on an average you have seen in this year and how does compare with what we might have experienced in the last few years any kind of a change in trend ?
Radovan Sikorsky : I do not have information in front of me but as far as I am seein g and what we had discussions nothing r eally that s ignificant to be honest ; that is the way I am seeing any changes in excise policy across different states I have not seen really significant increases in excise now.
Prashant Kothari: Okay that was he lpful . Thank you very much.
Moderator : Thank you. The ne xt question comes from the line of Latika Chopra from JP Morgan . Please go ahead .
Latika Chopra: Thanks again so quick questions. I wanted to check what is the volume and value share of your premium b rands in FY2023?
Radovan Sikorsky : The volum e share we h ave around 21 % to 22% or so ; we do not really track value to be honest .
Latika Chopra: What would comparable number be in say FY2019 or pre -COVID?
Radovan Sikorsky : It was lower. C annot recall now. I am no t sure ; it was around low double digits in terms of market share , but I cannot recall exactly how much that was that we have done pre COVID yes.
Latika Chopra: Alright no worries. The second bit which I wanted to understand was I know we are go ing through this whole steep confrontational period , but just w anted to check on the thought process here as you look to increase the share of these premium brands , should we expect a

 disproportionate increase in brand spen ds and even if you read somewhere normalized gross margin , the operating margin upt ake will be f ar more gradual in your views ; I am talking about next three to four years period and also related question is I understand you talked about managing profitability a couple of times ; are you only looking a t market shares in premium brands ; has that become the key metric for you or you still care about overall market shares , so you are okay to kind of let go of slow margin stake or brand slash brands in those states and kind of look at building m ore of the p remium portfolio ?
Radovan Sikorsky : Okay so I Inaud ible (52:18) with the last questions to that one , so in terms of market share definitely to grow in premium share . In terms of overall market share we do need to balanc e that correctly right . We want to keep the scale t hat we have. We want to ensure that within the mainstream segments Kingfisher does maintain a strong position , but so we do not want to lose sh are in mainstream segments , but as p

rem ium grows it does impac t mainstream depending how fast the total segment grows so there can be some shifts there but we also look as you rightly are looking at ho w much is share in premium. . We definitely do not want t o say Heineken or Kingfisher who has more priority . I want to make that very clear. Kingfisher is a very important brand for us, and it is a fantastic brand and like I have said was that we look at new occasions for the brand as well. We do extensions on the brand ; for me it is and & and approach . to be honest . We are Under indexing premium and focus also on that . Do not lose share on Kingfisher , balanc e it between revenue management, activities and the growth of volume so have that in mind . . But if we lose a couple of percentages here and there we are not going to panic about it right , not at all and sometimes you might lose 1% or 2% share due to revenue management activities and so be it so that sum marizes it.
Latika Chopra: Got it thank s and last q uestion was on capex ; plans for 2024 anything to share here?
Radovan Sikorsky : Our plans f or 2024 are strong. In the region of around to Rs.300 Crores if I recall yes around Rs.300 Crores .
Latika Chopra: All right. Tha nk you so much.
Moderator : Thank you . The next question comes from the line of Harit Kapoo r from Investec . Please go ahead .
Harit Kapoor : Thanks ; I just had two or three questions . One, you had mentioned t hat the ex-operating model changes you had a 17 % growth are you only exiting out Tamil Nadu and Andhra Pradesh ere or are you also exiting out Delhi, etc., which have some disruptions in the last quarter ?

 Radovan Sikorsky : Did you say exiting out.
Harit Ka poor: Are you excluding only Tamil Nadu and Andhra Pradesh when you are saying excluding - operating model changes you had 17% growth or are yo u excluding out any other states as well, which had some dis ruptions in the past like Delhi, etc.?

Radovan Sikorsky : Yes, so in that 17%, also exclude Delhi and we ar e also not operating in Chhattisgarh .
Harit Kapoor: Right , so these four markets are outsi de your purview , which you say 17%?
Radovan Sikorsky : Yes it included them that is also included in the 17 % part; yes Delhi some amount is coming in fact in AP and Chhattisgarh area.
Harit Kapoor: Got it. The second thing was on the price increases, so you have had 5% in Q4, which is obviously over the year you have received. G iven the trend currently what is the kind o f price increase trend on an average th at you belie ve you can have for fiscal year 2024 given the data that you already have in terms of the price hike which you have got or at a weighted average level ?
Radovan Sikorsky : At a weighted average. If we can get more that would be great and as we work through that the revenue managemen t activities are not just around that , but also in terms of any trade schemes, etc., as we try and be more efficient .
Harit Kapoor: Got it and just a clarification in your presentation you had mentioned you had received the ice increase in Telangana will that old price increase you were talking about in the presentation ?
Radovan Sikorsky : Yes that is a spillover yes bec ause Telangana a price increase in 202 2 happened so rt of the back end of 2022 if I recall that is actually spillover into this pa rt of the quarter.
Harit Kapoor: Okay and so the discussions you are having now for fresh price increase or you are trying to push the state for that? That is what you we re trying to say?
Radovan Sikorsky : Yes we are trying to push for a fresh price increa ses driven around the inflationary pressure yes.
Harit Kapoor : Perfect that is it from me. Niranjan , you can the last q uestion and then we can close .
Moderato r: Thank you . The last question comes from the line of Nillai Shah from Moon Capital . Pleas

e
go ah ead.
 Nillai Shah: Thank you for the follow -up. Just two more. F irst of all, on Tamil Nadu when this route to market chan ge did happen ; I remember in our discus sion we were told that the company expects minimal disruption from the Tamil Nadu route to market change . That obviously is not the way it panned out so were you surprised in terms of the how much it impacted our business?
Radovan Sikorsky : I do not believ e we said th at we expect minimum disruption . We actually did not know what it would be. We took th e decision and to change our model where we use d our sales force, etc., and ye s I mean the impact has been larger than expected and therefore we try and work th rough that to try and get our volumes back and like I said summer looks good, but I am very cautious on that anyway.
Nillai Shah: Okay , any possibility of an RTM change in other states especially given that we have a management change which is o n the annual ?
Radovan Sikorsky : At this stage , no. Like I said we continue looking at the state by state and we look at our footprints, our commercial strategy and we are always try ing to improve what we can but no nothing r eally plan at this point.
Nillai Shah: That is helpful and just one last thing. In terms of this pricing that we have got through FY2023 , there would have been a significant shift on-premises versus off -premises mix that happened versus last year given that last year had the COVID impact is some part of the pricing also driven by this mix change or this is just pure pricing?
Radovan Sikorsky : Last year pricing as you know the on-site is quite small actually i n the market like I have always quoted which was, so it is just pricing . There is no way of mixed impact between on and off put it that way.
Nillai Shah: Got it. This is very helpful. Thank you very much and all the very best.
Moderator : Thank you . Ladies a nd gentlemen, we have reached the end o f question -and-answer session. I would now like to hand the conference over to Mr. Harit Ka poor for closing comments.
Harit Kapoor : Thank you. Firstly, on behalf of Investor Capital Services we would like to thank the management team of UBL to give us this opportunity to host the call and we would also like to thank all the participants who spent their time to join this one. I will now hand over to Radovan for his closing comments. Over to you Radovan.
 Radovan Sikorsky : Looking forward , we continue to drive value out of the business in terms of top line, on our revenue management , focus on our Inaudible (62:30) and we remain optimistic on the long-term growth potential of the industry like I said before. I think we can a ll remain positive in that respect and yes I look f orward to our next call. I wish you all a good afternoon and I hope all of you will enjoy Kingfisher over the weekend. Thank you very much.

Moderator: Thank you. On behalf of Investec Capital Services that concludes this confe rence. Thank you f or joining u s. You may now disconnect your lines.
****

Call: Aug 2023

August 04, 2023

1. Department of Corporate Services, 2. Department of Corporate Services,
BSE Limited, National Stock Exchange of India Ltd.,
Floor 25, P J Towers, Exchange Plaza, Bandra Kurla Complex,
Dalal Street, Bandra (East),
Mumbai - 400 001 Mumbai – 400 051
Scrip Code: 532478 Scrip Code: UBL

Subject: Transcript of the Earnings Call for the quarter ended 30th June 2023

Dear Sir/Madam,

This is further to our letter dated 31st July 2023, whereby the Company had submitted the link to the audio recording of the Earning Call held post announcement of Financial Results for the quarter ended 3 0th June 2023.

Pursuant to the Regulation 30(6) read with Para A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015, please find enclosed herewith Transcript of the said earning call, for your information and records.

The transcript of the earnings call is also available on the Company’s website at :
https://www.unitedbreweries.com/pdf/presentations/Transcript%20of%20United%20Breweries%20Limited%20Q1%20FY23 -24%20Earning%20Conference%20Call%20on%20July%2031,%202023.pdf

Kindly take the same on record .

Thanking you, we remain,

Yours faithfully,
For UNITED BREWERIES LIMITED

____
AMIT KHERA
Company Secretary & Compliance Officer

Encl: As above

Amit
KheraDigitally signed by
Amit Khera
Date: 2023.08.04
18:59:54 +05'30'

“United Breweries Limited
Q1 FY ’2 4 Earnings Conference Call ”
July 31 , 202 3

MANAGEMENT : MR. RADOVAN SIKORSKY – DIRECTOR AND CHIEF FINANCIAL OFFICER – UNITED BREWERIES LIMITED
MR. ROBIN ACHTEN – HEAD OF BUSINESS CONTROL AND INVESTOR RELATIONS – UNITED BREWERIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '24 Earnings Conference Call of United Breweries hosted by Investec Cap ital Services. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Harit Kapoor from Investec Capital Services. Thank you and over to you, sir.

Harit Kapoor: Thank you, Jac ob. On behalf of Investec Capital Services, I would like to welcome all the participants and the senior management of United Breweries for the Q1 FY '24 United Breweries post results conference call. From the team at United Breweries, we have Mr. Radovan S ikorsky, Director and CFO; as well as Mr. Robin Achten, Head of Business Control and Investor Relations of the call today.

I'll now hand the call over to Radovan for his initial comments, post which we'll open the queue for Q&A. So over to you, Rado.

Radov an Sikorsky: Thank you. Yes. Good afternoon, everyone, on the call, and thank you for joining us today. I'll give an update on quarter 1 , 2024. Let's start with the highlights. Volumes were down 12% in the quarter, impacted by some route to market challeng es and changes we've done, supply chain challenges and we also had some lower interstate sales.

Excluding the Route -To-Market , our volumes were down around 4%, driven by Telangana and Haryana. In premium, we were down 21%, in the quarter, whereas volumes were flat, excluding the route-to-market changes. We did see some good mid -teens growth for the Kingfisher Ultra Max brand for us and some promising results for Heineken Silver, which we continue to focus on. Silver is now contributing to around 30% of the total Heineken franchise.

Net sales were down around 7%, driven by the volume decline, but then partially offset by healthy pricing coming through. Pricing we've taken across multiple states, which continued with our commitment to drive this and other revenue management initiatives. Gross margin during the quarter was lower as compared to the prior year , which we've been discussing in our previous calls in terms of the inflationary pressure.

But versus quarter 4 of '23, there has been quite a bit of an improvement we were up 196 basis points versus last quarter. EBIT margins contracted slightly vs prior year and improved signi ficantly versus the last quarter, which is nice to see as well.

You can see we've added two additional slides in our presentation, one on the volume progress and the other on the margin trajectory. As you can see in the volume development slide, where we have broken it up into April, May, June. April, May was really a tough period for us in April and May. Particularly, we had quite a bit of challenges in supply chain in Karnataka in terms of getting dispatches out of breweries , but this has improved significantly in June.

Our June volumes were up 44% in Karnataka, which is great to see. And we continue to see this strong volume performance going through into July . So that's good to see. In terms of the margin development slide, you can see we are observing a reversal of the previous downward margin trends.

And as mentioned earlier, our gross margin s improved 196 basis points versus previous quarter. And our EBIT margin also improved versus the previous quarter, which is good to see. So the initiatives and some of the drives in savings in the supply chain are starting to come through as well. In term s of the outlook, so we see a bit of softening of the cost of sales, but I mentioned as well in the press release, the

re is a bit of volatility still, right? So as you all know, there is quite a bit of pressure coming through also on rice into the back end of the quarter.

But generally, we see a bit of a softening. So we for sure see improvement in our gross profit margins -- into the next quarters . We'll continue to focus on growing the category and pushing premium as well going forward. And yes, we remain quite optimistic in terms of going forward over the next quarters that there should be an improvement in our gross profit margin. So that is my short summary, and we can open up to the Q&A.

Moderator: The first question is from the line of Abneesh Roy from Nuvama Institutional Liquidities.
Abneesh Roy: I've got 3 questions. The first question is on Slide 7. So I have seen that there is a good recovery in June versus April in terms of volumes. I wanted to understand in RTM, if you could give more clarity in ex of Karnataka, what are the issues? And Karnataka, is there any pipeline filling? Because in the first two months, there was obviously lower invent ory.
So Karnataka, the good growth coming back in June, is there some bit of one -off also there? So that was my key question that is this impacting also your other competitors? For example, when you saw the minus 22% volume and minus 13% volume in April an d May, would your competitors in those specific states also would have seen such a sharp dip?
Radovan Sikorsky: Okay. So let me start with Karnataka and then we can go to the route to market. So in Karnataka, I think I can say that in April, it was more our own challenges versus the competition that our volumes were down, okay? So we were having some administrative issues to get our dispatches out in April which caused quite a volume decline for us in the month of April, and it flowed into May also due to the elections that were taking place. And we were probably impacted more than our competition, and we did lose share within Karnataka in those months quite a bit because of those 2 reasons.
In May, it's -- in the back end of May it started improving a lot. And in June, like I said, we were up over 40% and that was -- yes, there was pipeline filling into primary . But we also saw our market share go back up again quit e a lot. And we see it continue the good volumes in Karnataka for the month of July. So it's not just about pipeline filling, but it's -- it's really a good recovery in terms of our volumes trying to get back to the place where we were bef ore. So that's on Karnataka.
On the route to market, what we mentioned specifically is the volume decline that we have had, particularly in quarter 1 in Tamil Nadu and Andhra Pradesh and we have seen quite a bit of

improvement, particularly in Tamil N adu as of the back end of May into June, and we continue seeing good volume in July for Tamil Nadu. The other one, of course, is Delhi, where we have lost quite a bit of volumes. And that's generally also -- we see some of our bigger competitors also have lost volumes there. .
Abneesh Roy: Sure. So very quick follow -ups here. You mentioned Karnataka, you are seeing very good recovery in volume, you also said a large part of the market share loss also has been recouped. So my question was on the left over market share loss, when do you see in Karnataka that coming back? And second is some of the other spirits play, not beer, they have really curtailed or exited Tamil Nadu, would you also have some kind of thought process on Tamil Nadu, would you want to continue medium, long term here given the specific issues of the government control, which is much higher than a lot of other states?
Radovan Sikorsky: So like I've mentioned in my previous call, we changed our Route to Market in Tamil Nadu. And we are working on that route to market currently to continue in the current structure that we are in. So far, we've had

volumes recove r quite nicely during the season. Whether those volumes will remain is yet to be seen. But we are working through that as a business to see if it will be sustainable or not.
Abneesh Roy: And on Karnataka?
Radovan Sikorsky: Karnataka, for su re, we are recovering on our market share. We recovered significantly in June for what the losses we had in May. And in July, we are also increasing share. We are still below where we would like to be in terms of market share but it will take a bit of time to get back to the levels we wanted. It takes some time. But we are not far off where we were in the past.
Abneesh Roy: My last question is on the inflation. So already 196 bps driven by quarter -on-quarter if you could tell us on barley, malt and glass. How is the situation in glass? I understand there is a correction in the prices. But if you could take us through how do you see in Q2 and H2 in terms of glass and barley, malt?
Radovan Sikorsky: So like I said, the barley pricing has been good. The new crops have come in at good prices. So we see softening coming through there, and we see that coming through into quarter 2 and quarter 3 also into our cost of sales. On the glass, it's a bit less so ., 'till the end of the year, we sort of see not that much softening if any. But going into 2024, potentially, there could be some in terms of -- some of the main commodity prices related to glass production start coming down a bit. The issue, of course, is that there is limited capacity in the market for glass. So that tends to play against that in terms of demand and supply. So –softening, I see it more on the barley side than on the glass side in terms of softening.
Moderator: The next question is from the line of Latika Chopra from JPMorgan.
Latika Chopra: My first question was on top line momentum. Is it right to assume that route to market changes in the place of Tamil Nadu, Andhra and to some extent, Delhi, you will start getting into the

base from the current quarter and does it imply that the volume growth trajectory will now start
to normalize for you in mid - to high single digits so?

Radovan Sikorsky: Sure. Your vo ice was a little bit unclear on some of the question. Could you just repeat that again once more slowly, please?
Latika Chopra: Okay. So my question was on volume growth momentum. Is it right to assume that route to market is in all of the states that you've seen will start getting into the base from the September quarter, which is the current quarter the base will be a lot more normalized, hence, volume growth is average should also move to normalized levels for you?
Radovan Sikorsky: Yes. So some of it should be end of quarter 3. So around November, December, we should see that we start cycling some of the impacts of route to market in 2022. That's correct. Yes. That's true.
Latika Chopra: Sure. And the second question that I had was on you talked about supply sub stream in Telangana and perhaps even in Haryana, what are doing to address the capacity constraints?
Radovan Sikorsky: Okay. So on Telangana, 2 things. What happened is we did not manage to get permission to do Sunday shifts or they were cancelled for a couple of months in Telangana. And because with the Sunday shifts were cancelled , that gave us capacity constraints in Te langana. But we are working through that going into 2024 that there will not be such a recurrence of this. So that we should get through that. The other thing that we have been doing, and I've mentioned it also in my summary is lower interstate sales, righ t? So that means sales between different states. You need to get at various permissions, but also you need to pay certain export fees to transport between states. When we looked at the profitability of some of these interstate sales that we were doing, rig ht, they were negative in net c

ontribution for us.
And we said that we made a call on that, that we will not continue some of these unless it's from a strategic angle, for example, premium, we would not do this interstate sales at loss -making numbers. And therefore, some of our volume decline has been due to these type of things. And that also includes Telangana, where we didn't push volumes into Telangana when we had some capacity constraints.
Latika Chopra: Does it mean that -- do you need to do more capex to ensure that our capacity constraints are fixed or you think tying up with contract breweries could solve this ?
Radovan Sikorsky: So we look at our capacity investments across the different states and Telangana is on one of them. I think it's more to drive more efficiencies within the breweries at this point with Telangana, but we also look at potentially future capacity based on the growth there. But if we can get some of these administrative issues li ke having Sunday shift, and these things sorted out, then we can cover some of these peaks.
Latika Chopra: All right. And for Haryana, also it's correct to assume there were similar issues or there was something else happening in that state?
Radovan Sikors ky: So in Haryana, we also had some administrative issues in terms of supply and in terms of getting licenses issued for production. And therefore, we had some of the volume decline there as well.

We also have managed now to get permission to export into D elhi, particularly our premium brands like Ultra. So that will also help sales out of Haryana.
Moderator: The next question is from the line of Jay Doshi from Kotak.
Jay Doshi: Could you provide us some update on the CEO appointment, how is the hiring proc ess going on? When can we expect some updates?
Radovan Sikorsky: Yes. So in terms of on the CEO question, so we are much closer in terms of the recruiting process. And we will be able to give much more info to you, sort of in the middle of September, end o f September through the appropriate channels that we disclose this information. So I think mid-September end September, we will have the communication around that.
Jay Doshi: Understood. Second is, when I look at your operating performance, other expenses per case has declined when I compare it with earlier summer peak season, that is pre -pandemic. So is this a structural reduction in cost structure in terms of -- will other expenses per case more or less remain in this range eve n when gross margins recover or will we see a spike in the costs as gross margins recover?
Radovan Sikorsky: So there's a couple of things in this. Some of it is already coming through in terms of the efficiencies that we are driving. Some of it in the ope rating expenses that you see there is also because of lower freight. And that's a combination also of the things we are doing, like I've

mentioned on the interstate transportation. So these are drivers that should stay and help us with margin. And some of it then would be -- there are some volume related that there will be some more increases coming through in cost as our volumes are now improving going into the other quarters.
Jay Doshi: Right. And in terms of your notes to accounts mentioned that you aspi re or your intent is to bring restore the volumes in the states that have been affected by RTM, so I heard your comments on Tamil Nadu and Delhi, I mean, it's sort of anybody's guess. But what is your sort of approach for Andhra Pradesh? Do you expect some recovery in volumes in that rate or that state will sort of remain at current levels?
Radovan Sikorsky: We are expecting some recovery of volumes there as well. Yes.
Jay Doshi: Understood. Between AP and Tamil Nadu, I think in the first quarter when the v olumes were impacted after Heineken's review and decision to change the operating model. If I remember correctly, the volume

impact was high single digit on 9% to 10%, right? So when you are able to normalize these volumes or restore these volumes, what wo uld be salience of AP and Tamil Nadu to your overall volumes? Where do you expect it to settle?
Radovan Sikorsky: It's difficult to say, to be honest. Like I said, I'm quite cautious about Tamil Nadu long term at this point or in the medium term, if I can put it this way. At the moment, our volumes are looking nice in Tamil Nadu. In Andhra Pradesh, we're expecting to grow. I think Andhra Pradesh will not recover to the volumes prior 2019 really because the total market has actually declined also with the closure of some retail outlets, et cetera . But definitely, there will be an improvement there going forward.

So it's -- we remain cautious on Tamil Nadu. We are doing what we believe are the right things in Tamil Nadu and let' s see how it goes. I think we all need to just monitor it as we go along into the next coming months, and then we see. But we're really trying to do and what we can there in the right way.
Jay Doshi: Final bookkeeping question. The recent price increase in Karnataka, what does it mean in terms of increase in the retail price for consumers and increase in realization for you?
Radovan Sikorsky: You mean the excise duty increase, I assume, yes.
Jay Doshi: Correct. Correct. In Karnataka.
Radovan Sikorsky: So in terms of the price increase as such, it's -- it was around -- on the shelf, I think it's doing -- Robin, correct me if I'm wrong, but I think it's around 4%, 5%, right?
Robin Achten: Yes, 3% to 5%.
Radovan Sikorsky: 3% to 5%, yes. So yes, s o that is the impact for us. Spirits were impacted more, as you know. So we are quite bullish that, that should help the category in the medium to longer term.
Jay Doshi: And did you see -- did you manage to get any price increase your net sales realizatio ns are improving or the entire increase on shelf prices will be captured by the government?
Radovan Sikorsky: So we've also done a price increase in Karnataka. So we are getting a better per case realized sales as well in Karnataka.
Jay Doshi: Possible to quantify the magnitude, whether it is low single digit, mid -single digit or better than that?
Robin Achten: The earlier price increase that we did, it was around May . It indeed increased our realization with around m id-single digits. The price increase that was taken in July did only improve our realization to a very limited extent depending on the SKUs, but more important to mention on Karnataka is that the relative pricing of beer did improve now
Moderator: The next question is from the line of Avi Mehta from Macquarie.
Avi Mehta: I just wanted to continue on that Karnataka bit. So the understan ding and just a clarification that the understanding is that despite taking a price hike of about mid -single digit, is still at a consumer level relatively more attractive, beer is more attractive, which should help growth to that extent from a volume pers pective is the way I should kind of look at this. Is that understanding things?
Radovan Sikorsky: That's correct. So this should be more attractive for beer. The way the price increase has gone in terms of the excise. So that is -- that should be good for the category. So we're going to be monitoring that as we're going forward.
Avi Mehta: Okay, sir. And from a market share trend perspective, and if I heard your comments, while the industry growth should normalize from third quarter, as a company should now grow ahead of

the market or continue to see more share and that trend is sustaining in July, which -- and that is what we should expect going forward?
Radovan Sikorsky: That is the aim, yes. We went through some difficult times in April, May. And this is going to happen, rig

ht? I mean, it will be volatile as we change certain things in our strategy and in our approach, there will be a bit of volatility up and down. But we may -- we have to say we remain resilient on these type of things. Some of the calls that we make are profit calls, right? That's not to say that we are going to give up on our market share. Let me put that right.
But we might lose some basis points in market share. And that's okay, that's fine. But we're not going to sell at a loss in ter ms of per case. We will make those calls where we see that if we are not making profits, like I mentioned about the interstate, we will make that call even if it causes us to lose a couple of basis points on market share. But Karnataka is a key state for u s, and we will ensure that we recovered some of the market share declines that we've had over the couple of months. Definitely, that is a big focus area for us.
Avi Mehta: Okay. And sir, the last bit was as we approach the election season state e lections are also due in December, central elections. Anything that you would be worried about for the comment of normalization of volumes? Anything that you would want to highlight? Because Rajasthan, for example, coming up with elections, et cetera, do y ou see that as a concern? Or the other states are not that big an issue as we speak?
Radovan Sikorsky: At this point, we are monitoring that. There can always be some impacts on that. You know that in certain days, you cannot, for example, some of the outl ets are closed, et cetera, like we had in Karnataka, which had some disruptions, particularly if you have a big share in the state that can cause you temporarily some declines. But then like I said, that is temporary. And then if you got your right basics in place, you should get through those.
So on Rajasthan, might be some disruptions, but it's not something we are too concerned about at this point in time.
Moderator: The next question is from the line of Krishnan Sambamoorthy from Niman Institutional Eq uities.
Krishnan S.: Maharashtra seems to have reported positive volume growth. Now this has been a difficult market for about 4 or 5 years. Anything that's changing on the ground?
Radovan Sikorsky: On Maharashtra, yes. So yes. So the category per se has h ad some difficulty. I mean, we still have a strong market share there, which is good. And we see we need to push more premiumization there. We see quite a lot of opportunity around particularly around Mumbai and Pune and these type of areas. But there, I t hink it's important that there is a better playing field in terms of the excise regulation between Spirits and beer.
As you know, the excise on beer is significantly higher than on Spirits, which you don't really see anywhere in the world, okay? And there is something that we are keen on in terms of levelling or making sure the beer category has its right space and being taxed at the appropriate levels going forward.

Krishnan S.: Okay. My second question is on this positive sales mix that you witnessed for this particular quarter. As Telangana, Tamil Nadu, Delhi come back to a more normalized level, would you agree that there could be a reduction in the positive sales mix that you saw in Q1?
Radovan Sikorsky: A reduction of the positive mix as we saw in Q1, you're saying?
Krishnan S.: Yes.
Radovan Sikorsky: There can be some impact but then we also see Karnataka improving as well. It's difficult to estimate at this point. As we've mentioned in the past, it does impact when some of th ese big states grow like in Telangana. I wouldn't like to forecast that at this point in time.
Krishnan S.: Sure. Just one final question. Anything that you can guide in terms of capex for the current year or the next given the constraints that you faced during December quarter this year?
Radovan Sikorsky: Sorry, you mentioned

, is there any constraint on capex ? I didn't fully get that.
Krishnan S.: Any increase in capex that you have in mind given the constraints that you faced in the summer quarter this year?
Radovan Sikorsky: Yes. So we are definitely looking at that in terms of our capex plans already now for going into 2024 because the lead times can be quite a few months. So we will be reviewing of how much capacity we need to expand if needed. And also, you know our relationships with the contract brewers is that there is enough capaci ty in place there as well because we had also quite a bit of struggles in the northeast part of India in terms of capacity and some breakdowns at some of our contract brewers had there and we want to make sure that this doesn't happen going forward.
Krishn an S.: Anything that you can quantify for now in terms of capex for the year, you will get back to it.
Radovan Sikorsky: The capex for 2023, we communicated last time, we are not changing that amount like what we

communicated last time.
Moderator: The next question is from the line of Himanshu Shah from Dolat Capital.
Himanshu Shah: Sir, can you just let us know what would be the share of the RTM market, TN, AP, Delhi in this quarter volumes? And last year, same quarter, what would have been their share in the overall volume?
Robin Achten: So you want to see the salience basically of the RTM states ?
Himanshu Shah: That's right.
Robin Achten: Well, that's lower than 10%
Himanshu Shah: Okay. And what would have been the same number last year?
Robin Achten: Well, I think based on disclosures that you have in our reported numbers , you can triangulate that.

Himanshu Shah: Sure. And can you just let us know what would have been the A&P spend, advertising and promotion as a percentage of revenue, current year and last year?
Robin Achten: Yes. Well, what we can say is that marketing spend basically went down versus last year in the same quarter, and that followed more or less the same trend as the volume drop.
Moderator: The next question is from the line of Prashant Kothari from Pictet.
Prashant Kothari: I had a couple of questions. One was the excise bill for us for this quarter see ms to be kind of growing at 8% versus last year while the volumes have dropped by 12%, which means kind of an increase of 20%. I understand there's a state mix and all of that. But if you could help us with kind of the general maybe like -to-like, what kind of excise increase that you are seeing in the business?
Radovan Sikorsky: Yes. So it is a bit of a state mix impact because you know the excises within the different states didn't really move that much -- of course, in some it did, like for example now in Karnataka, so it's primarily a state mix impact that is happening there. Like -for-like, I wouldn't want to quote exactly how much it is, but it's probably a lot lower like -for-like, and that's due to the state mix.
Prashant Kothari: All right. Okay. And y ou met in a couple of states you have lost market share. Would you be able to give us some idea of the overall market share which the company has now?
Radovan Sikorsky: So we lost market share in India. And like I said, Karnataka was one of th e ones where we've lost share and of course, in the routine markets day that we mentioned, the likes of Tamil Nadu and Delhi and the states we lost share. Yes, I think that is about a good summary of it. I don't know if anything else on that one, Robin, I think those are the main impacts really.
Robin Achten: Yes, exactly. And good to highlight that excluding the RTM change, the market share decline was really only in the low single digits that we went down and despite some market share headwinds in a state like Karnataka, we also see some very positive market share development in other important states for us, like UP and Rajas

than.
Prashant Kothari: So how much is the overall market share we have in the market after all these? Obviously , there are different states having different shares. But overall basis on pan -India level, what's our market share?
Robin Achten : Well, that should be around 50%, excluding the RTM states.
Prashant Kothari: Understood. And a couple of stat es like Haryana and also maybe better Karnataka. Can you mention some of the administrative issues kind of impacting our performance. I mean is there some execution issue that we need to kind of smoothen out the business? I mean, if you can expand on that, what are the steps being taken, so that headwind type of issues don't really impact our business performance?
Moderator: Ladies and gentlemen, we have lost the line for the management. So request you to stay on hold until we get the management reconnected. Ladies and gentlemen, thank you for being on hold.

We have the line for the management reconnected now. Mr. Kothari, you may proceed with your question. Thank you.
Prashant Kothari: Sorry, I'm not sure when you dropped out, but the question wa s but in some of the states, administrative issues are kind of impacting our performance. Can you just expand on what is the problem? And is there any kind of internal execution that we need to see k a nought, so that these issues don't impact us in the future? That could be very useful.
Radovan Sikorsky: So I guess you're referring to some of the dispatch issues that we were having, particularly in April and May in Karnataka. Yes?
Prashant Kothari: And also in Haryana, you mentioned some administrative issues.

Radovan Sikorsky: In Haryana as well, yes. Well, I think we've we fix what needs to be fixed in Karnataka at this point in time. So hopefully, that should be positive going forward. And in Haryana, we see m now to be also on the right track there as well. So that should be fine as well. But with Haryana, it could be that we still run into some things in terms of some of the approvals that we need. But we work through those as they come. But for me, primaril y Karnataka.
Karnataka is for us a key that has been fixed and the volumes are looking good going forward.
Prashant Kothari: Okay. And just the last question is on the non-alcoholic beverages, where the revenues for this quarter were 0 as reported. Just trying to understand -- I mean, what's the priority of this business for us? And is it a business where we are maybe potentially getting out of?
Radovan Sikorsk y: Yes. So the zero business is something that we see potential in the longer term. So we will continue to work in that segment. But the volumes, yes, like you're right to say are very small at the moment. And -- but we will continue with Heineken 0.0, and we look at other innovations to go into that category as well.
Moderator: The next question is from the line of Harit Kapoor from Investec Bank.
Harit Kapoor: So I just had two questions. One was on glass. So there are some -- you did mention that becaus e of the demand supply issue, it would take a bit longer for the glass price benefit to come in. Typically, some of our contracts, I remember historically used to also be where we were trying to make them into formula -based contracts where de -escalation an d cost could also give us a benefit. So I was just wondering, wouldn't that, at some point, kick in a little earlier than expected as compared to the ones where you have to really go on and negotiate?
Radovan Sikorsky: So that should be the case on some of the bigger contracts, you are correct. If some of that does come through, hopefully, that should come through in quarter 4 for our pricing. So if we have what we referred to as PAF, a price adjustment formula built in some of these contracts. And a s you know, if there continues to be the softening in some of these producti

on costs, if I can put it that way, such as energy and soda ash and these type of costs, then there should be some softening going forward, yes. So hopefully, that does come throug h. But I wouldn't like to say that is 100% definite now. Because it's -- again, it's the balance of the supply and demand as well.

But through the -- some of these price adjustment formulas can trigger it.
Harit Kapoor: Got it. Got it. My second question w as on premium and mass. You obviously have been growing. The premium portfolio has been growing at a faster clip. This time, obviously, because probably because of one -offs there has been some challenges there. But even if you exclude the one -off premiums growing faster, I just wanted to understand now that the excise cycle in a lot of states is over the price increases across the board are done. How are you seeing the premium versus mass or premium versus mid to mass segment growth trends? Is it -- do you still see premium growing at a much faster pace on a normalized basis? I just wanted to get your sense on that.
Radovan Sikorsky: Yes, definitely, we still see a lot of opportunity in the premium segment . I mean we still believe that ove r the coming years, the premium segment should be between 18% to 20% of the total beer category over the next 5, 6, 7 years. So for sure, we are -- we remain fully committed to premium and actually more so we are going to definitely ensure that we have -- we go and aim to have our fair share in premium going forward. So that ambition has not changed at all.
Harit Kapoor: Got it. Got it. And one last question on capex really. If you look at -- you did mention that some of the interstate sale movements that w ere happening in the past were not profitable. And hence, you were -- you kind of relooked at that. My question was for these products that were moving into say, largely in the mass and mid -segment because I assume that premium would still have a profitabl e for you to move.
Radovan Sikorsky: 100%. So what we do is we assess it on a mainstream and premium segment basis. So if the interstate for premium is low contribution, we will still do it just from a strategy point of view on premium. But it's more a cal l on the lower mainstream brands where they're in a loss -making situation, we made a call not to do it. And at that point in time, then you assess your local capacity levels to say, okay, is it worth for me to the previous question of doing something around capacity to curb that you don't need to do that interstate transportation.
Harit Kapoor: Understood. And my last question was on the rollout of the premium product. So over the last 18 months, you added Kingfisher Wheat beer, you added Hei neken Silver to the premium portfolio. Just wanted to get a sense of are the rollouts in the markets that you want them to be in now complete? Is there some more scope on the distribution side yet left?
Radovan Sikorsky: No. So definitely, we are looking a t some other new launches. And as they come through, definitely you'll be aware of them. Also in other segments, we've also now testing Kingfisher Mango as an innovation, which is doing actually very nicely for us. So with flavour . We have really now starting to form a nice innovation funnel. And we've got a strong functional team

working on that. So there's definitely more to come from UBL in terms of innovation.
Moderator: As there are no further ques tions, I would now like to hand the conference over to Mr. Harit Kapoor from Investec for closing comments.
Harit Kapoor: Yes. Thank you, Jacob. On behalf of Investec, we would like to thank the management of United Breweries to give us this opportunity to do the call and spend time on this one. And also, I'd like to thank all the investors and analysts and the community who joined on the call. I now hand over to Radovan for his closin

g comments. Over to you.

Radovan Sikorsky: Yes, thanks. So it was a diffi cult Q1 for us, like I said, and particularly April, May. But we remain really positive on this beer category going forward. And there will be a bit of volatility like we've experienced April, May. But we're here for it in the long term in this -- for this business.
So we still believe in strong category growth going forward, driving also our premium share that is a priority for us and focusing on our revenue management activities to drive margins, be it in the cost of sales, albeit in the top line. And today, you saw some examples of it, like on the interstate and also the pricing that we are getting. So I think, yes, that's how we'd like to end.
And thank you, everyone, for your participation.
Moderator: Thank you. On behalf of Investec Capital Services, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2023

October 31, 2023

1. Department of Corporate Services, 2. Department of Corporate Services,
BSE Limited, National Stock Exchange of India Ltd.,
Floor 25, P J Towers, Exchange Plaza, Bandra Kurla Complex,
Dalal Street, Bandra (East),
Mumbai - 400 001 Mumbai – 400 051
Scrip Code: 532478 Scrip Code: UBL

Subject : Transc ript of Earning Conference call on Q2 FY24 results

Dear Sir/Madam,

This is in further to our letter d ated October 20, 2023 , whereby the Company had submitted the link to the audio recording of Earning Call held post announcement of Fina ncial Results for the quarter ended September 30,2023.

Pursuan t to the regulation 30(6) r ead with Para A of schedule III of th e SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed here with Trans cript of the Quarter 2 FY24 Financial Results Earning conference call held on Friday, October 20, 2023 @ 04.00 p.m. IST with Investors and analyst .

The trans cript of the earnings call is also available on the Company 's website at:
https://www.unitedbreweries.com/pdf/presentations/Transcript%20of%20United%20Breweries%20Limited%
20Q2%20FY23 -24%20Earning%20Conference%20Call%20on%20 Octo ber%20 20,%202023.pdf

We make an apology for delayed in submission of Tr ansc ript. In future , we will take utmost care to submit , within in the prescribed time.

Kindly take the same on record.

Thanking you, we remain,

Yours faithfully,
For UNITED BREWERIES LIMITED

AMIT KHERA
Company Secretary & Compliance Officer

Encl: As above

Amit
KheraDigitally signed by
Amit Khera Date: 2023.10.31 10:09:26 +05'30'

“United Breweries Limited Q2 FY-24 Earnings
Conference Call”

October 20, 2023

MANAGEMENT : MR. RADOVAN SIKORSKY -DIRECTOR & CFO
MR. VIVEK GUPTA -MANAGING DIRECTOR & CEO
MR. ROBIN ACHTEN -BUSINESS CONTROL & INVESTOR RELATIONS
(AUTHORISED REPRESENTATIVES - UNITED BREWERIES LIMITED)

MODERATOR : MR. HARIT KAPOOR – INVESTEC CAPITAL SERVICES

Moderator: Ladies and gentlemen, good day and welcome to United Breweries Q2 FY 24 Earnings Conference Call hosted by Investec Capital Services.
As a reminder, all participant lines will be in the listen only mode, and the re will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal the operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is b eing recorded.
I now hand over the conference over to Mr. Harit – Investec Capital Services. Thank you and over to you Mr. Harit .
Harit Kapoor: Thanks , Malcolm . On behalf of Investec, I would like to welcome all the participants and the Management Team of United Breweries for the second quarter FY24 Earnings Call. From the management team I have Mr. Radovan Sikorsky – Director and CFO, and Mr. Robin Achten – Business Control and Investor Relations.
I will now hand the call over to Mr. Radovan for his opening comments, post which we will take the Q&A. Over to you, Rado.
Radovan Sikorsky: Yes. Good afternoon, everybody. I am g lad to be here. Also, one more thing, we also have our new CEO on the line Vivek Gupta, we have managed to connect to him. He will just join us to just mention a few words of introduction from himself . And then I will just take over with going through the results. So , can we try and connect through to him?
Vivek Gupta: Hi, I'm on the line Rado . Can you hear me?
Radovan Sikorsky: Yes. Good, Vivek.
Vivek Gupta: Thanks, Rado and good afternoon, everyone. First of all, thank you for joining me on this call, just to introduce I have almost 25 years of work experience before I joined UB . But I 'm only 25 days old today in UB, but it has been a very exciting 25 days, my focus has been to really understand our operations, understand our people, under stand our business.
So, I've been out to almost three breweries, six markets, also in our head office right now I am in Europe, where we came to see our operations for the company in Amsterdam. I can only share that, I 'm very excited I see huge opportunit ies, our brand power is very strong. Which is one very pleasant surprise that every consumer you meet they know about our brand, they have a view about our brands . We have a very, very strong innovation portfolio , at the same time there is enough work to be done on fixing our fundamentals and continue to grow the business.
Also, I 'm very excited about the work which is ahead of us from a category development in this market , also in terms of working with regula tors. In fact, we have also already started meeting a lot of the key stakeholders in the government, and various state governments to really understand

how we can meet some of the barriers of doing business. And there is a lot of work to be done as an indu stry, but also as a market leader , as a UB we play a significant role in that. Also, I would say that my focus over the next couple of months is to put together next three to five year strategic plan. And hopefully, when we are in the next earing call, I would like to take you through the snippets of the plan. And in between, would like to also engage some of you to get your input , your thoughts. But in short, I see significant opportunity on the business , on the category , on the portfolio. At the same time, I also want to thank Rado and team because as we know UB there was leadership transition . And one of the strengths of the management team is , they were able to hold the fort and continue to deliver strong results which you saw in the results which we declared last night about the second quarter. But at the same time, we are very humble that, we have a lot of ground to cover. And we are a

ctually putting fundamentals in place. So,
with this I will hand over to Rado , but look forward to working with all of you.
Radovan Sikorsky: Thank you, Vivek. Yes, it 's great we are now a full team , full management team and as Vivek said there is much opportunity ahead of us. So, I will start with the highlights for Q2. So , volumes were up 7% in the quarter , driven by strong underlying demand so, a very nice recovery versus

quarter one for the three months in this quarter. The premium segment grew 10% in the quarter for us , with growth in the Ultra Max showing promising resu lts and gaining traction, and also some good results for Heineken Silver. That 's, coming through of course we will soon start production of Heineken Silver as well in Karnataka so we will be gaining some more traction there as well. And i n terms of net sales, net sales were up 12% fueled by the volume growth that I mentioned. And solid price increases across the multiple of states, such as Rajasthan , Uttar Pradesh , Karnataka, to mention a fe w Maharashtra as well .

The gross margins were down slightly in the quarter versus the prior year around 213 basis points. So , the core inflation is still there yet, you all would have seen that there has been softening in this quarter, as we 've always mentioned in our previous calls. And that 's good to see, but volatility remains on cost of goods sold, we can see that as well. But the softening is of course helping our gross margins.

In terms of the year-to-date results, it is still down year-to-date 4% with a tough quarter one. And that was impacted by some of the route to market changes that we did, we had in some of the supply chain challenges that we encountered. We also focused a lot on managing interstate profitability. And therefore, we als o had some volume pullback in those areas where we felt that some of the interstate sales were not profitable for us .

Our EBIT margin was around 8% down around 180 basis points, but primarily impacted by inflation but you could also see that in quarter two we also stepped up a little bit our commercial spend behind our brands. And I 'm sure you 've seen that also now du ring the current Cricket World Cup where we have been making some investments behind Kingfisher . And finally, on the outlook , we continue to be focused on the category growth of course, that is key, but also on premium , driving premium through Heineken Silver, Kingfisher Ultra brand family. So, we continue focusing on that . Like I mentioned the inflationary soften ing has been seen in quarter

two. But also, in our o utlook statement we feel that volatility will remain . We continue to focus on revenue management, SKU management, be it pricing, that is a key lever for our top line growth, but also focus on the cost initiatives that we have spoken about.

We remain optimistic on the long-term growth, and you saw a lot o f positive coming out also from Vivek's short discussion he mentioned. So, we remain optimistic on the long-term growth of the business. And with that, we can go to the Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of A bneesh Roy from Nuvama Institutional Equities.

Abneesh Roy: My first question is on the impact of route to market. So, if I see the impact of route to market is aro und 2% in terms of overall volumes, but there is no impact in terms of the premium. So, wanted to understand why there is a divergence and when do you see the route to market further reducing in terms of the impact , it has already reduced for the Q1, but w hen do you see it fully going away?

Radovan Sikorsky: So, on the route to market, we remain cautious on the route to market of course, we are seeing good traction coming back . In markets like Tamil Nadu, we really start cycling the main im

pacts

of the rout e to market changes in November, December and into January. So, we'll be really cycling that. So, then we would see less impact from those RTM changes . Your question on premium, the premium category for us was also impacted by the route to market challenges. So, there is some impact in there and we expect this 10% premium growth to accelerate going forward in our portfolio .

Abneesh Roy: Sure. My second question is on the region wise volume growth which you have given, very heartening to see East and South both grow in double digit volume. So, here my question is more on Delhi and Haryana where still volumes are declining. So, when do you see this reversing and in terms of East and South is it a market share gain also, or is the industry also growing in similar doubled eight volumes in East and South?

Radovan Sikorsky: So, in Haryana, yes we 've had some declines although at the end of the quarter we 've seen recovery again so that 's good to see. We have been looking at some of our commercial terms in Haryana. So, we've been working through that with our customers so there was a bit of impact on that, but we remain quite posit ive on Haryana . In terms of Delhi, as you may know there hasn't really been a change in the excise policy going forward. So, we still remain cautious on volume development in Delhi, going forward. So, it's still currently for us a difficult market . In terms of the 11% growth so we 've seen some nice share gains in cer tain states. So, there we have seen that we have been doing well, states like Orissa as well. And also, in the states of Telangana and in Andhra Pradesh, we 've gained share.

Abneesh Roy: So, thanks and last question is on margin so sequentially quarter -on-quarter there is a gain of around 400 bps in terms of margin s. Unfortunately , that's not going to be the EBITDA and EBITDA level which is sequentially at the same level. So, want to understand when do you see the gross margin expansion flowing towards EBIT DA and EBIT , and staff cost is up sharply , 18%, quarter -on-quarter and 8% Y-o-Y, so if you could elaborate why such a sharp increase here?
Radovan Sikorsky: So, if you look at the year-to-date results, the cost s are growing around 4% and employee cost is up 8% and on the year-to-date within the quarter we had a couple of one -offs and also some provisions we are cycling from the previous quarter, which has an impact o n the percentage growth quarter -on-quarter. So, it 's a couple of one -offs there, but the trending line of year-to-date is a reflection of our cost side at the moment, and therefore that should come through to the operating profit margins going forward.
Moderator: Thank you very much. The next quest ion is from the line of Jay Doshi from Kotak. Please go ahead.
Jay Doshi: I've got a couple of questions. The first one is just a quick follow up on the previous question. So, if I understand correctly, what you indicated is that there was some one -offs employee cost in this quarter, one should look at first half employee cost as a more normalized run rate from a full year perspective , is that understanding correct?
Radovan Sikorsky: Yes, so well. But I understand that you are referring back to the previous questions in terms of in the Q2 where there is some one-off cost in personnel cost and any other expenses and that 's correct, yes, we are cycling some from quarter two 2022 and also one -off cost in quarter two of this year.
Jay Doshi: But what is the normalized run rate of personal cost, what is the quarterly run rate that we should model?
Radovan Sikorsky: The trend of the year-to-date results is a bit more in line with what we are seeing going forward.
Jay Doshi: Understood. The second one is , was there any spillover of volume from first quarter to second quarter because you had called out som

e supply chain challenges last quarter that impacted volume. So, is this 7% growth looking more sustainable in nature, or this is consequence of 12% decline that you saw and so we shouldn 't expect this to sustain?
Radovan Sikorsky: Yes, so like I mentioned in the first quarter that we had some supply issues which impacted volumes. And we also were still facing a little bit more volume pressure from the route to market, which recovered more and more as the year progressed. So, the quarter two is a good reflection of the volume growth in the industry , but we are we still cautious on going forward and have the volumes develop, we remain optimistic for the long term like I 've said, but on a quarter -by-quarter we can have some pressure.

Jay Doshi: Understood. One last one if I may, your gross margin recovery of 400 odd basis point on sequential basis, does it fully capture the benefit of low-cost barley and how should we think about further improvement in gross margins from these levels , what is required for you to move up from the current level?
Radovan Sikorsky: So, we are already starting to cycle some of the improved barley prices and therefore, there is an improvement on margins. And it 's also a combination of some of the cost initiative s we are running which I mentioned, within the breweries, and it 's also helping us in terms of our efficiencies . volatility remains going forward. So, we will endeavor to drive up the gross margins and that 's not just through better variable cost, but also like I mentioned through revenue management activities to drive top line so it should be a combination of end-to-end. But we need to just be cautious on the variable cost going forward still, I believe .
Moderator: Thank you very much. We have from the line of Karan Taurani from Elara C apital for the next question . Please go ahead.
Karan Taurani: My first question was pertaining to the festive. So, you mentioned that you are cautiously optimistic about the demand, don 't you foresee that the World Cup and festive as a combination coming together will lead to much stronger volume growth in the next q uarter or this quarter rather ?
Radovan Sikorsky: So, I'm not going to give forecasts on volume s for the next quarter. We don 't do that, actually. But, quarter two was strong and hopefully that sort of momentum can remain , but let 's see how the volumes pan out going forward .
Karan Taurani: Got it. Just a secondly on the premium beer front, you mentioned that you will see acceleration in the premium beer growth as well. Currently, the growth is about 10% odd. And the market average gro wth for the premium beer is far higher. So, when do you start to see growth which is more than 15% or probably higher than that number because your base of premium is far smaller

as compared to peers , basically when do we see potential market share gains in the premium beer segment for you?
Radovan Sikorsky: So, you're 100%, right we are not 10% premium growth sounds like a nice number, but it 's by far not where we should be in terms of premium growth, a nd we are not doing as well as the market is doing. So, we are working strongly to have stronger plans in place. It 's one of also the priorities that Vivek is looking at, he sees the importance of premium beer as one of the pillars of growth . Let's just be clear about that, it 's not just about premium , premium is an extremely important pillar, but it 's also growing the category and it's also about like we always mentioned that we need to focus on Kingfisher, our mainstream brand . But we will work strongly on the premium and we are working on strong plans to grow that and we need to then execute on us.

Karan Taurani: Got it. Just one little thing if I may squeeze in, whatever changes from your

end in terms of route
to market , in terms of profitability was because Kingfisher or regular beer is low margin in nature. So, any change in stance now that you are going to focus more on Kingfisher also, and not just the premium beer segment ?
Radovan Sikorsky: Sorry, can you just repeat that ques tion a little bit slower.
Karan Taurani: Yes. None of the strategic initiatives over the last one year in terms of chang e in route to market and other things put together , was because of profitability and that is specifically more to the point of regular b eer, which could be low margin in nature in this inflationary environment. So, any change in stance or strategy that you will try to focus more on Kingfisher also now with the inflationary environment kind of cooling of f or stabilizing ?
Radovan Sikorsky: Look we continue focusing on Kingfisher if I understood your question correctly . Kingfisher is for us the icon of the business, make no mistake it 's an extremely important brand for us. And we believe we need to just work on the Kingfisher brand , so it 's a beer for all demographics and that's key for us, for our younger consumers , for our older consumers . And through the commercial team, we are working on some exciting things around Kingfisher . And we remain very optimistic about the brand going forward.
Moderator: Thank you very much. The next question is from the line of Ajay Thakur from Anan d Rathi Securities . Please go ahead.
Ajay Thakur: I just want to understand in terms of the market share losses , last time we had indicated aro und 150 basis point kind of a n underlying share loss for us on an ongoing basis. Can you just elaborate what kind of market share gains or loss es we have during current quarter ?
Radovan Sikorsky: Yes, so in quarter one we struggled with share . And that was reflected, with a 12% volume decline. But we see some nice share recovery in quarter two in quite a few markets, and there are some markets that we believe we still do have a lot of work ahead of us But we continue hovering close to the 50% mark. And the nice recovery in quarter two versus quarter one.
Ajay Thakur: Okay, quite helpful thanks. The second question tha t I had was more on the input price , if I were to look at the glass cost, can you just share some bit of your understanding of how the glass prices actually kind of moving. And if we were to look at the current prices on both glass and the barley at the current level, can we expect further improve ment in margins going ahead or we need to take further price increases to offset the current price?
Radovan Sikorsky: So, on the glass as you know, glass is a combination of the actual price of the bottle but also on the returnability of the bottle. And the combination of those two has an impact on the variable cost per case. In terms of the actual cost of bottle pricing we haven 't seen any real movement there. So, we are still under pressure in terms of bottle pricing, and we need to w ork through that with our suppliers . On the return ability so on that we feel we need to get still a stronger grip on

that, our return rates were good and as we spoke about this before, but not at the level that we would like them to be at, to be honest. A nd that 's as a team and as a business we need to work through with our partners across India to improve on that. Definitely, and this is such an important thing also from a sustainability agenda in terms of all packaging, returnable bottles , right number o ne in terms of sustainability, and therefore it 's a key point from us not only from a profitability point of view, but also from a sustainability point of view.
Ajay Thakur: Thanks for that, just that last part of the question if you can just address also if the current prices of both barley and glass , can we expect the margins to improve in the co

ming quarters or we
have to take further price increases to offset the cost ?

Radovan Sikorsky: So, like I mentioned previously I have said that we continue working on the gross margins and thinking going forward we want to see improvement in those margins. But like I said, it 's a combination of top line and variable cost so pricing, r evenue management and working on the variable cost base, but we remain optimistic that we can grow these gross margins going forward. But like I said, as well volatility remains and as you all know we can be surprised with certain commodity prices be it sh arp increases in aluminum prices , et cetera which has been, if you have price adjustment formulas that can impact your variable cost.
Moderator: Thank you very much. The next question is from the line of Nillai Shah from Moon Capital . Please go ahead.
Nillai Shah: Last time on the call, I had asked this question about the fact that given that the volumes were rather weak, over the past few quarters , you would possibly be running extra barley inventory into 2Q versus what you normally would, you kind of said yes to that question. So, now can you quantify as to the fact that this quarter the lower barley inventory, which you have the new barley inventory, w as it utilized for half the quarter, less than half the quarter , some positive comments around that to help us understand the gross margin trends going forward?
Radovan Sikorsky: So, we discussed it and I commented to you that , that was a good question. So, of course the consumption was slower than what we expected in our forecasting because of the 12% decline in quarter one. But then we have good recovery in quarter two, have we consumed all the barley from the old prices , I can say it 's close to being that. So, we are now cycling with the improving margins, the new pricing. And, that 's of course helping the gross margins. It was a good barley crop and we have made sure we have secured the barley for going into the next season, and then for the new crop. And we took a bit of reserve on that, because we felt the pricing was good.
Nillai Shah: Okay , got it . So, when I come back to all these questions that were asked on margins, we have a situation today where barley is back to the pre -COVID levels, aluminum and non -glass packa ging is pretty much back to pre -COVID levels. And U Bs margins pre -COVID used to be upwards of 50%. So, without getting into the specifics timing of this , with the anchoring of the management be to try and get to gross margins at some point in time, which are next, or basically just back to the pre -COVID levels, in terms of gross margins ?

Radovan Sikorsky: Yes, so of course you are pushing me here again into forecasting going forward. And like I sa id, we are definitely , the ambition of this company is to improve margins. And that 's the bottom -line margin as well. So, it's not just gross margin, but also operating profit margin. We see that trend , are we yet to pre -COVID levels , No. Do we aim to get there , 100% -Yes. And like I said again, working on our pricing, working on our state mix , working on things like interstate s ales, working on efficiencies in the breweries in terms of material consumptions. And we remain cautious on the volatility again, yes, we all see that there is a pricing in the markets, but when you listen to some of the commentary about what can happen go ing forward, it 's still an unknown and we still remain to have pressure on bottle pricing. And like I said, the bottle pricing is again a combination of the price of the bottle and the returnability of the bottle. So, certain things are in our control, lik e return ability, and therefore we have to focus and execute on it. Some things are not fully in our control our pricing of bottling , bottles, and other end commodities like aluminium, and the

refore we have to use other levers like pric ing
Nillai Shah: On the glass bit, isn 't it true that the glass bottle, for new bottles, is now linked in a way to the commercial aspects of production, which is to say that energy prices, coal prices, in particular have dropped quite dramatically. So, the bottle manufacturers, essentially as pe r your terms need to pass on those benefits to you ?
Radovan Sikorsky: So, I'm not going to go into the details of our contracts. But, th ere is a normal negotiation process with a supplier of course, it 's a combination of that and it 's a combination of supp ly and demand in the market of glass and the capacities available of glass production in the country. So, there 's a couple of factors there.
Nillai Shah: Got it. And just a last quick bit, can you just throw some light again, some positive comments on Karnataka, I see we are still losing market share out there, the rate of loss has come down, but we are still losing some amount of market share out there. So, any thoughts , any comments on what we are doing to reverse that change that . Thanks.
Radovan Sikorsky: So, in the state of Karnataka we had some supply issues in quarter one, and of course that causes us share loss. And when you lose share, to recover share back is of course, more difficult. But we are working on stron g plans to get back to share growth in Karnataka, across the category segmentation , be it premium, be it the mainstream , be it the economy segment. So, yes, we are working through that , but we are not happy with the fact that we have lost market share in Karnataka 100%, not.
Moderator: Thank you very much. The next question is from the line of Ed Mundy from Jeff eries. Please go ahead.

Ed Mundy: Appreciate, there 's been quite a lot of change in the business recently, both at the Board level and also in the management team. But what I woul d really love to understand better is, over the next three to five years what is the dream for this business , what are you really looking to, achieve and what are the key things you have to get right, as you go on that journey?

Radovan Sikorsky: Well, I would love to give Vivek a bit of time in the business, and to share that with all of you in the next couple of months, from my side what I can say, and therefore, I will hold back on that a little bit, because that would be a perfect flow for Vivek, in terms of answering that question. But still, I don 't want to leave it just hanging there. It 's really nice that we are now a full-strength team. And having Vivek on board with all his experience that he has; I really see so much opportunity for us as a business. In terms of the Board, yes, we have a great array of experience on the Board, there have been a couple of changes like you rightly said and we can really go forward as a team now to really grow our category going forward . As a leader in the market, that is key that we take leadership of this category, much more to grow the cat egory , to premiumize the category. And that is something that is our responsibility as a leader. So, I would end it there and likely they are setting his call, we are going to be working through some longer - term plans going forward. And then that would be a great opportunity for Vivek to come back to that question, which is a great question.

Ed Mundy: Thank you, I will try to follow up with the regulatory environment, clearly there 's beer is quite expensive relative to some of the other forms of alcohol. Can you talk about any sort of recent wins for beer, relative to broader alcohol when it comes to trying to make beer more affordable ?

Radovan Sikorsky: Yes, so in terms of that, Karnataka is a nice example where we see that the playing field has become a bit more fearful beer versus spirits. And we can see that , and we believe that there will be cat

egory growth for beer, which is a low alcoholic beverage and that is very important that as a beer category we are a low alcoholic beverage and theref ore we strive for moderation. But there 's a lot of other states that we are working through, with various regulatory stakeholders that we want to have a more level playing field in other states as well as a category.

Moderator: Thank you very much. The ne xt question is from Harit Kapoor from Investec C apital Services . Please go ahead.

Harit Kapoor: One was on the route to the market . So, you had spoken about Telangana in some issues which you had in quarter one, even from operations perspective. Would it be safe to assume that some of those things in terms of shift , et cetera are now kind of behind you and you don 't see a recurrence of those issues again?

Radovan Sikorsky: Yes, Telangana we had some shift issues in quarter one, so we had a strong quarter t wo for Telangana market. So, that was good to see. But we need to also still work on pricing in the Telangana market, we haven 't captured the price increase in Telangana this year and Telangana is now going into elections. So, that's one area that we still need to work on is to get pricing in the state s of Telangana.

Harit Kapoor: Got it . And the second thing was on, you spoke about certain , the Haryana is back on track, there was some disturbance . So, I just had a broader question on the route to market any further changes that we see currently, that are occurring in our route to market in terms of the way we

do business, that potentially could have any kind of a volume impact going forward over the next few quarters?

Radovan Sikorsky: We continue as sessing our strategy from state -to-state perspective, and it 's always a game between volume and also value that we need to keep in mind. So, as a team now as we are also a full team, we are going to be working through that, to make sure that there 's the right balance between volume and value, and what is our str ategy state -by-state. So, at this stage , now I don 't see anything, but I c annot say that we will not be doing some changes or adjustments to some of, our routine market strategies in different states. So, that 's how I would put it.

Harit Kapoor: Got it. And the last thing was on competitive intensity. So, when you look at typically in businesses with when prices start to cool off moderate, you do see promotional intensity , media intensity go up , in your case it 's more promotional and intensity. Have you started to see that in the market already with the barley prices soften ing the market promotional intensity for competitors that are going up?

Radovan Sikorsky: The competitive cost is the competitive intensity is going up. Is that the question?

Harit Kapoor: Yes, in terms of more promotions, more spent by competitors as they get some benefits of the lower costs.

Radovan Sikorsky: Well, no I haven 't really seen that from certain competitors in certain states, I can see they have

stepped up their commercial spent. So , I haven 't seen a correlation of the price of variable cost to commercial spent, to be honest. But competition intensity remains strong and like I have always said competition is healthy and we just need to be better than our competition. But yes, we have stepped u p our commercial spending, you saw that in quarter two. And we will also have some step up in the next quarter because we believe we need to invest behind our brands.
Harit Kapoor: Got it. And the last thing was on the CAPEX side, this quarter one obvious ly was weak and hence for this year we 've not had to kind of invest as much But, if you look at the run rate, do you expect with volume growth normalizing over the next few quarters should the annual run rate for CAPEX now materially go up versus what it 's been over the last three,

four years, which have been impacted by COVID and the recovery and certain statewide issues?
Radovan Sikorsky: Yes, so we spoke last time we are looking at spending around 350 crores for the year. And going forward into next year, we will put potentially step up some of the commercial spend in our supply chain and also in commercial investments as well. So , there will be a bit of a step up in terms of that number. But that hasn 't been yet agreed what that would be
Moderator: Thank you very much. As there are no further questions, I would now like to handle the conference over to Mr. Harit from Investec C apital Services. Please go-ahead sir.

Harit Kapoor: Thanks, Malcolm. On behalf of Investec, I would like to thank all the participants to join the call. And also, thanks to senior management for giving us this opportunity to host the call. I woul d now hand over to Rado for his closing comment.
Radovan Sikorsky: Thanks everyone for the questions , for this quarter two. So , like I said, we are cautiously optimistic about this quarter in terms of performance. And going further looking ahead, like I said it 's all about continue to further grow the category across the segments be it economy mainstream and premium , for us some good questions around premium and like I said we need to really focus on that category and start to have grown to a fair share of that category, if I can put it that way. But not to take our eyes off Kingfisher and the other segments . Inflationary softening like I mentioned, but they will continue to be volatile , but now we are focus ed on the revenue management an d cost initiatives. And we remain optimistic on the long-term growth potential. And in the coming course, we will give you some more insight into that with Vivek .
So, that's all from my side. Thank you, everyone for joining.
Moderator: Thank you very much . On behalf of Investec C apital Services that concludes this conference. Thank you for joining us, and now you may disconnect your lines .
******************** ********************

Call: Feb 2024

Registered & Corporate Office: UB Tower, UB City, #24, Vittal Mallya Road, Bengaluru – 560 001. INDIA
Tel: (91 -80) 4565 5000, Email: ublcorporate@ubmail.com , Web Site: www.unitedbreweries .com
Corporate Identi ty Number: L36999KA1999PLC025195
February 14, 202 4
To,
Department of Corporate Services, Department of Corporate Services
BSE Limited National Stock Exchange of India Ltd.,
Floor 25, P J Towers Exchange Plaza, Bandra Kurla Complex
Dalal Street Bandra (East)
Mumbai – 400001 Mumbai - 400051
Scrip Code: 532478 Scrip Code: UBL

Subject: Transcript of Earning Conference call on Q3 FY24 results

Dear Sir/Madam,

This is in further to our letter dated February 10, 2024, whereby the Company had submitted the link to the audio recording of Earning call held post announcement of Financial Results for the quarter and year to date ended December 31, 2023.

Pursuant to the regulation 30(6) read with Para A of schedule III of the SEBI (Listing Obligati ons and Disclosure Requirements) Regulations, 2015 (‘the Regulations’), please find enclosed here with Transcript of Q3 FY24 Financial Results Earning conference call held on Friday, February 09, 2024 @ 3.00 p.m. IST, by way of conference call with Investor s and analyst, hosted by Investec India.

The transcript of the earning call is also available on the Company’s website at :
https://www.unitedbreweries.com/pdf/presentations/Transcript%20of%20United%20Breweries%20Limited
%20Q3%20FY23 -24%20Earning%20Conference%20Call%20on%20February%2020,%202024.pdf

Kindly take the sam e on record, please .

Thanking you, we remain,

Yours faithfully,
For UNITED BREWERIES LIMITED

____
AMIT KHERA
Company Secretary and Compliance Officer
Membership No.: ACS -10827

Encl: As above

Amit KheraDigitally signed by
Amit Khera Date: 2024.02.14
10:16:12 +05'30'

“United Breweries Limited
Q3 FY’24 Earnings Conference Call”
February 09 , 202 4

MANAGEMENT : MR. VIVEK GUPTA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – UNITED BREWERIES
LIMITED
MR. RADOVAN SIKORSKY – DIRECTOR AND CHIEF

FINANCIAL OFFICER – UNITED BREWERIES LIMITED
MR. ROBIN ACHTEN – BUSINESS CONTROL AND
INVESTOR RELATIONS – UNITED BREWERIES LIMITED

MODERATOR : MR. HARIT KAPOOR – INVESTEC CAPITAL SERVICES

Moderator: Ladies and gentlemen, good day , and welcome to United Breweries Q3 FY'24 Earnings Conference Call hosted by Investec Capital Services. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation co ncludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Harit Kapoor from Inves tec Capital Services. Thank you, and over to you, sir.
Harit Kapoor: Thank you, Manuja. Welcome, everybody. On behalf of Investec Capital Services, we'd like to welcome the management of United Breweries for their Q3 FY'24 call. From the team in United Breweries, we have Vivek Gupta, MD and CEO; Radovan Sikorsky, Director and CFO; and Robin Achten, Business Control and Investor Relation s.
I now hand over the call to Vivek for his opening remarks, post which we'll open it up for Q&A. Just a quick request is to limit your questions to two per participant as the mana gement has a hard stop on time.
Thanks and over to you, Vivek.
Vivek Gupta: Thank you, Harit, and good afternoon, everyone, and thank you for joining the call. I'm here with Rado, and we are pleased to discuss the developments of quarter 3 and performance up to date. I would say, we are very happy with the progress we have made in this quarter both around our strategic pillars and the continued momentum we are seeing on the company.
In terms of our results for quarter 3, our volume increases 8%, with price mix positive, net sales grew by 13%. And the sales is quite broad based with volume growth from Tamil Nadu, Telangana, Orissa, Maharas htra, Rajasthan , and there were some headwinds in Delhi and Kerala and in some of the other markets as well.
Our gross margin for the quarter was 44% . They were 215 basis points up versus prior year. I would say that this is slightly below our expectation, but we understood during the quarter why is it down. And we made some corrective actions, which we are very happy on the progress of those actions as well. But we are not overly worried about the drop in the margins for the quarter as we know that structurally, we are doing the right thing .
Our premium volume continues to be strong. It showed a 14% surge . We saw double -digit growth -- and strong double -digit growth in some of our key premium brands like Ultra Max. We had a bit of supply challenge s for Heineken® in Karnatak a. But despite that, we were able to deliver good growth, and we estimate our shares to be sequentially up for the December quarter , even on premium.

To highlight year -to-date, because of this strong recovery in the last two quart ers, our volumes are now almost flat, down 1%. Our net sales is up 4%. Gross margins are still lagging behind, but it's catching up in low forties . Our EBIT growth is positive and profit after tax at 12%, but more important, the momentum is there .
Our volume growth was very broad based. East grew 22% for us, driven by strong growth in Odisha and Jharkhand. South, the big markets of Tamil Nadu, Karnataka, Telangana, AP, Kerala, grew 10% for us. West grew 9% for us and N orth, we had a decline because primarily led by Delhi, where we continued to wait for a structural solve at local level .
Our volume recovery is showing momentum. In quarter one, we were down almost 12%. Quarter two, when we talked the results last time, we were up 7%. Quarter three, we were up here 8%. And even better part is the price mix has improved. So some of the actions we took in the first half and this quarter , we are now seeing results .
So, our price mix has improved from 3% to almost 5% based on the work which i

s happening
on the premiumization and the right pricing. So we feel overall quite strong about the results.
I'll hand over to Rado to talk about margins and some of the other improvements, and then we can open up for questions.

Radovan Sikorsky: Okay. So V ivek touched on the margins, but I'll just give you a little bit more flavor. So like Vivek said, compared to last year, we see nice improvement on our margins driven by some of the softening of the raw impact mat erials coming through, but then also the pricing helped us. So, some healthy pricing and also doing revenue management activities have helped as well.

If you look at from quarter -to-quarter, there can be a little bit of questioning around the growth here. But we are fully aware what is happening. And there we see that the bottle returns were not at the expected levels, right? And of course, that means we have to do more injection o f new bottles, particularly also w hen you see the volume growth That combination had an impact on our margins.

But like Vivek said, we are taking the necessary actions for that going forward , and we believe that we can set that right. And there was also a little bit of a state mix impact. On the EBIT margins, I have to add that actually in the quarter, we did quite a bit of investments behind our brand s, quite a bit more than in the previ ous quarter and also versus last year. And you could probably see that also in the market, where we were also involved in the World Cup, etcetera. So that was nice to see that we are building the brand power.

And I think we can end with that and go over t o Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Latika Chopra from JPMorgan. Please go ahead.

Latika Chopra: Two questions. The first one was on volume growth. You've been deliver ing 7 %-8% kind of a volume growth, but clearly the base was also, you know, at least in the prior quarters affected by route -to-market changes, and now that's sitting in the base.

Even at some of the states like Karnataka and Tamil Nadu recently, you know, announced some tax increases. How do you see volume growth really playing out? Are you comfortable with this high single -digit volume growth momentum and mid -single -digit price mix momentum to continue for the upcoming fiscal?

And the second question was on your comments on gross margin and the interventions that you've undertaken. If you could elaborate a bit on that, and should we now assume that 44% that you delivered in this quarter is kind of a bottom, and progressively margins should move up? Thank y ou.

Vivek Gupta : Thanks for asking the question. I think on the first one, look, I think the first thing is, yes, we have RTM changes , the previous quarter, or past year, there was a lower base, you can call it. But I would say that, you know, growth is very broad based. So as I gave you numbers, like, for example, in East of India, where we had no RTM change, we grew almost 22%. In South of India, it was around 10%. In West, we grew 9%, where there was no RTM change previous year. So I wo uld say that the growth has been quite broad -based for us. And I think, yes, the recent announcement by Karnataka government is a setback, because we don't want beer prices to increase. But the actual impact of the price to the consumer, we have to still w atch. It is around 3% increase to the consumer.

So we think it may not be that significant increase to the consumer that it can impact the volume of momentum, but we have to see on the announcement. On the Tamil Nadu, we are still awaiting the whole impac t of the MRP increase, and what does it mean for us from our profitability, how much the pricing, we are going to get benefit. There is no clarity. We think we are going to get clarity in the next couple of

weeks on that.

I think, having said that, I think what we are doing is a lot of fundamental work. As Rado said, we are going to continue to invest in brands. We are filling a portfolio. We have a lot of innovation. So, we are pretty confident that this trend of 7% to 8% with high single -digit growth, we can deliver in the near future. I think on the second question, on the margins, I will ask Rado to give us specifics on what kind of things are there and how we are looking at it.

Radovan Sikorsky: Yes. So like I said a little bit before, t he two main drivers are for a slight muted -- I wouldn't say a muted performance. I would say that slightly below the previous quarter is actually the bottle returns, right? And then -- I've spoken in the past about that , the importance of bottle returns v is-à-vis also the price of new bottles. So of course, it's a combination of working on both of them and that -- now we have had some more difficulties in getting bottles back to in the market, and we've had the necessary conversations with our stakeholders and suppliers.

And then we put forward some plans going forward on that, which we are hoping will have a positive outcome on that. And then there was a little bit of a state mix with impact as well. So that's roughly on the margins.
Latika Chopra: All right. So it's fair to assume at least gross margins stick at these levels and probably don't come below this. I don't know how to think about that. I know state mix it a little tricky to call out. But from a cost/mix of new bottles versus old bottles, is it going to worsen or it stabilized at these levels in your view?
Radovan Sikorsky: So like I said, let's see how these action plans pan out. If they go well, then I think we can have a bit more underlying growth in margins. But let's see how t he market moves on our plans.
Moderator: The next question is from the line of Abneesh Roy from Nuvama. Please go ahead.
Abneesh Roy: Congrats on good volume growth. My first question is on the premium market share and premium volume growth. So it's a goo d performance. Wanted to understand in FY '25, what will be your expectation in terms of premium volume growth given you're under -indexed versus your pan-India market share. In premium, you are under -indexed.
And related question in terms of premium only. How many times can the bottle be reused in premium? I understand Heineken will use mostly new bottles. But in rest of the, say, Ultra and Ultra Max, how many times can the bottle be reused versus your economy bottles? Some color if you can give, that will be useful.
Vivek Gupta: Yes. Thanks, Abneesh. I would say that I think the premium is a definite part of our strategy. And as I mentioned, I think for us, UB is the total portfolio is going to be very critical. So, we're going to do a lot of work on Kingfi sher, on the World Cup , Sunburn and UB actually invested significantly. But absolutely, premium is going to be there.
We view shares on premium in last quarter. We will continue to have a significant share growth this year. Our plan is t o expand our innovation like Heineken Silver innovation, Heineken Draught innovation, some of the other innovations which we have in pipeline, which we'll disclose in next quarter or so. I think we have a really strong plan on premium both in terms of innovation and supply towards that.
I think on the bottle return, of course, when you build a premium brand, you have to increase lot many bottles. But the return percentages on premium are very similar right now. Because one of the issues, which is the bottle is -- there's a whole issue of the broken bottle of cullet , which is happening if you are working with glass manufacturers . Because there is a lot of illegal trade - offs with collecting the bottles and breaking them and selling it to recycling for the industr ies is impactin

g us.

So we are working with government, we are working with glass manufacturers. We are working with our own vendors to do their capabilities on this. So I think it will be just the new infusion as a result premium will impact. But overall , we don't see a significant difference in premium return versus the mainstream return.
Abneesh Roy: Sure. That's helpful. One follow -up on the premium strategy itself. Your competitors in premium are unlisted, and that gives them an advantage of propping up ad spend without looking at the quarterly results too much. So I want to understand this constraint of yours, that will continue.
In that light, what are you doing different versus earlier in terms of -- I understand the Draught beer, which has been lau nched, etcetera. But what is the different strategy you are now employing versus, say, in the past because your market share is much more under -indexed here?
So given the constraint of being listed entity, anything you can do different on a strategic level ?
Vivek Gupta: Yes. I'd say I think there are 3 things. I think one is just fundamentals, very basics. Because we need to get our supply chain network ready for premium. It's one of the issues we face in interstate exports , becaus e we produce premium in state X , and they don't allow exports for whatever reason, and then it becomes very difficult. So the consumer s don't get consistency of supply.

So we are working very hard on fundamentals to improve our local supply in a premium in the key states, and you will continue to see our footprint increasing there. We've actually added a couple of places that we recently started extra production of premiu m (. So we are doing some of the local sourcing, which will absolutely improve the performance of premium.

The second is the whole investment in marketing is not only more done, but it's also quality of marketing. So there is a lot o f work happening, and we are very pleased on our brand power score because we can score -- actually improved on Kingfisher brand, we also improved on Ultra and some of our brands are even scoring better than the competition. So we are seeing very good on the quality and the content of that part.

And I think the third one is there is execution, the sheer execution which we are working on. And I think if it sounds very, very basic, whether on a premium to -- some of a premium brands, the distribution has dou bled in Maharashtra. So it's very basic, but we are doing a lot of those work.

And the fourth is very consumer meaningful innovation, which is quite deep rooted on the insights. So as a company, we are also sustaining our ability of understanding consumer insights, designing for the consumer. And you will see that over the next few weeks when some of these programs are on the relay.

Abneesh Roy: Sure. My second and last question is on the state -level mix, which you have given. So good volume growth in sout h, but when I see multinational spirits companies, they don't have much of a presence in Tamil Nadu and Kerala given too much of a government control, etcetera. So what would be your experience and response to that medium, long term? And second is, when

does north volume growth recover because now at some states, base will also start to benefit? So any color you can give on recovery in north India?

Vivek Gupta: Yes. I think we should see recovery more starts in the next couple of quarters because I think we're still going through the RTM cycle . We are actively working with the government in those states to open a few of these things. So I think it will take another quarter or so to see decent recovery there.

I think on the Tamil Nadu and Kerala, as we said, we have the RTM changes is Tamil Nadu last year. We are going through that. We are looking at how the overall performa

nce comes in. We have also strengthened our portfolio there. Kerala, again the same thing. We have a good share in Kerala, and we continue to see good consumer response on the demand.

So we actually don't face any government resistance which I'm aware of in Kerala and Tamil Nadu to do business. So of course, some of the calls we have ta ken to increase the MRP of beer, that can be a dampener need to understand fully once the notification comes in. But right now, our progress on Tamil Nadu is strong.

Moderator: The next question is from the line of Ajay Thakur from Anand Rathi S ecurities. Please go ahead.

Ajay Thakur: I had 2 questions. One was to do with the strategy. So last quarter, you had mentioned about -- you will give a bit more color on the strategy during the quarter for -- what is future road map. If you can shed some light on that, that will be helpful.

Vivek Gupta: Yes. Sure, Ajay. I think we will -- we actually will do a proper session on that because we are actually linking up with the overall global company and [inaudible 0:19:50]. But I can give you an overall vi ew on the key pillars we are working on it.

I think the first pillar is, of course, we are working on ramping up our supply chain for future. And as you know, in India, each state is very different. And beer is a lot of scale business. And we have one of the biggest brewery network in India. So, one of the things we are reviewing is what is our future network looks like, where we need to expand, where we need to add, where we need to consolidate. So there's a lot of work happening on that part. And that is about making sure that we have capacity for the future to at least deliver high single -digit to double -digit growth for next 5 years to come back.

I think the second one is we are leveraging a lot of -- really consumer -first mindset -- really consumer -first mindset, really investing in both in our organizations and our capabilities to understand why the beer penetration in India is low, why only 85 million to 90 million people consume beer versus 200 million people who consume any liquor.

So the clear objective is to drive categories growth. And for me, the big, big part is the people who are already drinking liquor, why can't they drink a moderate liquor like beer and what are the barriers to do that. So , we have some understanding, but we need to go very deeper into it. And we are al ready seeing some experiments, which are giving us success around category growth.

I think the -- and leading to it is third is to have a very winning portfolio in India. The unique thing about UBL -Heineken is that we have the best domestic portfolio i n India with Kingfisher Ultra, Ultra Max and some of our local brands. But we also have access to the global portfolio of HEINEKEN . And we just need to bring the right portfolio so that we can offer various price points.

So you could have seen some of that in Karnataka, where we are now playing in all the tiers what the dealers are looking at so that -- which gives us -- and there are some gaps in the super premium, but we still are working and meet ing all the premium needs. So that's the second big area is to really focus on consumer and give them what they want.

I think the third important area is to use of technology. I think as you know that the stores are limited. There are 100,000 stores, but we have also high manufacturing and large business. How do we leverage technology to get more efficiency, effectiveness and -- but also increase the speed of execution? There's a lot of what's happening on -- as a company to be more digital, like -- someth ing like -- we are working in our breweries, working in our go -to-market, working in internal working to really do that.

And I think the fourth key pillar for us is absolutely to really grow this category by working very closely with

the government and re ally impacted our policy framework. Because if you ask me, that is the biggest barrier to growth of beer in India. And we are closely working with the government, really trying to educate.

And recently, World Health Organization has given us study, which actually talks about something called a harm per liter. They're saying the world should move towards moderate drinking versus the high spirit drinking and all. And unfortunately, in many states, the taxation is very different.

So I think those are the four key priorities other than just making sure that the organization is a winning organization and capable organization. But these four areas, we are doing a lot of work, but we'll talk more. Then we'll do a little bit more session on the exact details of wha t we are trying to do it.

Ajay Thakur: My second question would be more on the Karnataka, which you were alluding to. I wanted to just understand a bit more in terms of the market share trends, how it is moving. Because of late, we had seen that the Karnataka being one of the area of a concern in terms of market share losses. So I just wanted to understand how it is exactly now. Have you seen some kind of a strategy in turning on that front? And if you could throw some light about that?

Vivek Gupta: Right. I would say our organic share -- and when I say organic share is -- if you take away some of the disruptions which happened in Karnataka, where we moved from 3 shares to 2 shares and back to 3 shares. And this is for the industry, right? The governme nts are changing their mind up and down in the thing, and we worked through that.

I would say we are still the positive share progress in Karnataka. So , our shares in Karnataka, we gained some share towards the end of the quarter compared to the start of it . Our strategy is definitely working. It's a very competitive market and our strategy is definitely working.

We also have further plans in Karnataka which are getting into the execution in the market, which will only strengthen it. So , I think on the question -- I think -- it's keeping everything as a -- if there's no disruption because of elections or something like

Moderator: The next question is from the line of Jay Doshi from Kotak AMC.

Jay Doshi: I have a few questions on your profitability. Now we believe that barley prices -- the low -cost barley would be already in the cost structure of this quarter, and yet your gross margin is at 44%, which is nearly 10% points lower than what it used to be in FY 2019. It's not an apple -to-apple compariso n, but when I look at the other listed player United Spirits their gross margins are about 300 basis points lower versus that period.

So I'm just curious and I want to understand, is there some structural change for the beer industry or change in your sta te mix that is resulting in such sharp gap versus what it used to be 4 years back?

And if you could address -- I understand that -- because ours bottle prices would be hurting you

more than spirits players. But broadly, taxation, price increases should no t be very different between spirits and beer over the last 4 years, right? So this is first part of the question. Second is if you can give a road map in terms of what is necessary or what is required for you to get to 15%, 16% EBITDA margin or essentially 50%-plus gross margin? And is there a visibility on that?
Radovan Sikorsky: Sure. So let me take that one. So 2019 feels like so far away already. And so many things have happened since the impulse through COVID, through the extreme volatility of the comm odity prices and quite a different world we're living in terms of volatility, right.
So, our ambition is always that we need to improve the gross margins and the margins for our Indian business. But it will take some time through the various activities tha t we are doing i

n
terms of premiumization, the category goes, getting the economies of scale, etcetera, getting the efficiencies in the breweries that I've been talking about in the past and also in the material part. So it's a combination of those things.
But the big impacts for us, I'm not going to go -- dive into comparing us with spirits in terms of margins because it is a different product, yes? We use different raw materials. Barley prices had a significant impact on us, and the spirits weren't as ex posed to natural material as we are because they use the different raw materials.

And the bottle impact on us was high as well, as you might know. And we've been under pressure with the bottles, as Vivek has mentioned, with coloured and prices in the mark et, and we have to manage that properly. We've seen softening of that, and that's reflected in our margins. So our margins are improving.
Are they improving at the pace that we want? Of course, we would want them to improve more. But I think we have the r ight plans in place and we're working through to grow those margins. But for our business, it's a combination of a number of things. And of course, the state mix, you actually mentioned it correctly and that's true. The state mix has impacted us as well.
But we want to grow the category. We want to grow the quantity of earnings, first and foremost. But of course, the quality of the earnings should come with that as well. And that's the balance that you're talking about. The quantity of earnings is importan t for us as well in India where we want the category to drive. So I think that could summarize on your question.
Moderator: The next question is from the line of Krishnan Sambamoorthy from Nirmal Bang Institutional Equities.
Krishnan Sambamoorthy: Okay. Q3 is seasonally a weak quarter, and you also -- but you also had the Cricket World Cup during this particular quarter. Anything to call out? Was there a significant positive impact that you can call out as a result of the World Cup during the quarter?
Vivek Gupta: I didn't get the question. The business impact of World Cup?
Krishnan Sambamoorthy: Yes, the Cricket World Cup. Was there any positive impact in what is usually a seasonally weak quarter?
Vivek Gupta: Yes. I see -- look, it's very difficult to isol ate the impact of an event. I can only say that our present, we only measure brand power scores. And I would say that we were able to reach a significant large number of consumers during that World Cup because of the viewership, and we were running the cam paign. And then our brand power scores have gone up.
Now how much that impacts the business and results is very, very difficult to really actually come together because somebody was telling me that up to the final it was great and after the final we stopp ed drinking. So it's very difficult to actually comment. But I think what really gave us the confidence that our brand power scores we use the consumers, and we got good results. And that's why in December, during Christmas time and New Year, we actually -- were very strong in the event. We were a part of Sunburn festival. We got the data that in Sunburn festival, 87% of the consumers who walked in, they knew our brands, the top brand came.
So I think our execution was also very strong, which gives us confidence as we get into this quarter that we'll continue to see that momentum on this. But very difficult -- can't answer the question of whether the ticket world comes in fact.

Krishnan Sambamoorthy: Understood, understood. And on the cost side, was there any unusually high marketing spend during the World Cup season or the Sunburn at the end of the year period?
Vivek Gupta: Yes. Our total, we spent more than 2 00 basis points more on advertising and promotion in this quarter versus previous

quarter. So absolutely, we invested more on some of this spend, but I think that will continue because as we get into the season we really do that.
And I would say, if you look at on the overall ad vertising and sales spend is still much lower than the local standards, what is needed to grow beer category. So one of our goal is going to be linking to the previous question of when will we get a very strong EBIT margins and all, I think -- I see India is somewhere with categories underpenetrated. There's a lot of scope to do that, and it will need bit of investments. There's a balanced growth. So we'll do it off -line and expand the category. But it will need investment, and we continue to invest.
Modera tor: The next question is from the line of Arkopratim Pal from Sanjay Agarwal Broking. Please go ahead.
Arkopratim Pal: My first question is based on your latest results, what is the corresponding volume growth rate? And additionally, how much does the pri ce decrease or increase in that quarter?
Vivek Gupta: I think your question is price/mix. So price/mix is up 5%. So our volume grew by 8% and revenue by 13%. So the net impact is plus 5%.
Arkopratim Pal: My question is, is there any price decrease or incre ase in your product in this quarter?
Vivek Gupta: We did rationalize price on economy in one of the brand in Karnataka, but that has a very small impact on our results. And we did cycle some of the price. We will still got the impact of some of the pricing which happened in some of the states. But net impact is plus 5%.
Arkopratim Pal: Okay. And one more thing that -- could you please elaborate on any potential changes in operating profit margin that might be anticipated for this current quarter?
Vivek Gupt a: Sorry, I didn't get the question. Your line was breaking. You asked the profit margin?
Arkopratim Pal: Yes. I'm asking that, your operating profit margin might be anticipated for this coming current quarter is there any changes with your OP or something decreased or increased?
Radovan Sikorsky: Are you -- you're asking for guidance for the next quarter? Is that what -- if I understand correctly?
Arkopratim Pal: Sorry?
Radovan Sikorsky: Guidance. So we don't give guidance going forward on OP margins, what 's going into the next quarter for quarter 4. All I can say is that -- and as I mentioned, we continue working through the plans to work on our margins, like I said on the bottles and on our revenue management activities and we are hoping for a good volume growth into quarter 4.

Arkopratim Pal: Okay. And what is your expectation about the demand scenario in this current coming quarter compared to last quarter?
Radovan Sikorsky: Sorry, I didn't understand. The line is quite bad.
Arkopratim Pal: Yes. My quest ion is, what is your expectation about the demand scenario of this current coming quarter as compared to last quarter?
Vivek Gupta: As we said, look, we are -- we continue to see high single -digit growth. And on the margins, as Rado said, we don't give the guidance, but we are taking all the initiatives to be in the right direction.
Arkopratim Pal: Okay. So we hope that the -- in coming quarter it will be a positive growth, right?
Vivek Gupta: We hope so. It's hard for us to situation like this – positive n ote.
Vivek Gupta: Yes.
Moderator: The next question is from the line of Karan Taurani from Elara Capital. Please go ahead.
Karan Taurani: My first question is on the investment plan, right? So I think beer that way as a category, Kingfisher has been the m arket leader since so many years. So what exactly has happened in terms of strategically or in terms of your thought process that has led to more investments in terms of growing this category? Because UBL is the market leader, right? So is this investment more panning out to growing the premium beer category? Or is it

going to be equally split between Kingfisher and Heineken assets?
Vivek Gupta: I think this year, we have already invested almost INR140 crores of capital behind supply chain initiatives to do that. I think when we say category growth, I think the investment has been in the 4 key buckets. I think the first bucket is to really make sure we are supplying for both Kingfisher and premium, which is going to be available as the market continues to gr ow. And I think that's the number one important one in the stand on the supply chain.
And of course, this is -- there is 2 parts. One is just ensuring they need more supply. And second

is, where we have supplied, ensuring the supply of more portfolio both premium and others, which needs investment. Like we made an investment in Karnataka, where we are bidding for an approval over the next 3, 4 weeks, where we have got a significant investment on our Heineken line, so we can start producing local manufacturi ng. But we have been waiting for some label approval there, and we're waiting on that.
I think the second big investment in category growth is with consumer. Because as we invest -- if we need to invest in superior packaging, superior products, also communication, as we said, our advertising and production side will increase, and we need to continue to do that because there are more brands in the category now.

And we need to sell by a better beer, why our beer is better. I think that's the second area . And you know that we can't do too much about the line in this category. So you have to rely a lot on -- in beyond execution, outlet -by-outlet, bar -by-bar to actually get their experience.
So the third investment because of that is in execution in terms o f our ability to execute more big events as well as in -store execution in an outlet -to-outlet level. So there is an investment which is required here as well.
And I think the fourth is, of course, as we are doing this -- as I talk about technology and digitization because that will need investment because as we start working on it. I would say that we will continue to invest on both -- and premium and, in some cases, also on economy. But -- and it would be quite -- because Kingfisher is a large part of our business, so it will be very difficult to give approximately -- but I would say we will try to be sufficient in a plan across the years. And that is difficult to be sufficient on what is needed to get this brand power results and get those goals on catego ry growth and penetration.
Karan Taurani: Right. But in that case, our volume growth should also see acceleration given the kind of investments that you are planning because your volume growth of mid - to high single digit doesn't kind of match up with the kind of investments you are doing. So are you trying -- where is the visibility that you will see that you'll probably beat market outlook in terms of broader beer volume growth or any kind of visibility over there because of these initiatives?
Vivek Gupta : Yes, I think you are right. If you add up everything, I will say, you will have a very exclusive growth. I think the reason we are also being cautiously optimistic in some of the regulatory changes which happened in this category . We talked about how the taxation went up in Karnataka. We talked about there's elections ahead, which we don't know -- we know that there will be disruptions. There will be dry days.
In some markets, the re'll be issues around having a second shift of the beer or third shift of beer to do that. So I think we are cautiously optimistic. So the way we are working on is -- just work on what is in our control and do that. And as we continue to improve, we will continue to change our outlook.
Karan Taurani: Got it. And just one last bit on the investment front again. On gross margins, I see a cool -off going ahead because of -- commo

dity prices cooling off going ahead. If that were to be the case,
you think that benefit will be passed on to EBITDA margin or there'll be further investment?
Some point I'm trying to make here is that our investments kind of right now at a plateau level or to increase further, if at all, there is more benefit from gross margin?
Robin Achten : Sorry, apologies, we were very clear in letting only 2 questions per person. We just have 2 minutes left for the last question .
Moderator: The last question is from the line of Harit Kapoor from Investec.

Harit Kapoor: I'll limit mine to one. Just wanted to get your sense on 2 states; one, Tamil Nadu; and the second is Haryana. So in Tamil Nadu, what is the extent of kind of recovery that we've seen vis -à-vis when we did our change in the route -to-market. We' re obviously seeing growth from the low basis, but in terms of recovery to original levels, where are we? And the second one was on Haryana, if you could just give us some sense on why that market is under some pressure. So those are my questions.
Radovan Sikorsky: So Harit, I'll touch on Tamil Nadu. I mean we've spoken about this market for quite a few months

now at the moment. And like we said, we did some changes there. We are cautiously optimistic about the volumes. We are seeing recovery, which is nice to see. And we will see how it progresses over the coming months. And so there is a potential MRP increase . We will see how that pans out. And that's where we are in the market.

I think we are operating in, I don't know, 25, 28 markets. And this -- we have attention on the various markets. But often, we always bought back to the Tamil Nadu discussion. And like I said, cautiously optimistic on it, and we'll see how we progress on that.

On the Haryana market, yes, we took some decisions there in terms of our profitability. We reviewed some of our financial terms, and there was some volume impact. But we see some nice recovery coming through there again. So again, we see some dips, and then we see opportunities coming through again. So yes, let' s see how that goes forward.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Harit Kapoor for closing comments.

Harit Kapoor: Yes. Thanks, Manuja. On behalf of Investec Capital, I would like to thank all th e participants who joined on this call as well as like to thank the senior management of United Breweries for giving us this opportunity. I now hand the call over to Vivek for his closing remarks.

Vivek Gupta: Yes. Thanks, Harit, and thank you, everyone, f or asking questions. I know we could not do all of it to do that. I really appreciate, as I said, that as a company, as a leadership team, we feel very good about the progress which we are making. We are making some structural calls. None of the results, I would say, are too surprising for us like everything like to be better. And I think we'll keep you posted on the progress of the company. Thank you very much.

Radovan Sikorsky: Thank you.

Moderator: On behalf of Investec Capital Services, that concludes c onference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2024

Registered & Corporate Office: UB Tower, UB City, #24, Vittal Mallya Road, Bengaluru – 560 001. INDIA
Tel: (91 -80) 4565 5000, Email: ublcorporate@ubmail.com , Web Site: www.unitedbreweries .com
Corporate Identity Number: L36999KA1999PLC025195
May 13, 202 4
To,
Department of Corporate Services, Department of Corporate Services
BSE Limited National Stock Exchange of India Ltd.,
Floor 25, P J Towers Exchange Plaza, Bandra Kurla Complex
Dalal Street Bandra (East)
Mumbai – 400001 Mumbai - 400051
Scrip Code: 532478 Scrip Code: UBL

Subject: Transcript of Earning Conference call on Q 4 FY24 results

Dear Sir/Madam,

This is in further to our letter dated May 08, 2024, whereby the Company had submitted the link to the audio recording of Earning call held post announcement of Financial Results for the quarter and year ended March 31, 202 4.

Pursuant to the regulation 30(6) read with Para A of schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('the Regulations'), please find enclosed here with Transcript of Q4 FY24 Financial Results Earning conference call held on Wednesday , May 08, 2024 @ 3.00 p.m. IST, by way of conference call with Investors and analyst, hosted by Investec India.

The transcript of the earning call is also available on the Company's website at :
https://www.unitedbreweries.com/pdf/presentations/Transcript%20of%20United%20Breweries%20Limited
%20Q 4%20FY23 -24%20Earning%20Conference%20Call%20on%20 May %2020,%202024.pdf

Kindly take the same on record, please .

Thanking you, we remain,

Yours faithfully,
For UNITED BREWERIES LIMITED

____
VIVEK GUTPA
Managing Director & C hief Executive Officer
DIN 10311134

Encl: As above

"United Breweries Limited
Q4 FY '2 4 Earnings Conference Call "
May 08, 202 4

MANAGEMENT : MR. VIVEK GUPTA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – UNITED BREWERIES
LIMITED
MR. RADOVAN SIKORSKY – DIRECTOR AND CHIEF
FINANCIAL OFFICER – UNITED BREWERIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to United Breweries Limited Q4 FY '24 Earnings Conference Call hosted by Investec Capital Services Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Harit Kapoor from Investec. Thank you, and over to you, sir.
Harit Kapoor: Yes. Thank you, Muskan. Good afternoon, everybody, and I would like to welcome you all to the United Breweries Q4 Earnings Call hosted by Investec. On the call today from the senior management team of United Breweries, we have Mr. Vivek Gupta, MD, CEO; Mr. Radovan Sikorsky, Director, and CFO; and Mr. Robin Achten, Business Controller, and Investor Relations. I will now hand over the call to Mr. Radovan Sikorsky for his opening comments. Over to you, Rado.
Radovan Sikorsky: Thank you. Yes. So good afternoon, everyone, and thank you for joining the call. I'll start off with highlights of Q4. I will do it a little bit also then on year -to-date and then we will open up for questions. So, as you could see, our volume reflects an 11% increase in the quarter, driven by strong underlying demand. So, it was nice to see such a strong quarter in terms of volume growth.
This was also supported by nice growth in premium volumes, which continued to be strong at 21%. And this is really driven by Kingfisher Ultra, Ultra Max and of course, Heineken playing some role there as well . Net sales rose by 21% driven across a number of states, including Tamil Nadu, Telangana, Andhra Pradesh, Odisha, Rajasthan and slightly offset in some markets like Haryana and Rajasthan as well.
There was also some pricing coming through in that we were starting from last year. So, you can see that in our bridge overviews in the slides. But the pricing that we had taken in '23, we are cycling that and that is nicely coming through our mix spot. Our gross margins during the quarter were up 312 basis points compared to the prior year, they are really driven by its revenue management initiatives, primarily pricing, but also other initiatives that we are doing and some of the cost initiatives as well.
If we look at the year -to-date results for the full year, let me call it, volumes were up close to 2%, with net sales up 8%, driven by the pricing and the mix. So, it's really -- it was a year of 2 halves, where we -- it was a difficult, if you recall, beginning of the year, but we started getting some nice momentum going into the two, three quarters at the end.
In the quarter 4, as we mentioned, the 11% strong underlying demand was notably observed in the South driven by the performance of Telangana and Tamil Nadu and some in Andhra Pradesh, and East was around 10%, driven by -- mainly by Odisha.

Over the past two quarters, as I've mentioned, we have demonstrated a gradual recovery signaling a real positive momentum in the business. And it's also very nice to see the premium volumes continue to accelerate with a 21% growth in the quarter.
What you have also probably seen in the media, and it's nice to see the Kingfisher -- Queenfisher launch in terms of celebration of International Women's Day. We've had a great response from the market with that. And also, we launched London Pilsner in Karnataka. And of course, we also mentioned in the past, Heineken Silver Draught in Maharashtra, which is really doing very well and has really been appreciated.
Vivek Gupta: I think Rado already talked about the results. I just wanted to take this opportunity to thank Rado.

As you know that we have announced that Rado is going to move to a regional CFO role for the APAC region and we also announced yesterday that Jorn, who is currently CFO for Heineken Ethiopia is going to be our CFO from August 1. So, I also wanted to take this opportunity to

thank Rado as he shared the result as well.
Radovan Sikorsky: Thank you, Vivek.
Vivek Gupta: Yes, over to you.
Moderator: Thank you very much. We will now begin with the question -and-answer session. First question is from the line of Avnish Roy from Nuvama Wealth.
Avnish Roy: This is Avnish Roy. Congrats on good volume growth. So my first question is on that only. So South and East India have been doing a lot of heavy lifting for you in terms of volume growth. So how is the base now in FY '25, given in most quarters, these two geographies have done well? And specific on the other side, North and South India, some of the states have been quite challenging. So if you could discuss in Haryana and Goa, when do you see recovery happening?
Radovan Sikorsky: Vivek, you will take that one?
Vivek Gupta: Yes, sure. Thanks, Avnish , for asking the question. See, as you know, this business is state -by-state business. There are many factors which are impacting the business, right from the regulatory environment, go -to-market, our proposition there. I would say we had a very good growt h in Maharashtra and Goa last quarter. And what we understand is in Goa, it has been a weak category trend in the first quarter itself because there was a lot of stock up by the retail in the last quarter during the Ch ristmas and it was not as good as season. So fundamentally, we feel very, very good about Goa. Our shares are growing. Our proposition is strong. So, I see that recovery is going to happen even in this quarter.
We do have challenges in a couple of other markets like in Haryana, we actually last year, rationalized our investments in that model. And we are still cycling through that change, which had an impact on our margins in a positive manner, but we are also working through that. So I think what we -- and we also had impact in a couple of other states in North because in Punjab, they stopped shippin g after 15th of March because of their registration and label changes, which is also a learning that there are a lot of processes, which actually are -- need changes in regulation, where the category actually gets impacted significantly during the transiti on. So, I

don't think any major structural issues in most of these markets, but it is -- Haryana is quite intentional, and I think Goa is just the matter of time.
Avnish Roy: Right. Understood. So, if I see the premium volume growth that has been accelerating very strongly last 3 quarters from 10% became 14% and 21% now, that's a very strong growth. So, if you could tell us what's working here? Is it broad -based across all the top key cities this growth is there, or some cities are standing out? And any change needed? It is strong growth, I understand, but any change needed in FY '25 to maintain the momentum?
Vivek Gupta: Yes. There are 3 factors which are driving premium growth. I think the first is very, very sharp understanding on consumers. I think I know we talk about it, but I must say that in the last few months, we have really sharpened our understanding on each of the consumer cohort, and we are actually -- built our premium propositions accordingly. So, we are seeing that positive momentum on that, like Queenfisher is a good example what Rado shared earlier, and we saw the similar in Heineken Silver Draught in Mumbai, where the repeat rates are very high.
The second big one is we also are able to really plan well from an execution perspective with the on -trade on -premise customers because we go with full portfolio approach versus a brand approach now. So, we have a portfolio in

mainstream with Kingfisher. We have a portfolio with
premium. We have a domestic premium with Ultra, Ultra Max.
We have an international premium with Heineken, wherever it is available. On your question, will this momentum continue? I think we are doing a lot of work to ensure that we have our supply chain footprint to serve premium. One of the challenge has been th at we have been doing a lot of interstate exports and that has been challenging in the regulatory environment.
It can actually lead to, unreliability in many cases. And especially in the election, we know that there's a lot of bands at all, which does not give consistency to consumers. So, one of our focus area is to expand our footprint of premium manufacturing in our own breweries and with some of the partners. We have already taken some actions. We are hoping that in Karnataka, for example, we will get the approval after the elections to start manufacturing Heineken where we already have facilities, which will also give us excess. So, it is primarily increasing our manufacturing footprint and playing the portfolio again.
Avnish Roy: Sure. That's helpful. Vivek, last question. Q1, the summer is very harsh. What we are picking up is ice creams, talcum powder and cola players and other beverages are seeing very strong numbers currently. In your case, base is extremely favorable. You had a 12% dip in Q1 last year in overall and 21% dip in the premium. So, I know the base is quite soft, but I also wanted to understand if you could give a holistic picture. Because Q1 elections are also there, and we know in election, Alcobev faces a lot of different kind of challenges in terms of the number of shapes

and dry days, etcetera. Overall, how are you seeing -- I'm not asking for a guidance, it's still very
early days for the Q1. But overall, if you could give us some sense on harsh summer -related
benefit and then the challenges of the election.

Vivek Gupta: Yes. I think harsh summer is in front of all of us. It is very hot. I am in Chennai. Right now, it is
very hot also. I would say that there are 2 learnings I have. And I think as a company, we have,
I think the first is as a market leader, you get most impacted by the positive or the negative
change.
So election impact, while it is very broad, but I think the impact on us is slightly higher because
we need actually 3 shifts, for example, in some of these states to just beat the demand because
we have 50%, 60%, 70% market share in various states. And fo r a smaller player or a local
player, they can still manage their demand within 1 or 2 shifts.
So I have seen that in some of the states, the impact on us because of restrictions is much higher.
The second thing is, as I mentioned, for us, the compliance journey is super, super, super critical.
So we are actually going -- making sure that we are mee ting very high standard of compliance
during this whole part.
The third thing is I do think that there is an increase in demand and in some places, like
government corporations are not able to manage the inventory situations, like the number of
days of inventory, for example, in Karnataka is very, very low. But the c onsumption is high,
what you see in the papers and all.
So I think it's a combination of various things. It's very, very volatile right now. The states where
elections are over we are seeing some recovery. The state where elections are in 7 phases, we
continue to see disruption. So I think right now, we are wai ting for this thing to get over, and I'm
hoping that this will be an extended summer and we'll try to recover whatever we can.
Avnish Roy: Just 1 clarification there. For example, UP, I think, has got elections in 7 stages. So, does the
state get impacted in all 7 stages or is it stage -wise, geography -wise? How does it work? If you
could clarify on that?
Vivek Gupta: Yes, i

t gets impacted in various forms because the UP elections are happening from west to east.
So, if the central UP gets closed, then the movement of trucks gets impacted to East UP and all.
So, it's -- and also, there is a manpower and availability. So, there is an impact, not to that -- the
massive extent where we say that, but there is definitely more impact in phase -wise election
versus a state which is going in 1 phase and over.
Moderator: The next question is from the line of Krishnan Sambamoorthy from Nirmal Bang Institutional
Equities.
Krishnan Sambamoorthy: My question is regarding gross margins. In your presentation, you have indicated that there is a
positive mix of about 5% on price and about 4% on state mix. In addition to that, you are lower
-- the quarter last year had the big trough from a gross margin perspective to the worst in 20
years that I have data for, yet despite that -- despite the fact that barley prices have also come up
significantly and despite positive price -- significant positive price and state mix, why is the
gross margin improvement being only about 300 basis points?

Is It the fact that a positive price realization mix can also be negative from a margin perspective
in those states and whether there was higher proportion of -- from a bottling perspective, new
bottles versus last year?
Vivek Gupta: Rado, you can answer in detail.
Radovan Sikorsky: Yes. Look, there is obviously a number of factors that impact our gross margins. I mean we are
happy that our gross margins have improved. And you can see that is a nice trend compared to
the previous quarter 4, right? So that is clear there. And like you said, it is a combination of
pricing and mix. With a strong growth in our volumes, right, that we had, and you've seen that
in the quarter 4, does imply a higher injection of new bottles also into the market.
So, on the positive side, it's fantastic for our top line, but it does have some negative impact in
total gross margins. And therefore, I would also like to mention this comparing sequentially
quarter -to-quarter is not always the right way to go because you cannot really compare the
quarters. In certain quarters, once we move into summer and there starts to be growth in the
volumes, it has an impact on the margins, and there is some leveraging of scale as well in those
perspectives.

So, therefore, I prefer when we compare quarter four to quarter 4. So, there's a number of these factors. So gross margins are growing nicely. Do we want them to grow even quicker? Yes, we would. But like I said in the past, there is a lot of things that we are working on, which are starting to bear fruit, also on variable costs that I believe will ensure that over time, our markets grow nicely into the future.

Krishnan Sambamoorthy: Could you -- so we are not looking at the comparing quarter on a sequential basis. But even on a Y-o-Y basis, could you just clarify what effect? Is the proportion of new bottles significantly higher in Q4 this year versus Q4 last year because of the stron g demand? Is that what you are indicating?

Radovan Sikorsky: Yes. Versus last quarter, yes, the new bottle injection was a bit higher because of the volume growth as well. So, when we had -- if you remember, last quarter, it was quite a bad quarter. We had a decline. So effectively, we are not pushing so much in behind into the market.

Krishnan Sambamoorthy: Okay. And given that your response to the previous question was also indicating that you are hopeful of strong volume growth for Q1, are you better prepared from this quarter perspective, from a Q1 perspective as to the proportion of old returnable bottles that you have in the system?

Radovan Sikorsky: So, we've put a lot of things in place in terms of bottle returns. At the beginning of the year, we have introduced a new scheme. We have also i

ncreased the pricing of old bottles in the market.

We have standardized pricing in the market as well, and we're also running some incentive schemes. So, we feel that new bottle injection should be much better managed this year to the issues that we had last year. So, we are hopeful that some of these initiatives will be coming through. And of course, again, like I mentioned, with strong volume growth, the bottle injection does go higher, but that is fine. I mean it is great to see the volume growth coming through. So that growth in revenue and pricing will compensate for some of that new bottle injection.

Moderator: The next question is from the line of Jay Doshi from Kotak.

Jay Doshi: My question is for Vivek. Vivek, could you give us some kind of guidance of how we should think about the road map or on margin improvement? And internally, do you have a target of EBITDA margin in next 1 year, 2 year or do you think of it on EBITDA per ca se basis? The challenge that we are facing is that you would have done 50 million cases in this quarter. If someone would have asked me 2 years back or even a year back that when they do 50 -- when United Breweries does fifty million cases, what should be the margin? I would not have expected it to be in single digits or like 6%, 7%. So, we are struggling to understand. I think it is a broader sort of struggle that I think most of us face is that is there a structural problem in profitability, or this is a temporary issue that we are not able to appreciate better? So, if you could give us some guidance, a band, a margin band, it will be of great help.

Vivek Gupta: Yes, thanks Jay for asking question. Look, first, I don't think your expectations are wrong. I would say a few things. I think, first of all, I would really say that we have to be a little bit more patient on margins because we are performing but also transforming as a company. I think the -- we were mo stly a single -brand company a few years back. We are trying to be a multi -brand portfolio company, bringing innovation, bringing the right thing from the consumer perspective. We are in a very competitive environment as well. We have very good internationa l competitors who are there. We have local players in many states who are expanding their capacity and doing the brewery part of it.

Third is we are investing in organization and our capabilities, both in terms of -- I would say we have a largest brewery network, but many of our breweries are also old brewery very practically. And they need repair, maintenance so that we can maintain hi gher standard of quality. We are revisiting our recipes in some of the cases to make it even better for consumer experience because at times the things need to improve the quality of malt we use, the quality of ingredients we are using in the part of it. So we are absolutely focused on sequential margin improvement, but we are not -- I'm not going to shy away to invest in growing the category and growing the revenue growth.

So, our focus, as Rado said, that we are looking for high single digit, closer to double -digit revenue growth. Also, at the same time, please understand that this year has been difficult in the beginning because in the quarter 4 of the last year, the quarter one of this year, most of the states did not give the pricing due to elections. So usually where we used to get the pricing and there are all delay post elections, so there is a lot of volatility and uncertainty based on the regulatory environment, which is there right now.

There are a few issues, for example, and which is -- which are important, I am sorry, I'm giving this commentary. For example, Telangana, for example, the government has not paid at least us INR700 crores to INR800 crores for the last 5 months, and there is a big issue there. So, there is -- there are other issues also we are

dealing with. But having said that, I think there is a plan to
sequentially improve margins, but our focus is on to drive categories, to fix our portfolio, to get us in the next 1 or 2 years ready for, let's say, '28, '29, '30, both in terms of having real good access to supplies of our portfolio from our breweries, investing in repair maintenance in our

breweries, ensuring that if we have to drive the category growth and insert new bottles, we will do it. And working with the suppliers on better negotiation.

So, I think we have a comprehensive plan. I would say that there will be a sequential improvement in margins and structural improvement, but sitting here today, I do not see a structural issue if we have to deliver more margins, but I definitely see an issue that how do we grow if we don't invest in the right portfolio. If we don't prepare ourselves for future, I think that is our priorities right now. I don't know, Rado, if you want to add any perspective with the -- because I gave a very general answer, I'm sure this is what you are not looking for. Rado, if you have any more comments.

Jay Doshi: No, no. Just if I may ask a follow -up question here. Is there anything that's short term in nature that's hurting your profitability at gross margin? And when I ask this question, it's largely pertaining to the mix of glass bottles and the cost of gross bo ttles. So, is that something that will change meaningfully in the next 3 to 6 months, which -- or should we expect any meaningful improvement there or that is also something which will take time?

Vivek Gupta: Yes, one thing which is having an impact is on the state mix on the margins. I think you -- you know that there are some states which are more profitable than the others. I think we are trying to win more broadly and going through, making sure that we are fully compliant, and we are going through our journey, which is there. I think in some cases, we continue to work with regulatory to ensure we give them a broader picture.

For example, you see recently Assam took a massive duty hike on beer and the prices have also gone up in the summer to do that, I'm just -- I've just picked up one of the examples. So, I think that is one area. I think the second is, of course, we really need to do a better job of procurement and our processes where we are investing a lot to prepare ourselves for the volatility, which is -- which we saw a couple of years back.

Moderator: The next question is from the line of Chirag Jain from Yogya Capital .

Chirag Jain: My questions majorly have been answered. I have just one book -keeping question. On the previous CEO remuneration, so that is on the higher side for 1 month. So, what -- can you give us some light on that?

Vivek Gupta: Rado, I do not know -- I didn't understand the question.

Chirag Jain: So, Rishi Pardal was paid INR14 crores when he left the company for FY '24.

Radovan Sikorsky: But the current CEO remuneration is not for the full year as well.

Chirag Jain: No. So I was commenting on the previous CEO.

Radovan Sikorsky: What about it?

Chirag Jain: Whose name is Rishi Pardal.

Radovan Sikorsky: Yes.

Chirag Jain: He was paid INR14 crores for working only 1 month for FY '24, for the April month, that's mentioned in the related party transaction of yours. So that was paid previously for the whole year of FY '23. So that's why I was asking ?

Radovan Sikorsky: I need to look into that. I can get back to you on that one. I'm not exactly sure now.

Moderator: The next question is from the line of Karan Taurani from Elara Capital.

Karan Taurani: The question was basically in terms of the brand in terms of Heineken and the overall portfolio that you have. So currently, as we are talking of transformation, you're talking about volume growth an

d there has been a margin and a lot of investments would have also gone in terms of marketing and branding, kind of spend. So how do you see the situation turning around over the next 4 to 6 q uarters?

Can we move from a push brand to a pull brand situation? And if that does come in, I mean, do we have a situation wherein if the investments kind of taper down or come down, the volume growth still will remain to be strong? What's your take on that?

Vivek Gupta: Yes. See, I would say that if you really look at global benchmarking where the categories have grown steadily and significantly, actually, advertising and promotion spends are much higher than what we spent at least in UBL in India. So I think -- and it be comes even more complicated because we are a dark category. It is a state -by-state to really bring together. I would say, but

despite that, the focus exactly, as you said, is to really understand the consumer insights, the barriers, demand spa ces and really, really be very focused so that we are meeting different consumer needs.
So I think also the way the category today is structured, it is a combination of pulls and push. The push in terms of availability because if many of the business is done by corporations, and if state corporations are not pushing the stocks, whatever consu mers say is not going to help to do that. I gave you an example of Telangana where there is a reduction in the shift due to election. So whatever gets produced is getting sold in the market. Whoever produces it, is getting sold in the market right now.
Having said that, our focus is on having a very strong portfolio, which is very meaningful for consumers. We are seeing significant positive response when we do those things. So for example, Heineken Silver Draught in Mumbai, significant repeat rates very, very good equity. We measure our brand power scores for each of the brands, and we actually make interventions. So for example, this year, you guys would have seen that we have again come back on IPL, which is a big property for Kingfisher, and we are seeing a very, very good response in the markets where we are able to activate. So I think we will continuously do t hat. But hopefully, as we make these investments, our mix will go up, our top line should compensate for some of these investments. And then also -- there is also an element of, once the capabilities get built up, you get the leverage of scale in certain markets.

So I think it is going to be a longer -term journey. I don't think it's 2 or 3 years. I think the way the beer category needs -- the biggest driver of the change of the category is going to be regulations. Let's be honest about it because as it is -- beer i s not affordable today. The taxation in many markets is much higher.
It is not available beyond 95,000 stores, unlike other countries where it will need to be available. In some cases, it is actually very, very controlled on pricing as well, which limits actually the premiumization opportunity to do that. So I think a lot o f success in the -- on your question will depend on how we are able to work with the associations that are influenced the regulators to actually bring some meaningful change for the category, which actually help us in a better environment. So I think it's a combination of our effort, but also regulatory changes.
Karan Taurani: Right. Obviously, that was the category part. Now specifically right? I mean the kind of growth you see in the premium portfolio, it's unheard of. I don't think, we see this kind of growth over the last 3, 4 years or maybe it's historical in nature in term s of volume growth. So on that question, so currently, you are spending aggressively, you're kind of going there and you're trying to grow above market average, gain market share. So tomorrow, if at all, say, 2 years down the line, you pull back you

r spends and try to be more in terms of a focus on efficiency and profitability, would you be able to sustain that market share?
I mean it's a question in the case of Bira. I mean, obviously, Bira is not compatible, but we saw that in the case of Bira, there was aggressive push, they gained market share. But the moment they pulled back, they've seen concerns on volume. So not a comp iling case, but just some things you can draw in terms of volumes.
Vivek Gupta: Yes. No, I think it's a great question. Thank you for asking. I would say there are 2 variables which will change in years. One is the local production of many of these premium lines. As I mentioned that today, we don't have a full footprint of our premium brands everywhere in every brewery. If I have to give a number, it is actually less than 30%, 35% where we have a state brand footprint.
So we actually do a lot of interstate transfers to do that. Our focus is on to get that number up significantly over the next 2, 3 years, which definitely will improve in our margins as well because that will give us an ability to invest locally versus spe nding a lot of money on paying import duties and transportation. So that is one big area of focus.
Second is any expansion we are doing, we are very focused on fundamentals. We are not rushing through it. So we are not in a mode where we are saying, Okay, let's just put this product in a state and forget about it. We are actually incubating many of thes e innovations like Heineken Silver Draught is a great example, even getting great response, we have not expanded it beyond Mumbai, Maharashtra yet.
And the reason is because we really are learning what is working, what investments we can actually optimize. There's a lot of work happening on defining the key business drivers. So as I said, our goal is to grow the top line, but also sequentially increas e margins. So we are working on internal plan to offset some of the expenses, which are incurring with some structural changes

being more clear and then scale also gives the benefit both in terms of production as well as marketing spend from a throughput per store perspective.

So -- and we have this model being a part of a global company, I think there are a lot of good models from other markets like Brazil and China, where we know where Heineken is doing extremely well. And we know that what works from a long -term sustainable g rowth and I think we are on that journey. So absolutely, I think that is our focus area.

Moderator: The next question is from the line of Tejash Shah from Avendus Spark.

Tejash Shah: Vivek, if I compare our numbers versus FY '19, which was in between, we had 2, 3 years of COVID impact and the poor summer. For 5% additional growth on volume for FY '24, we have lost roughly 40% of EBITDA that we had posted in FY '19. So -- and then you c alled out that many growth factors we are underinvested perhaps that's how at least it sounded today. And we are kind of investing all those factors, and we are correcting to deliver growth. So should we assume that from here on, this is the n ew baseline margin because if we kind of focus on profitability, we'll have to sacrifice on growth?

Vivek Gupta: In our internal planning, that's how we are focusing on. As Rado said, our aspirations are high, but we're also very realistic because since 2019, the one fundamental change is the return bottom, I think the numbers have significantly dropped from that perspective. We als o know the state mix has changed.

The states -- some of the states have not taken pricing for many years, like Telangana is a good example for 2.5, 3 years, we are the largest player in Telangana, and there has not been a pricing there. So I think a lot of factors have changed. And as I sa id, we consistently look at how do we -- I would I can only tell you the -- our incentives or o

ur performance is measured on both top line growth and bottom line growth and margin expansion.

So it is not that we are just sacrificing one over the other, but we are very clear that the priority #1 is to drive category growth and volume growth and fix our fundamentals. And if it means that in short to medium term, the margin expansion will be slow er so be it. But that does not stop us to work the gaps -- those are ideas to fill those gaps on the margin.

Tejash Shah: Perfect. Second, Vivek, you also called out some pressure on receivables. So is it only pertaining to one state? Or is it like -- because election season, we have seen state finances also get stretched? So any other pressure points also building up?

Vivek Gupta: I think the Telangana is a big one. I think it is -- the reason I'm saying it's very in public, and we are engaging with the government significantly. It is a big one. And I think there are some delays in some of the other states, but which we think we hav e to wait and watch, it's more based on elections. But Rado can help further, I think Telangana is the big one, right, that's Rado?

Radovan Sikorsky: Yes. I think that Telangana is the main impact in terms of what we are talking about, yes. I think I'll just -- just to close a discussion on those margins. I know there's a lot of -- we always have a lot of discussions on this, but I think Vivek has round ed it off very well in terms of managing the quality and the quantity of our earnings. We very much -- we are very much behind category

growth and premiumization of the category. That is key for us. And of course, we want and -and, and quality, and quantity of earnings. But I think we need to be a little bit more patient because we will see accretion of margins as we grow scale, as we build productivity as we -- as some of these initiatives that we are doing are coming through, it will come.

But it's a step -- 2 steps forward, 1 step back sometimes because in this regulatory environment, the pricing can sometimes be a little bit tricky in terms of timing. Some of the pricing is quite ad hoc and some of it is quite planned ahead. And therefore, you see some of these movements either quarter -by-quarter or year -on-year on the margins.

And just to finalize, when you compare our margins to 2019, and Vivek also brought that into the discussion. When you look at it, the post -COVID and during COVID, there was a lot of disruption, and I spoke about this in the past, also in the bottle -- total bottle infrastructure and collectibility, but also there was a significant spike in inflation.

And when you look at our ability to take pricing over that period from '19 to '24 now, let's say, it hasn't been able to keep up with a big spike in the inflation, but we managed to do great pricing actually in '23. So we've caught up a lot, and there seem s to be a little bit of softening, as we said also in our press release, on inflation on some of these prices.

But then when you see recently, again, aluminum prices have shot up. So there is still volatility, and that's why we say we speak about volatility. But that's basically summarizing. Slowly, there

will be an incremental increase in margins, that's what we w ill aim for. But it's about category growth and premiumization that we want to drive.
Tejash Shah: Perfect. Just 1 follow -up on the Telangana due. So such delays happen on which predicts and in worst case scenario by when we count it as we have to provide for that?
Radovan Sikorsky: Provide for -- sorry, what you mean provide for that -- for payments?
Tejash Shah: Yes, yes, write -offs that it won't come. In fact, we have done it in the past, I remember 4, 5 years back. So...
Radovan Sikorsky: No, we do not believe at this point in time that, that will be an issue. I mean, there is challenges of payments in Telangana. And the team a

nd Vivek has been in many discussions with the state and we are still seeing that these payments will be coming thr ough. That's what we are banking on. So there's no write -offs planned at this stage at all.
Moderator: The next question is from the line of Chinmay Gandre from Canara HSBC Life Insurance.
Chinmay Gandre: So my question is basically, I wanted to understand the premium segment. So with respect to the contribution margin, so -- I mean, is it right to assume that basically premium will have a larger contribution margin versus the rest of the portfolio? But how -- taking into consideration a couple of states like the thing you mentioned on the intrastate where really like 30%, 35% manufacturing footprint and also the other thing doing that maybe they require newer border with the premium category , then the margin on the contribution side for the premium category -
- for the premium category will be lower than the broader portfolio?

Vivek Gupta: Rado, you want to talk on this?
Radovan Sikorsky: Unfortunately, I didn't -- Robin, did you hear the question?
Robin Achten: No.
Radovan Sikorsky: Can you please repeat the question? I didn't hear it.
Chinmay Gandre: I think I can help. The question is that because in the premium, you do more new bottle insertion and you're doing more interstate exports, are the margins lower than the main steam or what are the plans to improve those margins? That was the question.
Radovan Sikorsky: Right. So yes, there would be more new bottle injection in premium with the 21% growth, right? So that is happening. And of course, that impacts our margins. If you look at interstate sales for premium, that is margin dilutive. But when you look within the state at premium, then of course, the prof itability is better on premium.
So that's why what Vivek was saying as well important for us to work on our footprint so that we can do local for local, if I can call it that, that if we can produce premium locally, our margins definitely improve a lot. But there will be pressure a bit o n the premium as it grows because of new bottle injection. But that doesn't mean that there will be a margin dilution to say if it's local for local.
Chinmay Gandre: Second, my question is on barley prices. So this season average sourcing prices would be similar or lower versus last year?
Radovan Sikorsky: Unfortunately, we're not having very good sound here. So I didn't hear that.
Chinmay Gandre: The question is on barley prices. The average sourcing prices for us for the current -- for the coming season would be similar or lower versus last year?
Radovan Sikorsky: Barley prices, yes. So the barley prices, the barley crop is looking quite good actually this year for us. So that's really nice news. The crop is coming in quite nicely, and there is softening on pricing as well versus last year. So overall, it's looking good. We did import some barley as well, but not to a big extent. But we feel that this should be good for margins going forward as well in terms of the barley prices.
Moderator: The next question is from the line of Vishal Punmiya from Yes Securities.
Vishal Punmiya: Yes, firstly, on the quarter, there is a higher overheads on a year -on-year basis, almost 22% jump. What would be the key drivers for that?
Radovan Sikorsky: I mean in the overhead costs, in total costs we invested more behind the brands and so commercial spend is up. Freight costs went up as well. So those were the really big ones. And then there is some inflationary coming through as well. We've also been inv esting all behind the organization. So we are strengthening the commercial organization quite a lot in terms of consumer insights, we have a new CMR person in place. We are also strengthening some of the feet on the street, so there is a little bit of increase also in the organizational part as wel

l.

Vishal Punmiya: Understood. And secondly, in terms of FY '24 volumes, if you could help us understand how the industry has done in terms of absolute volumes and what has been the growth for the industry?
Radovan Sikorsky: Vivek, do you want to touch on that?
Vivek Gupta: Yes. Unfortunately, the data is so -- it's not available actually, if you ask me. When we talk about the industry, it's just estimations, the real data you get in this industry is only on 30%, 35% business. But I do think based on the hot summers, based on the news in the category, what we are driving and some of our competitors are driving, I would say that the industry should be growing at, at least closer to 6% to 7%. That's our estimation that for '24, that should be the category growth net of the election impacts and all.
But again, as I said, North will depend on the regulations because a lot of the pricing and some of these work did not happen in the first quarter because of elections. And it really depends on how the regulatory policies of the states come in. Because if some of the states, like if they just take a duty hike on beer, then I don't know how much the category is going to react in some of those states. But yes, I think 6% to 7% would be a good safe number to bet on. Rado, you can add your perspective there.
Vishal Punmiya: And overall -- over that you will be gaining share, so your volume growth would be high single digits, 8% to 9%, would it be right?
Vivek Gupta: I think that is our aim. If you see the last 3 quarters, we have been growing 7%, 8% and 11%. Those are the numbers for the quarter. And of course, we'll see how much election disrupts this quarter, but -- and we'll figure it out. And I think overall, our aim is to grow faster than the market. And I would say in the last quarter, we have actually gained all India market share. Based on our data, we have actually gained more than 100 basis points of market share.
Vishal Punmiya: So what would be that market share number now? Would it be 51%, 52%?
Vivek Gupta: I think, Robin, you can correct me, we are upward of north of 50%, right?
Robin Achten: Overall, North is 50%. For our estimates, we are indeed around 50% at the moment.
Vishal Punmiya: Okay. So that number seems to have not improved, right, based on the commentary that we have been getting at the end of every year. But still, we have been gaining market share. So why is there a variance in the commentary and the numbers? Is it just becau se of the sample that you're taking to calculate the volume market share?
Vivek Gupta: See, as I said that we actually get the real data for 30%, 35%, but my understanding is it is improving because in the last 2 quarters, we were more in 48%, 49% and it is actually going up. But we can go back and double -check it. So the way we do it is, we estimate for the markets where we don't get any data, and we get the data for the cooperation markets where we actually have the data on this.

Vishal Punmiya: Okay. Understood. Just lastly on the balance sheet. You did mention the receivables from Telangana, which are pending. So that kind of is reflecting in your receivables. But in terms of inventory, is it just because of the expected season in 1Q, is the inv entory level high?
Vivek Gupta: Yes, I think because we are also preparing for the season and to manage the volume growth. And for us, it's in various states as well because our -- we don't have large -- we have spread out breweries, and that also has an impact. But we think on inventori es, we are quite manageable. So it is not a concern to us.
Moderator: The next question is from the line of Harit Kapoor from Investec.
Harit Kapoor: So one question is on the capacity expansion part or investment in capex . I mean Vivek, you mentioned that th

ere is -- from the payment kind of work also that you're going to take up going forward, I assume there will be pockets in which you will also add line. So I just wanted to, in the context of higher volume growth versus the last few years, just wanted to get your sense on what are the plans in terms of capex for F '25 that we are following.
Vivek Gupta: Yes. See, I think, Harit, in the last couple of calls, I said that probably in this call, we will talk about our strategic plan for future. We had a conversation, I thought the best would be that sometime in August, we actually will do a roadshow in one of our brewery and invite some of you to come and actually because that is the time where we can actually talk a little bit more about our plans I can only say that as you see, we had very, very good traction from our global team.
Our global CEO was in town for a week actually, he's kind of full week in March end and there was a media interview where he talked about the potential of India. We had our global CFO in town in February. Of course, we have a strong plan in India, and we'r e also very conscious on like what Rado said 2 steps forward, 1 step backward with the regulatory environment and some of the other changes. But I think in August when we do this roadshow, I think we'll be able to talk a bit more details in a very confide ntial manner because a lot of it is sensitive information

on what we are planning.
But needless to say, we are preparing ourselves for growth for years to come, which means that we will need capital investment to increase our capacity and produce premium locally and all of that, but we'll talk more in August. And I think very shortly, we 'll send the dates and the venue so that you guys can RSVP on that.
Harit Kapoor: Fantastic, fantastic. And just one last one on the state-wide kind of pull and push. Just wanted to get your sense on markets like Delhi, where the pressure has been there and now it's kind of to lap up. So would it be fair to assume that last 12 to 18 months is not great in that state? And now, I mean, it's probabl y there in the base. So incrementally, that particular pain point will not be there. Similarly for Haryana, it's been a while. So these 2 Northern states, whether -- at least below base should kind aid things come forward? That was my second question.

Vivek Gupta: Yes. I think we are still working through the Delhi plan. I think I don't know how low is low in Delhi, and we haven't seen any major policy change in Delhi because of whatever is going on. Even this year, they extended the policy, which was going there. O n top of that, there has been delays in labeling and all of those things. So I think Delhi is still work in progress. We'll get more clarity on that. So I don't think that the base is set yet on Delhi.
On Haryana, yes, as I said, that as we cycle through those changes, we should see more growth, and we'll have to see how the regulatory environment shape up there with all the changes in the government and the elections as well, but it's still work in prog ress, I would say. At this stage, I'm -- I don't have a definite plan to tell you that I'm very confident and all, I think it's work in progress.
Moderator: That was the last question for today. I now hand the conference over to Mr. Harit Kapoor for closing comments.
Harit Kapoor: Yes. Thanks, Muskan. On behalf of Investec, would thank all the participants for joining the call as well as thank to senior management of United Breweries for taking out time for this month. I'll now hand over to Rado or Vivek for closing comments. Thank you.
Vivek Gupta: Yes. No, thanks, Harit for organizing. And again, thank you, everyone, for asking great questions and really being patient with us. As I said, that our company is going through both performing and transforming, and we are not only focused

on delivering thi s quarter, next quarter, but we are really focused on how do we grow our -- how do we make sure we continue to grow this category and be the market leader in next 4 year, 5 years.
It's a very capital -intensive business. So you have to plan well in advance and make those choices. I also want to thank Rado, again. I think he has been amazing in this journey over the last 2 years and he'll also continue to support us in the region role. So -- and I will also send the invite for the August and you'll ge t a chance to walk one of our brewery as well, so look forward to interacting then. Rado, anything to close?
Radovan Sikorsky: No, I would just like to say that it's been great to be in each investor calls, some great questions from all of you. I strongly believe in this business in India and Heineken sees it as well. So I will, of course, be watching it from the region on our pro gress, and I'll be helping where I can. And yes, just thank you, everyone, for participating in these calls.
Moderator: On behalf of Investec Capital Services Limited, that concludes its conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2024

"United Breweries Limited
Q1 FY '2 5 Earnings Conference Call "
July 26, 2024

MANAGEMENT : MR. VIVEK GUPTA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – UNITED BREWERIES
LIMITED
MR. ROBIN ACHTEN – HEAD OF BUSINESS CONTROL
AND INVESTOR RELATIONS – UNITED BREWERIES
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the United Breweries Q1 Full Year 2025 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar, then zero on your touch-tone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Vivek Gupta and Robin Achten, from United Breweries. Thank you and over to you, Vivek and Robin.
Vivek Gupta: Yes. Thank you, and good afternoon, everyone. This is Vivek here. Thanks for joining the earnings call. Just to start with, we are going through the CFO transition in UB. Jorn who is our new CFO, will join us from August 1, and the other one has left there. So Robin will help me in this call. Just to start with the opening, I'll go straight to the highlights of Q1. I think most of you would have seen the results.
I would say that as a company, and I personally feel very strong that we are making very good progress. And our plan to build long-term value in this category is completely on track. We had a very good quarter in the context of some of the challenges we fa ced due to elections and I mentioned last time as well that being the largest player in the market and having significant shares in some of these states, we had disproportionate impact on the election versus some of the other players.
But having said that, some of the highlights of the quarter, as you said, we grew our net sales by 9%. Our premium volume grew 44%. Our overall volume grew 5%. We made a significant gross margin improvement of around 247 basis point and a lot of it was dri ven by state mix, brand mix, product mix and also very, very intentional capability building we did in terms of strategic revenue management, which started giving us early results.
Our EBIT grew 29%. We continue to invest in the organization capability and the capabilities that are needed for the future. That's why you see there is an increase in our employee expense, driven by the cost increase, but also the role we have invested in , especially in the area of trade marketing, procurement, consumer insights.
I also feel very, very good about the work we are doing with consumers. As I mentioned that the number one priority for us is to make this product -centric, manufacturing -centric business to a consumer -centric business. I'm very happy to say that we are seeing very, very strong results.
Our Ultra and Ultra Max portfolio grew more than 50% in the season, despite all the challenges in the elections. Our Heineken Silver, where we only had a few states because, as you know, in Karnataka, we were not selling Heineken this quarter because we di dn't get the manufacturing permit. And it was there in the base last year.
We grew double -digit nationally on Heineken Silver portfolio as well. Our innovation on Queenfisher what we launched before the beginning is now in 4 states, and we are getting very encouraging trends on that.
We are also seeing significant distribution increase in our portfolio

in various states. So I feel very good about the choices we are making to understand consumer and designing for consumer, and that is giving us good result.
The second big choice was to increase the manufacturing footprint of premium in more states. I'm very happy to report that we finally got the approval to produce Heineken in Karnataka. And as we talk, our view is getting -- is in the tanks and hopefully, by -- in a week -or-so, we should start shipping Heineken portfolio in Karnataka, latest by mid August, we will be there in Karnataka fully.
But because of our manufacturing footprint inc

rease, in some of the states, we have seen our premium shares actually doubling because we are able to produce locally there. And that work needs to continue to happen. In some states, we ran out of capacities because we could not do interstate transfers which again gave me confidence that as we are working on plan for 2030 in terms of where we need capacity, where we need our footprint expansion, we need to accelerate that further and that's a big priority wor k we are doing for the next year as well.
And the fourth one was the regulatory work. I think we have put a lot of effort in, a, launching Beer Association of India so that we have a voice as a beer industry, but also connecting with the state governments at various levels, and we're already seein g some green shoots in the coming quarter as we talk about that.
But overall, I feel that we are making very good progress. We did an estimation that if we didn't have the election impact, how much volume growth would have been? And this is all a combination of we didn't get the third shift approval in many places or we didn't do the interstate stock transfers because of the excise policies or some of the other things, the volume growth at the national level would have been anywhere closer to 8% to 9% if we just took that impact.
So keeping all of this, I think what was in our control. I think we did an extremely good job, but it is a journey, and I feel that there is more to be done and it's a multi -quarter approach, which is working, but feel very good about the strategic choices we have taken as a company.
But I'll hand over to Robin to give a little bit more color on that.
Robin Achten: Yes. I think that Vivek already covered most of the financial highlights. So I think we can directly go to the outlook before we go into the Q&A. So our intention is to build further category growth while driving the share of premium in our portfolio and gain mar ket share within the premium segments.
We will be doing this by a continued focus on revenue management and cost initiatives also to drive margin accretion with the plans to continue to invest behind our brands and our capabilities. And hence, we remain optimistic about the long -term growth pot ential of the beer category in India.
Before we go into the Q&A, we also wanted to highlight you will receive an invite in the coming weeks for an investor meet on Thursday, 19 September, in Mumbai. And with this, we conclude the opening remarks, and we can move towards the Q&A. So operator, you can please go ahead.

Moderator: Thank you very much. The first question is from the line of Abneesh Roy from Nuvama. Please go ahead.
Abneesh Roy: Congrats on good set of margins coming back. My first question is on the Heineken in Karnataka. So if you could tell us in the states where you're already present, say, Maharashtra and Goa, what kind of a success or size Heineken has been able to create because that could be a template for Karnataka?
Plus I think there could be other competing brands or other companies already being in Karnataka, so what kind of market size are you looking at longer term here? Plus you said that in base, Heineken was present, so was it only because of the elections you did not bring it from Maharashtra or because the factory was almost ready and permission was almost coming, so that's why from Maharashtra, you did not ship it to Karnataka in this quarter?
Vivek Gupta: Yes. Thanks, Abneesh. I think let me answer the second question first. I think we actually have the manufacturing facility ready for last 9 months. We had applied for the permit for the local label registration and till the time you get the permit, you can not actually import. So we're waiting for the permits to happen as well. So we waited to do the right things without being very tactical to just import because w

e wanted the full permit on actually producing locally and selling locally, which we have now got, and we will do that.
So the other thing is Heineken, we got the permit sometime in mid -June, but the brew itself takes

21, 24 days, it went through -- it goes through a huge amount of quality checks, including sending samples to our overseas operations. So they want to make sure the beer is absolutely consistent to do that. So that is about that part.

So we did not have an option to import from any other state because of the permits, which we got later and this was a long drawn process. But good part is, we will be manufacturing locally, and that will be improving our margins but also giving us the full space.

Heineken as a brand is now the world's biggest beer brand. We launched Heineken in India with Heineken Original. But in last couple of years, we have actually launched Heineken Silver, which is a raving success in other Southeast Asian market because of a different taste profile it brings in and does that.

And so we think in our plan for 2030, Heineken will play a massive role -- this portfolio will play a massive role. And it could be anywhere between 7% to 8% of our total portfolio, that part of it.

In Maharashtra and Goa, where we are in Heineken, our sales growth of Heineken is above 40%. And every month, we are beating share versus previous month. As you know, we launched Heineken Draft. We are gaining the distribution to do that. So I think it is not going to be a huge that for month 1 and year 1 we'll hit 7, 8 shares, but it will actually start giving us 100 to 200 basis points of share growth every quarter on a very profitable premium segment and very distinct product, which is 100% malt product .

So we are feeling very, very bullish about it. The other good part is in Karnataka, the launch was very successful before we applied for local -- that's why we made a choice to do local manufacturing. So we already know that the moment we will announce in the market, there is a pipeline which will get into it, and there's already a latent customer demand. So we are feeling very, very strong about it.

Abneesh Roy: Sure. Good to hear on the 40% growth in Maharashtra, Goa, et cetera. So 1 follow -up question on Heineken only. So I know, Vivek, currently, you have too many priorities and focus of increasing manufacturing in few states because capacity constraint is ther e. But in North India, would you need a Heineken at some stage because now Maharashtra, Karnataka are adjacent states, big markets, but North India is also a very attractive market. Would you need there or the tax laws are okay for importing f rom Maharashtra?

Vivek Gupta: Look, we are working with Delhi as we relaunch our operations to get Heineken there. That's a big part of the market. We are already doing Heineken in Rajasthan. We have a manufacturing unit, which is ready to go in Rajasthan as well to produce more Heinek en there.

So we are working plan broadly. But what we also don't want to do is we also want to go -- we have a very big innovation agenda across multi -brands. And I would say over a period of next 12 to 18 months, we will have a very strong presence of Heineken in m any other markets as well.

Abneesh Roy: Sure. That's helpful. Vivek, my second q uestion will be on what is the number one player in spirits doing. One very interesting thing was, they did 2 acquisitions on almost the same day, one in craft spirits and one in 0 alcohol. I again understand currently, your plate is full on doing what is there in terms of current business becaus e there's huge, huge headroom, huge, huge low - hanging fruits. But what will be your thought process on M&A/craft? I know you are doing some craft beer on your own, but what is your thought process on M&A of all these niche start -ups?

Vivek Gupta: Look, I think as you al

ready said, right now, my plate is full because we have so much to do to fix the basics of this business, to ensure that we have capacities to produce beer, to get our portfolio right, to get our brand priorities right. I think we ar e absolutely 120% focused on our current agenda and few priorities.

Having said that, we have a small team who is looking at all the opportunities, and we are evaluating what to do. We have our own experience center as well and do that. But I would say right now, at least for the next 6 months, we just need to fix the basi cs on the core business.

I know it's not the answer you want, but I think it's super critical that we fix it because otherwise, if we don't fix it, we will have a major problem in the next year. We'll not learn from the gaps we had this year and we'll not fix that.

Abneesh Roy: Sure. Last quick question and then I'll stop. So Beer Association of India, very good development. And my specific question here is, will there be any particular specific states where I think the work will be higher? And when I see Bengal where beer tax hike recently was much higher than spirits hike, what will be your take on that? Because it seems counterproductive, counterintuitive, at least from a Bengal perspective. So if you could answer on that?

Vivek Gupta: Yes. Look, I think there are going to be short -term issues. And look, each of the state after the elections you see in India is going in a very different way because everyone is looking for revenue. So it's very volatile. If you are in my seat because ever yone is looking for more money and there are negative development happening around taxation.
But I think the Beer Association of India is a much bigger agenda because beer category is so underpenetrated in India. I have asked them to focus not on short -term gains, but really focus on macro issues, which are -- which really step change the category penetration from 9% to 30%.
So for example, what is the economic value beer brings to the ecosystem? Because beer is not about producing beer. There is an ecosystem of collecting bottles, the ecosystem of barley, there's an ecosystem of glass. What does it bring to the total economic value to the industry? So that the -- so there's a better understanding of why beer is good apart from the social factor.
Second is there are states like Madhya Pradesh, for example. They have laws which are -- the excise policy is designed in a way that it benefits the local players like and others because there's a franchisee fees if you produce a national brand there.
So the Beer Association of India has to take those bigger ticket items where there is a level playing field for multinationals and local players and which actually explore the category growth as well. The third is the regulations around advertising of beer , the regulation around some of the other taxation as well. So there is macro agenda, but there is also an ongoing micro agenda to highlight spirits versus beer gap as well.
Moderator: Thank you. The next question is from the line of Edward Mundy from Jefferies Group. Please go ahead.
Edward Mundy: I've got 2 questions then, please. The first is around the Heineken brand. Clearly, you've got Heineken Original, you've got Heineken Silver. Could you talk about the pros and cons of potentially launching a Heineken Strong brand? And as part of that same question, how about the potential for Heineken Zero over the medium term?
And then the second question is more around some of the investments you're making. Is it feet on the ground? Is it upskilling? What are the capabilities you're trying to put in place at this stage?
Vivek Gupta: Yes, sure. Thanks for asking the question. So let me go one. I think on Heineken, right now, our focus is on really, really making sure we expand Heineken Silver in few markets because we want to

go state by state and really build up these things. And -- because we have a very global success model and especially in the market Heineken Silver is launched, where both Heineken Original and Silver have a role to play. So we are going to focus on that. We keep looking at other innovations like what you talked.
But right now, the priority is to build a very good business on Heineken Silver and Heineken Original. On Heineken -- and some of the biggest markets like Karnataka, we are just relaunching it next month as we talk. We are also evaluating a couple of other markets like I talked -- I answered in the previous question.

On Heineken 0.0, we are importing it. We believe there is a long -term market of 0.0, but we are actually working to further strengthen our go-to -market. As you know, the go -to-market needed on 0.0 is very different than a liquor go-to -market. So we are wor king in a couple of states to see how high is high, which means that what is needed for consumers to really understand how 0.0 is different. And I think that's still the biggest barrier in India.
It's not about the proposition because the consumers don't understand 0.0. And we are learning in a small scale. And once we have -- once we track it or once we get some learnings, we will expand there.
On your second question, I think we are making investment in few areas. I think the number 1 is, as I said, we want to be very consumer -focused. We have made investments in CMI function, but more importantly, in really understanding in depth about our product superiority.
So we have now created a panel in most of these states at how is the product doing versus local competitors, our competitors, are we on track, what are consumers asking. We have made investment in our procurement function so that we are thinking ahead.
We are working on backward integration like barley sourcing from the farmers, looking at where do we need malting units, where do we need to work with the glass manufacturers. So we have significantly increased capability there.
The increasing capability in better digitization of our operations. We have probably the widest network of brewery and a lot of things happen manually. We are investing there. We're also investing a lot of resources in trade marketing because winning in st ore is super, super critical.

We're increasing feet on street, like in many states when the policies changed, there is an
opportunity to actually do more at the stores. So there is overall investment happening in all
these areas. We have step -changed our ability in quantity because whe n you have local brewery
operations, you need to have a very high center of quality.
But as we are working on all these investments, we're also looking at areas to drive efficiency. Where there's duplication, we are going to remove duplication. Where there is redundant processes, we are going to do that. So there's a lot of work happening on organization redesign,
but focus on first effectiveness and then in parallel we've started working on efficiencies as well.
Moderator: The next question is from the line of Jignesh Thakur from JM Financials.
Jignesh Thakur : So I'd a first question on Heineken. I just want to know what percentage of your sales and
volumes are Heineken? And are we planning on bringing it to any more states in this financial year?
Vivek Gupta: Look, I think -- sorry, your first question was what percentage of sales is Heineken or what was
your question?
Jignesh Thakur : Yes, yes, what percentage of sales and volumes are Heineken?

Vivek Gupta: Yes, I think in percentage of sales, and this is very small on our overall business. But as a
percentage of premium sales in the market we compete, it is significant. And we want to actually
definitely take the brand to other markets a

nd especially when we have Karnataka as a
manufacturing hub, it actually helps us to go to some of the other markets if we get the export
permits.
But the way we want to build this brand is we really want to double down on a few states get to a reasonable share and then we go to the next market and the next market. So please expect that
in the next 9 to 12 months, we will be in at least 4 states more behind this manufacturing capacity
increase, both in Rajasthan as well as in Karnataka.
Jignesh Thakur : Got it. Got it. And next question is, I heard that we're increasing capacity. Just want to know
which are the states where we're at full capacity, where we're planning on increasing it? And
what is the planned capex we expect in this year and next year?
Vivek Gupta: Look, I must tell you that this is the #1 priority on which I'm personally working with our
manufacturing team and our business development team. We have been to many states. There
are a few states we are actually -- we have to actively expand our capaciti es. West Bengal is 1
state, we have to expand the capacity.
Telangana is another state, we have to expand the capacity. We are looking at options in
Rajasthan, Odisha. So right now, I'm -- I have at least 10 states in my plan where we are
evaluating various models to see how we can do, including improving our own brewery operations to increase the capacity because there is -- there are a lot of work we are doing on
upgrading our equipment, repair/maintenance, so that at least the capacities we lost because of
breakdowns or all of this, we actually can get more throughput out of our breweries as well.
We're also waiting, for example, in some states, we are also going to permit -- or government by
evaluating on high- gravity brewing. We know that if that can happen, that can also give us some
4% to 5% increase in our capacities as well. So there is a mult istate plan.
I can only tell you is whatever capex we will need to increase the capacity as per the plan, we
will get it. We have that alignment from the Board. But I can't give you the numbers because if I say I'm going to add a brewery, it will take 2.5 years to put a brewery, but there are various
options we are working with capex , without capex , through partners, through our own breweries
through brownfield expansion, through putting a can line in 1 of our brewery. So all of that, there is a strategic plan we are w orking, but there are almost 10 states on which we are working
for next year.
Moderator: The next question is from the line of Jay Doshi from Kotak Bank.
Jay Doshi: My first question is if you could explain us, over the last 1 or 2 years, how broadly some broad sense of inflation in glass bottle prices, how has your mix changed in terms of recovered bottles?
Where are you in that journey? And where do you think -- how much time do you think it will
take for you to get back to, if I'm not mistaken, recovered bottles used to be about 70% of your
overall bottles consumption, so where are we today, where do you think, so some color there

because you are not able to understand, 1 is there is inflation in glass, bottles is the second is
some slippage on recovery over the last 6, 9 months? So that's my first question.
Robin Achten: Yes. So let me maybe answer that question on inflation. And let me make it a little bit broader

and look at input cost as a whole. So what we see this year is that we definitely had a tailwind from the cost of barley and malts that came down for bottles an d cans because cans are, of course, also an important material in our volumes.
We see some inflation, but modest, very modest inflation, but more important also to the point that you raised are the bottle return rates. And as mentioned already a few quarters now is that we're really working through improving the bottle return rates. And this quarter, de

spite having volume growth, we see a lower percentage of new bottle infusion as we call it. So that means that our plans really start to work.
Are they yet at the levels where they were pre-COVID? No. But we clearly see traction now in the markets that the plans are working, which is then also positively impacting our gross margins.
Jay Doshi: Understood. Would it be possible for you to give us some ballpark numbers or quantify it? And if this trend continues, by when you think you will be at pre -COVID levels in terms of bottle returns?
Robin Achten: That's very difficult to say. It also depends on state mix impacts. So let us first make sure that we deliver on this a few quarters in a row, and then we can get back to you with exact numbers.
Jay Doshi: Understood. Sure. My next question is for Vivek. So Vivek, in the past 6, 7 months or maybe that you've been in the organization, what is your initial sense for a company with 50% market share in this industry, what is the ideal steady state EBITDA margin or EBITDA per case that United Breweries should operate at?
Of course, there's not -- I'm not seeking or looking for a guidance, anything initial. But over a 2-3-year period, if you get your strategy right and if the execution is as per your expected -- on expected lines, where do you think the margin should be for a business of this nature?
Vivek Gupta: Yes. No, thanks for asking. Look, I think I fundamentally believe that the growth is the biggest opportunity. It's a very under -- we have not served the category well in terms of driving category growth, taking the leadership in the category and crossing the barriers. So with an outlook of that high single -digit volume growth in the category and double -digit revenue growth we can deliver and the amount of innovation or new bottle emersions and capex which is required here, I think our operatin g margins, we would definitely -- I don't think we will go at a pre -COVID level, but I think definitely to a double -digit kind of a growth operating margin would be very much achievable.
Internally, we report around 6% operating margins today in India. I think we should go to at least 10% to 11% in next 2 to 3 years. So there is a significant potential and now, see when you get...
Jay Doshi: When you mentioned operating margin, are you referring to EBIT margin or EBITDA margin?

Vivek Gupta: EBIT margins, basically.
Jay Doshi: Okay. So basically, the 400 basis point improvement in EBIT margin from current levels is what you think you should achieve. Just 1 final follow -up there. So what has changed between pre -COVID and now that sort of makes you believe that -- at least that yo u cannot get back to those margins? So is there some permanent or structural change in the business that -- or state mix or some other aspects, if you could sort of share it?
Vivek Gupta: Yes. I think, look, the question is that, can you get there or not? I think the first is the investment required to accelerate the top line and the growth. And I think if you really see the category growth rate pre -COVID, and when I was looking at 7 -year d ata up to that point, I think it was in low single digit.
I think we are trying to almost double that growth rate in the category. That's a big, big change to drive that. And I think the key driver, and especially when the duties are increasing. If you really see the price of beer pre-COVID and price of beer toda y, has increased. Both state by state because of the duty increase, the quantum of duty increases, the MRPs have gone up significantly.
So beer has actually become expensive versus affordable. The only place beer was a little bit affordable where you're doing economy in Karnataka and all the places. So consumers are paying more. So let's think from a consumer angle. In that context to drive volume growth, it will be a combination

of innovation, deeper understanding, investment in BTL and in the stores to really do that. So the second big change is, I see the drivers of the category was not invested in. A very simple, the beer is sold and i t is cold. It is basic But UB, when I see today have only 15,000 to 20,000 stores where we have fridges, where we sell the cold beer with our branding and everything to put together on this.
And this dropped significantly for the category if you go to Tier 2, Tier 3 town. We plan to triple

up that investment in fridges in the next 12, 18 months. So the depreciation of capex and all of this thing -- it will be a capex investment. Also, the upgrade of the brewery because competition has changed.

I would say our competitors have brought very good quality beers. Let's give it to them, right? There are good quality peers out there. So we have to up our game. So I think it's a combination of all of it. Fourth is I don't think the pricing regime that the government is getting simpler. It is not that I can price for it with the commodity change in fluctuation. If you see there is becoming more and more regulated here.

Of course, the BAI has to do work. So keeping all these factors, I'm sharing this, because -- but if you say that a few of the wins we can get in corporate affairs, yes, we make -- Heineken company makes 15% to 17% margin, like we are operating much lower, you'll see if you go to any South Asian country, the margins are much higher. But I think it will need some regulatory unlock which we are working very hard, but I am not giving that in the outlook.

Jay Doshi: Sure. Very, very clear. We look forward to hearing more in September.

Vivek Gupta: Yes. Thanks.

Moderator: Thank you. The next question is from the line of Tejas Shah from Avendus Spark Institutional Equities. Please go ahead.

Tejas Shah: My question largely pertains to the point that you made on how government, especially state governments, taxes have increased pre-COVID versus now. And just referring to the recent change, which is post 4th June, it seems that the political mood is driftin g towards more aggressive populism in state government budgets also versus, let's say, what was expected to be more pragmatic, let's say, a year back.

So just when you guide or when you make business plan, how much of this volatility you have already factored in or you are taking as it comes and there is no way you can kind of accommodate that in your planning?

Vivek Gupta: Look, I think I will tell you that we are doing a lot of work. And the reason we say is because we are in very active conversations with most of the government. I can mention that our team, including myself, we would have met almost every single state gove rnment twice in the last 2 months to just stay closer and understand what's going on to do that. And I can tell you what you mentioned is absolutely true that post election, we are seeing a trend where governments are looking for more revenue than the duties are going only northwards.

There's not an example which is going down on this, and we continuously actively engage. Look, some of it is also we are able to understand and factor in the plan. But some of it is very difficult to factor in the plan as well.

So some of it is, we stay very close and see what is going to happen. The good part is we are also able to bring to the -- some of the government that look if it is going to be 1 side, it will impact the sustainability and viability of the industry. And it will not bring investments in their particular states.

And we are also able to show the math and especially when UB when we are in an investment mode where we want to grow category, we want to invest in capex , we want to do that, we are very transparent with our plans to really do that. And I think -- I would say it is a journey, but I'm seeing much

more engagement with the government than ever before. And I am feeling quite buoyant about this actually that in some of the cases, they have listened to us and understood and we are seeing some progress.

And we'll report that progress in the next quarter results. I don't want to give away too much thing, but we are we are -- there were some big bottlenecks in certain states, which were impacting us, we think we are making progress there.

Tejas Shah: Thanks for an honest reply. Just 1 follow -up. In the last quarter, you had highlighted some collection issues in one of the government, state governments. Any update on the same?

Vivek Gupta: Sorry, which issue you said?

Tejas Shah: Collection issue...

Vivek Gupta: Look, it's an industry issue. It was in Telangana. I think it is still impacting the cash flow and working capital. I would say that we, as an association, as an industry, we've around 10 CEOs, both of spirits and beer companies, we all went and met Chief Minister with Beer Association of India everyone, and they assured us that there will be a follow -up on plan on that where they

will start getting payments.
So I would say the situation is still red, but we have got the issue assurance. So I'm hopeful that some of those commitments will come through in a few weeks' time. But continue to -- we decided to continue to supply to them because given a bit of assurance.
Tejas Shah: Have we provided for that already or do you have to provide that in some point in the future?
Vivek Gupta: No, we don't need to provide for it because it's a government operation, but it is impacting our working capital. And we have got an assurance that we will start getting back money. We've got some money back, it's very miniscule. We still have an outstandi ng more than 6 months of dues,
but I think the state government has committed us as an association as an industry that they will give a repayment plan and I think we'll know more in a week's time about that.
Tejas Shah: Sure. Can you quantify the outstanding? That's the last one.
Vivek Gupta: For us, it's close to INR 900 crores and for industry, it's more than INR 5,000 crores. So it's in the same proportion.
Moderator: The next question is from the line of Vishal Punmiya from YES Securities.
Vishal Punmiya: My question is on the glass bottles. You did mention an aggressive plan on hurricane expansion over the next few quarters, does this impact your plans for improving your own bottle mix?
Vivek Gupta: Yes. I think if your question is that -- is your question that if you have a plan -- aggressive plan on new bottles in Heineken, does it reduce the mix from return bottles?
Vishal Punmiya: Yes. Yes.
Vivek Gupta: Yes. I think this is again -- this is my first season I have done. My learning is we expect better return bottles to come in post season. More people drink and our return percentage will actually improve outside this season.
But I think as we put more bottles in any case, our major plan on Heineken bottle in the beginning is a single -use bottle. So when we bring the Heineken bottle in the innovation, we work the plans assuming the bottle will not come back. So that is built in our financial, and that -- this will not materially impact our return bottle ratio, I would say.
Vishal Punmiya: Okay. Understood. Sir, secondly, you made a comment on market share being at around 48%, 49% in a media interview. This in seems to me slightly lower than the 50% market share we have been hovering around over the last few years. Is there any new state that you want to highlight in terms of where could this market share loss be?

Vivek Gupta: No, no, we lost the market share. Let me be very honest with all of you. Because of this capacity and election things, there were 3 states, we lost doub

le-digit market share and for only reason,
we could not supply in those states or manufacture in the Sta tes. So we lost almost 10 points of market share in Telangana because we did not get the third shift approval during election code of conduct.
And we are the biggest player, and we could not produce and couldn't supply. And we lost that market share all in 1 month in April and May during that election period. In June, we are back on track on the market share. In July, we are actually ahead on thi s. But again, in the second state, we lost market share was Rajasthan, where again, both our breweries are running on capacity and we could not import from other states because of the election restriction.
And Odisha was the other states where we have 70% market share. We lost -- the category grew 50% in May. And because of the election restrictions again, we did not get permission from Andhra Pradesh or some of our other breweries to export there.
So we did lose almost 200 basis points of market share, but it was very isolated to the states where we could not supply because of election restrictions either in local manufacturing or getting these stocks. So that was the major reason. And there was a m inor share office, which was planned transition we had in Delhi, which we are now back on track from last week, but majorly, it was driven by that. But other than that, I would say, in premium portfolio, we actually gained market share nationally because that was more local and we anyway were not relying on interstate transfers for that.
Moderator: The next question is from the line of Abhishek Phutela from Narnolia Financial Advisory Limited.
Abhishek Phutela : Sir, I just wanted to know what's the delta between percentage expense in your premium segment and the normal segment? And can we expect it to widen in future years, future quarters?
Vivek Gupta: Sorry, your voice was breaking, you asked delta between -- delta on what, sorry?
Abhishek Phutela : The percentage expense on your premium segment and the normal segment?
Vivek Gupta: I think if your question is, do we make more money on premium versus the other segment?
Abhishek Phutela : Yes, yes.
Vivek Gupta: As I said, if we produce locally in a state and we sell we make more money on premium segment broadly. And during this election restriction, you saw that our premium segment went 44% up

and most of the growth is where we've started producing locally, and we are increasing our
footprint of loca l production.
So for example, in Odisha, our premium segment grew 34%, while my total volume was flat
because of the supply constraints I mentioned. And that was because I started producing Ultra, Ultra Max locally in my brewery.

So where I produce locally, it is there. And our plan is to have more local production of premium
as we grow with it. So -- but having said that, you are right, we spent more above the line to
build awareness on premium and on the return bottle initial inf usion. But overall, I would say,
as we continue to drive premium it should add to -- it should be margin-accretive based on our
current plans.
Abhishek Phutela : Okay. Just to follow up. What -- can you throw some light on what's your future benchmark in
terms of EBIT returns, assuming your long-term premium target -- premium percentage target
is achieved?
Vivek Gupta: Look, as I answered in the previous question, we aspire to grow our EBIT margin by 300 to 400 basis points
over the next 3, 4 years because we have to invest a lot. And the plan is -- all the
elements of plan have to come together, which includes the premi um part. Look, premium is
only -- we are only 18 share in premium and premium is less than high single -digit salience of
our business today. Our aspiration is to get to 25 share of premium at least in the next 2 to 3
years and grow the categor y to a reasonable leve

l.
Today, premium as a category is only 7%, 8%. We want to get it to around 15%, 18% and double
it. So I think it is going to take a lot of it. In India, it is a long-term game because you take 2
steps forward, you take 1 step backward with all the duty revis ions and all of these things,
sometimes it slows down your category growth. So I will stick to what I shared in the previous question.
Moderator: The next question is from the line of Ajay Thakur from Anand Rathi Securities.
Ajay Thakur: Sir, just wanted to get an understanding on the -- you mentioning about the volume growth could
have been like 8%, 9%, but it was slightly lower at 5-odd percent for the quarter. You
enumerated some points. If you can just repeat that briefly, that would be pretty helpful?
Vivek Gupta: Yes. No, see, as I mentioned, see, because we are a national business and a national brand,
usually, we actually move almost 15% of our volumes from 1 state to another. So there was a
significant reduction of that because the states did not issue export pe rmits because of election
code of conduct guidelines.
So I'll give you a very simple example. We move our stocks from Goa to And the excise -- the
election submission said, no, we will not give you the escorts to move with the trucks and so
there was a restriction.
There was a restriction, for example, in giving us third shift permits in Telangana, for example.
Because if you remember, at this time, the Election Commission of India said there are some
states which are alcohol has more, some states where other things are more and they had more
restrictions around that.
In some cases, it got impacted because of higher number of dry days or restrictions when the
election is happening in phases, you close the dispatches at 2 days before on the election day.
And when you are the largest player, it impacts you more. So a combination of all of this, our

internal assessment is we had 3 to 4 points of volume growth impacted because of these
restrictions without any other factors.
Ajay Thakur: Okay. I understand. Sir, second question was more on the market share losses that you attributed.
So in July month, are we seeing clawback to the normative kind of market share or how is it
exactly currently? And can you also elaborate how is the trend in terms of the mass segment in
terms of the market share?
Vivek Gupta: Yes, I would say on your answer, of course, very early into July, but yes, we are absolutely back.
And I think we are back with the bang also. So we are feeling pretty good about the market share
part. However, only 1 thing I would like to caution and which we say internally, the reins this
time, unfortunately, a lot of states are facin g flooding issue.
Assam had massive issue in floods, Kerala had issues, a part of some of the other states, Mumbai,
like, I'm sure many of you are there, there were red alerts and all. So it is difficult to fully assess how much is the impact
because of the floods and all t his as well. But I would say on your
question, yes, we are back, like which again, gave me confidence that there was no fundamental issue on the business that

we lost share, it is there.
Now having said that, we still need to work on supply constraints where we have. Some will normalize because we'll come out of the season, but we still need to work on making sure for the next year season, those supplies -- we have a plan to supply the pro duct, otherwise, we have not solved that problem.
Moderator: The next question is from the line of Krishnan Sambamoorthy from Nirmal Bang Institutional Equities.
Krishnan Sambamoorthy: You mentioned state brand and product mix apart from strategic revenue management has contributors to margin expansion. Now I understand that the state mix can be volatile, but do the other 3 -- will this still contribute to margin expansion for subsequent

quarters?
Vivek Gupta: Yes. Because when we say product mix, it's a combination of cans versus bottles. It is also a combination of small sizes versus large sizes and to do that. And I think they will continue to do that. On the brand mix, as I said, our focus is on growing premium, bringing new innovation in
that segment. I talked about Heineken. We have plans for a couple of other innovations, which are going to be very strong. We'll talk next time.
And hopefully, when you are there on 19th in the brewery, we'll showcase our innovation, which we think will be a significant part of our plan as well. So I think the brand mix and product mix will play a significant role apart from the state mix. As we sa id, state mix will be up and down,
and we have to manage through a portfolio of plan across states on that, but those 2 will be a big part of the plan as well.
Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking.
Shirish Pardeshi: Just 2 questions. On Slide 4, you have given the state growth. I was more curious that if you were saying that your premium segment is single digit. But then equally, I'm also seeing that the

volume growth is different. So I'm more curious and the third lens, which I'm looking is the can versus bottle.
So if you think the bottom inflation and there are issues around, will the can is the going next forward strategy where you're seeing availability and feet on street in terms of distribution?
That's my first part of question. So in terms of priority, what is the management thinking around whether the can volume should grow up faster than bottles?
And the second question is that, say, top 10 metros if there is a demand for cans, which is going up and I would believe that the trade is saying that the cans are moving faster, obviously, the quantity matters to the one on the go. So in that sense, if the premium growing faster at 44%, would you talk about top 4 metros how the growth is happening? And maybe to follow up on that, what is the distribution against the
Vivek Gupta: Fantastic. Thanks. A lot of questions. So let me go 1 by 1 very quickly and not in the order because whatever I -- top 4 metros, if I have asked a follow -up question, who would you include in all 4 metros? I'm assuming Mumbai, Bangalore, Hyderabad and Delh i?
Shirish Pardeshi: Yes.
Vivek Gupta: Yes. Okay. For us, I would say, let me -- I would call it Calcutta or maybe Hyderabad, Bangalore and Mumbai because Delhi, we did not do much business in the summer -- in this quarter, if you see the numbers as well because we went through a transition wit h a partner, and we are now fully ready to ship in Delhi as well, which is going to be, I think, strengthen our plans.
So I can give you the example of Bangalore, Mumbai and Hyderabad, let me give you the example. In all these 3 places, I would say our -- we actually grew double digit in volume growth.
On total business, and our premium business would have grown almost ahead of our total 44% growth in all these things.
So definitely, we did extremely well in these 3 metros. We've played -- in Calcutta, we don't have a big premium business because we made a choice not to import some other states because of the restrictions as well. So most of our business in Calcutta is K ingfisher Strong and Kingfisher Premium.
So that's why it's a bit convoluted but wherever we had planned, we did extremely well in these metros. By next year, we should be fine in both Calcutta and Delhi, I can also share with you on that.
On the second question, cans versus bottle. Look, we have to be very consumer -centric on this. So if I'm in UP, absolutely, I want to drive more cans because 70%, 75% is can. And a lot of can is, when we went back to consumers, it was actually driven by mo re of convenience, easy for me to carry -- when they went to Rajasthan,

which is driven by what they call it carobar where
people say, we take the cans and drink in the car, but don't drive, they also always add to that. But we have to be very consumer focused on this because bottles bring a very different value to the brand and the experience on the beer market. So we decided that we will be consumer -

focused, where the cans are growing, where there is the demand of cans, we will invest in the can lines, we'll also expand our capacity on the cans, but we will not look at from an only profit angle that it is easier to sell can because long term, it actually erodes your brand equity because the bottle bring a different experience, it also have a different set of it.
So that is where we are. But if I have to be very honest about it in next 12 to 18 months, there is significant expansion plan on can capacity. Having said that. So hopefully, that answers your question. I think the third question you said, by state, it di ffers -- can you give me an example of what you meant by that and then I can help answer that?
Shirish Pardeshi: So I'm saying if I look back and what the channel partners are saying, the mix between can and bottle would be different in Maharashtra versus UP. That's what you've touched upon. So this trend is giving you more confidence that can is the future?
Vivek Gupta: It is not giving me the more confidence that the can is the future. I think it is giving me that there is a big demand for cans and there is an unsold consumer need. So for example -- and we need to work on that. So yes, there is a growth from can because of convenience and number of stores and -- one of the reasons cans are growing because number of stores of beer are not increasing.
So we are actually working with the regulators like in places like Maharashtra, they can actually have beer and wine store and actually, when we -- when that happens, that will also help on this.
But yes, there is a trend because of lack of stores that can s are easier to carry and also easier to store -- but we are also careful that we are not orchestrating that too much because if we do that, there is an experience of beer in a bottle with a certain branding and certain experience, we don't want to lose that also.
So especially, for example, if you go to an on -trade channel, let's take, if you go to a bar, very rarely you will actually get people serving you beer in a can, right? It will either be a draft or in a bottle. The experience of socializing, which is attached to beer, which we also don't want to fully lease.
Shirish Pardeshi: Okay. That's helpful. My last question on the competition. We've been hearing and obviously, the trade is also saying likes of strong beer, God father on the lower end power pool, you're seeing the growth. Now I just wanted to understand from the consumer behavior lens. Is the market is ripe that because you have been saying strong is one of the big opportunities. So if there is enough market? And maybe you can touch upon how the competition is moving the needle?
Vivek Gupta: Yes. So I think there are 2 things on this. First of all, I think that from a consumer lens, the number one barrier for this category is affordability. The reason power pools or bullet and all our growing is not because they are strong beer only they are actually growing because they are affordable price points and the price index versus the choice number one or the lowest whiskeys is comparable. So there is a big issue on affordability of peers, and that's why the economy beers like these are growing more than anything else.
And that's the narrative we are doing with the government and saying, make beer more affordable and to really do that. And consumer benchmark the price versus the whiskeys, which

are available at INR 85, INR100. And for th

em, cash outlay matters versus just the percentage of those ones.
I think having said that, the strong beer segment in India continues to grow, whether it's Kingfish Strong, whether it's Budweiser Magnum, whether it is UC Carlsberg Elephant and all these beers are consistently growing.
And a lot of people, even in premium segment, it is strong, which is growing. And because still they want to make sure that when they are actually indulging they actually have a bit of tick.
Now it is unfortunate because we want people to drink not to get junk, but to actually enjoy it, but they want a little bit of more alcohol content in India to do that.
So we are actually designing an innovation to ensure that we are actually playing in the premium strong segment and we'll talk more about it in the coming weeks. But at the same time, I think we are also continuously working with the governments to ensure they actually encourage more moderation taxation, so at least affordability gives that advantage, so people actually move from stronger beer to milder beer, and it becomes more fashionable. So that's the long answer to your short question.
Shirish Pardeshi: I understand. But just 1 quick follow -up. Which state you see this local competition is giving a

tough competition to national player like us?
Vivek Gupta: See, I think if you see states is the #1 state where there's a big issue is Tamil Nadu. You see 70% of it is local players. In Karnataka, you see the growth came because of the power pool and all because economy, but we actually launched our beer as well, and our London is doing extremely well as well. MP is another state where they are local players, but it is again linked to regulatory piece of it. So I think I have seen that where regulatory is a little bit more skewed or capacities are more skewed, they're able to do more because they're able to launch those price points.
Because in MP is a critical case, there is a franchisee fees that if a national brand goes there in manufactures, they will put a franchisee versus a local brand, which automatically give a INR 30 to INR40 pricing advantage versus anything else. So the real issue is affordability and regulation versus local players and national players.
Shirish Pardeshi: So do you think M&A is the right way to look at and become a sizable player?
Vivek Gupta: I think it is state -by-state on what value they bring. If you say that in some -- and I don't see any issues with the M&A as long as we are very clear, the value that acquisition will bring to the category. From a UB perspective, I think for us, we have a very strong plan. But yes, there could be areas of opportunities where they add either an innovation in the product or a strength i n terms of a brewery footprint.
We really need to be very clear on what they bring. My focus is more on looking at more backward integration opportunities, so we have a better sustainable cost structure because I don't want to see beer only as producing beer, but I also want to see what glasses, malting, barley farming, packaging, all of these things as an ecosystem and where we have opportunities for M&A, not only in the beer part.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Vivek Gupta for closing comments.
Vivek Gupta: Thank you for the questions, and sorry for the long answer. But look, as I said, it's 10 months in the job here and as a team I think we feel very positive on the work we are doing. It's not going to be an easy journey. As I mentioned that while we talk a lot, but the reality is that this is a state-by-state, highly regulated business, a lot of it depends on the external factors.
But having said that, there is a lot in our control to be consumer focused, to be efficient, to be planned on the value chain, to execute with excellence,

which gives us confidence that we can bring there. I really look forward to some of you joining in the brewery visit, which we planned in Mumbai on 19th of September, where you will get a -- probably you'll taste some beer in -- fresh beer -- freshest beer in the brewery, but also understand how the work happens.
And then hopefully, you will also see one of our, as I said, game -changing innovation, which we'll be bringing as well and our total strategic plan as well. So look forward to seeing you. And I think Robin and team will share the more details in the next c ouple of weeks.
Unfortunately, we will not be able to have too many people from the same company at the time because we will respect that we want to maintain a highest level of hygiene standard in the brewery, but all those details will be there. But thanks for engaging.
Moderator: On behalf of United Breweries, we conclude this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2024

"United Breweries Limited
Q2 FY '2 5 Earnings Conference Call "
October 25, 202 4

MANAGEMENT : MR. VIVEK GUPTA – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – UNITED BREWERIES LIMITED

MR. JORN ELIMAR KERSTEN – DIRECTOR AND CHIEF
FINANCIAL OFFICER – UNITED BREWERIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to United Breweries Limited Q2 FY '25 Earnings Conference Call. As a reminder, all participants will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing start then zero on a touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vivek Gupta, Managing Director and Chief Executive Officer. Thank you, and over to you, sir.

Vivek Gupta : Thank you very much, and good afternoon, everyone, for joining. Jorn and I, actually, we are overseas, so we'll be taking the call on the phone. So, if there's any interruption, we apologize. We'll dial back if something like that happens. We've already sent the results, and I'll hand over for Jorn to really take you through the summary of the results. But needless to say, I think we continue to stay on course on the momentum, what we talked, and we are quite satisfied with the overall progress of this quarter.

I'll ask Jorn to give a summary, and then we can take the Q&A.

Jorn Kersten: Thank you, Vivek. Hello, everyone. Good day. Let's have a look at the highlights for the quarter before we indeed open up for questions. So, on the quarter Q2, we see that volume momentum continues with 5% overall volume growth despite the quarter being impacted by quite some unfavourable weather across multiple states, which is softening consumer demand.

We're particularly proud of the continued growth of our premium volumes, growing 27% in the quarter, with strong growth coming from Kingfisher Ultra as well as Kingfisher Ultra Max, which is leading to us gaining some share within the premium segment. And overall, volume growth is predominantly driven by U ttar Pradesh , Maharashtra and Karnataka, also contributing favourably , partially offset by some other states, including Tamil Nadu and West Bengal.

Looking at the financials, we see net sales increasing by 12% in the quarter. So, it was 10% on a year -to-date basis, driven both by volume and a positive price mix impact. Pricing in key states like Rajasthan, Karnataka, and Tamil Nadu is also strengthened by that premiumization effort as well as the state mix, although it's partially offset by growth in the economy segments, which we see in multiple states, but also see as something that is part of a maturing beer market.

Gross margin in Q2 was 44%, slightly declining versus last year, although improving versus the previous quarter. And if you look at the half year like -for-like, we're up around approximately 100 basis points in margins. So, we see a good strength there on the year -to-date. And looking at the shape of the P&L, we're very happy to see that we accelerate from 5% volume growth to 12% net sales growth and then 23% EBIT growth, where we also see that we can show that the overall o perational discipline is really p aying off in the bottom line.

And last but not least, we're excited to announce the launch of Amstel Grande in India, slow brewed beer with fine ingredients, which promises to deliver very new and unparalleled beer experience to Indian consumers and we're super happy to be able to anno unce that and to be able to go live with this on a very short notice.

During a recent Investor Day, we already highlighted the key areas of focus, which we continue to do bring forward, being beer category growth, winning across different segments in the market, the importance of having a good supply chain network, which con tinues to get our focus as well. And it will be helpful to the quality of our beer and also driving a winning culture in our organization, so we can continue to drive not on

ly category growth, but also keep an eye on profitable growth and deploying capital efficiency.

Vivek Gupta : Thanks, Jorn. Just to add a couple of things. I think, first of al l, the Amstel Grande brand launch is going to be one of our biggest initiatives over the next 4 to 5 years on the premium segment. This is just fantastic news. This has been a few months in the making, designed internally in India and we'll talk more about it , but you know we are launching in the state of Maharashtra. We started shipping yesterday in Mumbai, Maharashtra. But this is going to be our biggest premium initiative, which we are bringing into India and which is designed for India. So, I think we are very excited because the big news that we are really looking forward to the success of that in part of our premium journey.

The second thing I would really like to highlight on top of what's Jorn shared on the overall summary, I think, this is our fifth consecutive quarter of significant growth, and I think double - digit revenue growth. So, we are despite all the headwinds, we are continuing to stay on course, and that is what gives us a lot of energy with completely maintaining very strong operational discipline, which is helping us to deliver bottom line results.

So, I think with this, we will hand over back on the questions because I am sure you have a lot of questions. So, we will address the questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press star and one on their touchtone telephone. If you wish to withdraw yourself from the question queue, you may press star and two. Participants are requested to use handset while asking a question.

In order t o ensure that the management can address questions from all the participants in the conference, please restrict your questions to two per participant. If you have any follow -up questions, you may rejoin the queue.

Ladies and gentlemen, we will wait for a moment while the question queue assembles. First question is from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor : Hi, good afternoon. So, I just had two questions. Firstly, on West Bengal. This price increase is led by the tax increase has happened recently , a few months back, and we are seeing this impact. I just wanted to know how do you think of it? Do you believe this is a one, two -quarter transitory impact? Or if it is going to have its full four-quarter cycle before the state comes back to some kind of growth for beer? That is my first question.

Vivek Gupta : No, thanks, Harit. I think, West Bengal, you are right . There has been a steep increase in beer duty, which means the consumer price of the beer has gone up. Our Kingfisher price went up from INR135 to INR160, so it is a significant jump. Look, we continue to increase our corporate

affair effort as a company and as Beer Association of India to really share data with the government that West Bengal had a particularly good trajectory of category growth and momentum on beer. And these heavy -duty increases are impacting not only our growth, but also their overall revenue.

When state governments do it, it takes three, four months of data and consistent one because whenever they take a decision, they think it will all work out well. But the initial two, three months showed that there is a slowdown. And of course there was also the Puja festival numbers also studied there in this. So, I think we will continue to work the corporate affair efforts, and we really hope that they listen and to see the data because it is not only impacting our business, but their revenue as well.

But from a UB perspective, I think we are also looking at accelerating our premium effort in West Bengal, because West Bengal is one of the states where our premiu

m shares are very low.

It is low single digit because we did not have a supply chain for premium. So, we without giving much information, we are working an accelerated plan so that we can accelerate our premium business through local production in West Bengal. So, I do not want to give the timelines, but I can say that we have accelerated our plan so that we at least ensure that we trade up consumers and we are actually you know, we are coming from behind there and the state will work their effort on that.

Harit Kapoor: Okay. Great to hear. The second question is, Amstel Grande you've just launched , there have been several initiatives in the premium space over the last few quarters, two years as well. And but it seems like you seem extremely excited on brand. If you could just give a sense of why you think this will be even bigger than some of the things you have done in the past? You know, what gets you more excited on this one? And what could be like a rollout plan from a 12 -month perspective?

Vivek Gupta: Yes. No, thank you for asking. Look very simply, consumer needs different type of products. And one of the things in premium, we had very strong portfolio in domestic premium with Ultra and Ultra Max, which is growing very fast, and you see one of the drivers of premium growth in Ultra, Ultra Max, which we are trying to get in other states. But there was always a need of premium strong beer, which has international credentials.

And in short, our competitor has that. Like Budweiser Magnum to be specific is international premium with strong credentials. So, we assigned a local R&D team to come out with a recipe, which actually and we got a lot of work with the global team to ensure we get enough flexibility on the right recipe and what is needed for the Indian consumer.

So, we are launching a completely new beer, which was never here before, which is Amstel Grande, even the nomenclature is tested by the consumer here. It has 6.4% ABV, so it is in the strong premium segment. It has zero sugar. It is absolutely the best recipe in that segment. We tested with consumers, both blind and the products wherever possible, and we got winning scores.

The packaging is extremely attractive, automatically drives the purchase intent. In the past, when we did Amstel, we did not do Amstel in strong. The Amstel was a light premium beer.

The second thing is we never launched Amstel with even pints. We always launched with big bottles, but we never designed the initiative to really win with the premium on -trade channel so that where the trials happen .

So, it is a superior product, great recipe, very competitive on superiority, great packaging, competitive pricing. So we actual ly, think that segment, which is on the premium strong, which is 80%, 85% of the premium segment and growing, this is our answer there because we already have in the light version Heineken, which will trade up consumers further to really do that. So, we have very ambitious plan on this.

Of course, this needs state -by-state registration, local production. We are starting with the state of Mumbai, Maharashtra, and you will see every quarter, we will keep adding states. And our goal is that by end of next year, we should be at least in 65% t o 70% of the country.

And we have worked the recipe in a way that we can produce in local breweries by investing some capital, which we are in the process of that. So, it is a superior product designed for India, international potential, great recipe. And, of course, it has a claim, which has actually worked well in other countries as well.

Harit Kapoor: Fantastic, great to hear. Wish you all the best. I will come back for more questions. Thank you.

Moderator: Thank you. N ext question is from the line of Avnish Roy from Nuvama. Please go ahead.

Avnish Roy: So

congrats on good premium growth and in the current slowdown. My first question is in Q2, there was heavy rains in large parts of the country, including your key markets. And we have seen beverages, non -alcoholic beverages see significant impact. So, when you analyse data of your consumption centers and here, we are analysing for states where there is no big change , right? If Bengal, there is a substantial change , let us remove that. So, are you seeing that big cities, the slowdown is more versus the smaller cities? Second, wherever, say, the rains impacted pubs and bars travel or out -of-home travel, there is the slowdown a bit more versus where the pub and bar culture is less or maybe th e flooding was less?

Vivek Gupta: Yes. I think, look, we have not analysed that deeply on this one, but I can tell you where the impact is the most. See, our impact is primarily more in first transportation, and we had rains in Andhra Pradesh. There were floods. Even our brewery was flooded. We have rains in Assam and floods in Assam. Kerala, we all know the couple of districts really got badly impacted.

So, all those places, we saw a significant impact. We saw growth in the big cities because you also know that during the monsoon also humidity also increases after that.

And we know the weather was unpredictable, so we saw good consumption increase. But also, I think, there is, there was impact leading to transportation losses, specifically, if the trucks get stranded. You are not able to do availability issues like Tamil Nadu, in particular, there were many districts, there was an impact of that. But honestly, I do not have analysis whether cities

versus small towns or here, we can go back and check. But this is just based on our internal discussion and judgment, I am giving you an answer. We will come back on that.
Avnish Roy: So, thanks. My second and last question will be on the slide where you have given total volume and premium volume. So, one year back, difference between total volume and premium volume growth rate used to be 3% and then it became 6%. But last two quarters, it has been much, much higher. It is volatile. Q1, it was 39% difference. In Q2, it is more like 22% difference, but still an extremely healthy difference. So, it has been now one year slightly higher than that you have taken over. So, what exactly is working here?
Because you have done multiple things here. You have done new fresh bottle percentage much higher. You have obviously focused much more on pubs and bars and on premises advertising and presence. And of course, in terms of the stores also Visi cooler and al l that. So, if you could tell us, which has been the most successful and most dear to you. And second, where is the past in the Analyst meet, you did cover on the Visi cooler tone.
That is not my question. But in terms of competing with the top two players in the premium, where they are bigger than you in that, where is the bigger gap currently?
Vivek Gupta: I think, first of all , it is a holistic plan, which is working for us. I think we started off with very deep consumer understanding because what exactly leading and this is leading to our portfolio choices, like I gave an example of Amstel that we found a big gap in the portfolio on especially premium, strong Budweiser Magnum, and some of the other Carlsberg Elephant and all growing shares. And we need to have a proposition, which has international credentials.
And superior products versus only our domestic premium products, which are great. So first is the fixing of portfolio gap. Second is, I always mentioned that we had a major supply chain challenge that it was not that we didn't know how to win in premium, bu t there was no local production, and we are still in mercy of regulators to give us permits to go interstate and then elections come in,

they don't give us the permits and all those things.
So, we are also second big driver is increasing our footprint of local production of premium brands, which we continue to do, as I mentioned to you, and that is a big part of our investment.
And I think the third is being very, very granular on execution. The simple things, which really matter, but they are noticeably clear . So, in October, if you go around, we are actually doing the biggest October activation in the country, which is broad -based, key bars using the stuff.
So, I would say those are the three factors which are really driving it. I think, still we are just scratching the surface on this because in many states, even our premium growth in this quarter got impacted because we did not get the permits. So, for example, Arunachal , Assam was not giving the permits to get the truck movement because of they had some issues for every company.
So, we were not able to supply some of the premium brands in other states where we are importing the part. We got Heineken permission in Karnataka. So, we started that in August, September in the market. So, it is only two months of growth, but holisticity of the plan and the execution is what we are nailing it down, and it will only accelerate. I can only see that where we are able to execute the plan, we are now significantly growing shares on premium.

So, we have markets, which are growing much higher than the average, and these are markets where we have premium has declined because we could not supply. So, 27% is the average.
So, state by state, there are states where we are winning big, where we are becoming organised , and we actually think that we'll continue to accelerate, but there's a lot more to be done here.
Jorn Kersten: If I can add something there, I think, we expect that this gap between growth in premium versus overall portfolio continues over the next quarters because we're a strong believer that long -term premiumization is one of the key unlocks to profitability in the beer segment in India. And we're absolu tely coming from behind, if we look at our market share in premium versus overall market, then there's lots of opportunities.
And t hat's one of the reasons why, again, we're so excited about the Amstel Grande proposition because we think we really built a strong premium portfolio for the Indian consumer. And as Vivek mentioned, we also really want to be close to the consumer in terms of production footprint because that's another big unlock for profitability. And so we're also a bit choiceful in where do we push hard for premium .
And where I'll be a bit more cautious in driving volume because we want to be able to supply.

And ideally, we want to be able to supply from a plant, which is as close as possible to the market. So long term, we continue to really push for premium, and we t hink there's a lot more to follow there with the launch of the full portfolio.
Avnish Roy : So, thanks. I'll come back in the queue. Thank you.
Moderator: Thank you. T he next question is from the line of Ashutosh Jain from Barclays. Please go ahead.
Ashutosh Jain : Thanks for taking my questions. So I have only one question. 'Broader FMCG players ' called out, challenged urban demand in this quarter. Your numbers look robust with not much of an impact. So what is like your view, why it was not an issue for you? Or any other commentary you have regarding the urban consumer? Thank you.
Vivek Gupta : Yes I would say, look, versus our ambition, it is definitely an issue for me. I'm not proud of 5% growth. I'm happy with it, but I'm not proud of it. So our internal ambition is very high. And I think if we didn't have the headwind, we should have been expecting much more. So I actually think versus our ambition, we are still behind. It is a moderate quarter of the volume growth.
H

aving said that, I think there were real impacts in the space I mentioned because of the weather. There a re impacts based on the regulatory impact, but we are also seeing some of our other business rivals are accelerating much faster.
As I mentioned, there is some of these states, we are growing much faster because of our right portfolio, getting our act together, getting execution. We took a big initiative in Assam, and we have seen a category growth back where we've brought affordabil ity as a big focus area. In a state like Karnataka, we grew 16% behind our London Pilsner launch, our UB exports, economy segment, Ultra Max. So I think there are state -specific impacts, which are quite big. But overall, we still think that beer is a categ ory, which generally doesn't get too much impacted unless the regulatory changes happen a lot because it's still limited, it's under -penetrated. There is huge opportunity and people are still socializing whether it's good times or bad times. But we have to

be watchful and careful as we go there. So I don't want to comment about the other companies, but that's how we see it.
Ashutosh Jain : Thanks so much and Happy Diwali in advance.
Moderator: The next question is from the line of Vishal Punmiya from Yes Securities. Please go ahead.
Vishal Punmiya : Thank you team for the opportunity. Firstly, if you can help us with the numbers from AP for this particular quarter, what was the benefit? And what can we expect for the coming quarters from AP?
Vivek Gupta : On AP, there was not much benefit this quarter. Our growth rate was there because if you know this, there was a policy transition happening. There was a period in September where they actually were going through the transition. But we are consistently adding business in AP. So, in terms of the total growth, the AP contribution will be in the decimal because we already have a brewery in AP. Unlike other companies, we already have a local production facility. And over the last 3 or 4 quarters, we have been br ewing there.
Going forward, I think the policy is still in the transition. It has just started, the private retail. The pricing policy is still not confirmed because the government said that in the next 90 days, they would like to work on the pricing plan and the dutie s. So, there's a lot more to be done on the regulatory work because when they say that we want to have competitive pricing versus states, but the duties are much higher in AP versus even Telangana. The realization is much lower for the vendors. So, I think it is still a work in progress, I would say, but the green shoots are there.
But right now, our focus is to really start implementing the execution in the private retail. We are putting more than 1,000 coolers in the stores to make sure that consumer gets cold beer, and there is a lot of execution work happening on this in AP. But I would say it will take another quarter or so to get clear on the policy , before we get too excited.
Vishal Punmiya : Okay. And once it normalizes, how much volume contribution can we expect from the state?
Vivek Gupta : Look, we don't know. In the peak of us, we were doing 3x of what we are doing today. So I just don't want to guess. If anyone look s optimistic, will say, it can go up to 3x. Conservative will say somewhere between 0 and 3x. But we need to see, we really need to see how the policy finally lands, the other aspects of the policy. But we definitely think that there will be a significant g rowth if the fundamentals are right.
Vishal Punmiya : Understood. Secondly, on your advertisement spends for the quarter, you did mention you've done one of the best October fests in the country this year. Also, you are now scaling up Amstel or you have just launched Amstel. So there could be spends for that. What was the A&SP for the quarter? And do you expect

it to improve in the next quarter?
Vivek Gupta : Look, we are investing on the growth, and we are also prioritizing our investments as well. So

on one side, we are investing a lot on the new initiatives on consumer meaningful. Second is, we're also making choices on doing better analysis on where the inv estments actually make sense or not.

Our A&P spend is going up because we are investing in the brand, and we are investing in the premiumization. And also, as you know, with the new advertising regulation, you actually cannot do much of the advertising. So, a lot of investments will go in stores and building trial. So, we're also seeing how all of that stabilize. But I would only say that we will fund our brand what we need to get the right trial and right execution. But Jorn, if you want to add on this?

Jorn Kersten: Yes, I think, from a finance or data analytics perspective, what you want to call it, I think, return on investment and getting a better insight in where does investing the money really pay off, is one of the focus areas where we continue to get more insig hts. So we'll have to look at with developing regulations, what can we do. But as Vivek said, I think, as a company, we're big believers in long -term brand building.

So, to consistently invest behind the brands, and that's obviously true for the new brands and the new innovations, but it's also true for the existing brands on the core of the portfolio. So, we will continue to do this and increase it where we see that i t really pays off, and that's going to help us to make the right choices to invest behind the portfolio and also into the market in terms of investing in the trade. So you can expect that this will continue quite consistently over the next period.

Vishal Punmiya : Yes. But would you like to put a number in terms of the absolute increase or change in percentage on a Y -o-Y basis for the quarter? I'm not asking for a guidance on that.

Jorn Kersten : Look, I don't think that from a numbers perspective, if you look at the shape of how it impacts our P&L, there's going to be significant changes. Underlying, there might be some interventions that we make shifting funds from one area to another. But overal l, I think we're happy with the contribution to the P&L that we see today in terms of the balance between investing versus top line delivery.

Vishal Punmiya : Okay. Just lastly, in te rms of the premium opportunity there has been a couple of launches by some smaller players in the market. In the draught beer 5 -liter keg space even Heineken globally has this product and they do well in that. Wh at's your view on this product a nd can it be introduced to basically scale up your premium presence in Heineken?

Vivek Gupta : Look, as I said, we have done a very thorough work on portfolio and we continue to learn . Yesterday me and Jorn went for dinner and they were 20 different types of beer in the microbrewery we end up going. And we said just bring a sampler and really understand, and we were saying, "Oh, this can be done, this can be done, b ut look reality is we are focusing on big bets on the key consumer lots.

And there are still lots which will be remaining and that we will grow over a period of time. But it is as I say, the category is so small in India right now and there is the opportunity to grow, any innovation or competition is welcome. It will only help consumers to start going towards beer because our job is to be a category maker versus category taker. A nd so I think any new innovation which comes, which helps consumer to try more beer is great.

So right now I think our focus on the innovation will be an Amstel Grande and already what we have launched in expanding it. Heineken Silver, we are doing a very good job in Karnataka, but we

have to take it into more states. Ultra, Ultra Max, wherever we are getting local production like I gave a West Bengal example, we have only four share in premium in West Bengal and maybe less than that now because we didn't have the supplies.

So I think expanding our current portfolio, working on big bets would be the key priority. But at the same time, we'll also expand our draft offering. But again, we are working on a year -on-year plan to get this thing done.

Jorn Kersten: Yes, and if I can add here something as well that we're building a portfolio. And as Vivek mentioned, we want to make big bets. So whatever we bring to the market, we want to do it well. And part of the reason why we are so excited about the launch of Amst el Grande is because we're learning from how the category is developing also from innovations in the past. And I think one of the most exciting things about the Amstel Grande launch is that it's been designed specifically for India.

So we've been able to identify where is the white spot opportunity in our portfolio and we think we have a super strong proposition to fill that up. And it's a newly designed product specifically for India. And, of course, having the Heineken portfolio to tap into is an advantage and we'll definitely not shy away from it if we see that, that's the biggest opportunity. But at this point in time, we think that launching an India -specific product is the best contribution to our local portfolio.

But, of course, in the future if we see opportunities that can be tapped into with the help of the Heineken portfolio, we're absolutely in a full position to do so. Because from a Heineken perspective, there's a strong belief in India growth and also building p ortfolios that serve consumers across India and across the different segments in the portfolio. So for the future, thi s is something that we look on, b ut for now we think that the right choice is to bring an India - specific product in that premium stro ng segment with the internatio nal credentials. So that's the number one thing on our priority list today.

Vishal Punmiya : Got it. Thanks team and a Happy Diwali to the entire team.

Jorn Kersten: Thank you.

Vivek Gupta: Thank you. Happy Diwali.

Moderator: Thank you. N ext question is from the line of Krishnan Sambamoorthy from Nirmal Bang Institutional Equities. Please go ahead.

Krishnan Sambamoorthy: Vivek, in the recent analyst meet, you had indicated that you have identified reasons why the market bottle returns were not as strong as what they were before COVID. Could you elabor ate on what were these reasons a nd when do you expect it to go back to that 78%, 80% levels that you had in the past?

Vivek Gupta : Sorry, your voice was breaking. I apologize. Can you repeat or can anyone repeat? Moderator can repeat?

Krishnan Sambamoorthy: Yes, I think can you hear me now?

Vivek Gupta : Yes, this is better.

Krishnan Sambamoorthy: Okay. In the recent analyst meet you had indicated that market bottle returns were not as strong as what it was before COVID and that you have identified reasons for the same, right? So what were the reasons can you just share that and also time lines when bottle returns, the market bottle proportion can go back to the earlier level s?

Vivek Gupta : Yes. I think you're talking about bottle returns?

Krishnan Sambamoorthy: Yes.

Vivek Gupta : See I think one of the big reason was that in -home consumption significantly increased in COVID because all the bodega bars they were not serving and closed. So when people were drinking more in home or drinking outside home in the fishing or wherever in the rural areas, it was very difficult to have a proper bottle return system. It i s always better when there is on-premise has a better return because there is a system to do that.

So the second part was, of course, the infrastructure where S1 , S2 having people on the ground, having operational discipline, it got impacted because a lot of those people they lost the ir work during the S1 , S2 piece . And the third is, of course, the increase of collect. Many of the glass manufacturers, they started incentivizing the broken bottles of glass to improve their operating efficiencies in their factories to really do that, which is still an issue because if it is cheaper for the glass manufacturers to get a brok en bottle versus us to return that becomes a problem.

So we are trying to solve the problem on all the angles. We are in touch with glass manufacturers because we are their buyers and we are giving them a long -term impact of the category and why they should really look at the total cost. We are improving our operational discipline and our relationship with our S1s and S2s who actually collect the bottles with us. We took a price increase for them. A t the start of this year so that it is also commercially attractive for them to do that. And third, we consistently are working on models to improve the bottle returns. Now, of course, the rains have a huge impact on bottle returns. Like floods and all of these things, the return cost gets significantly impacted on that part also. But going forward, one of the things I want us to be conscious of is that we are driving a lot of new initiatives and premium will also put a lot of new bottles in the system which actually will take time to do th at. But operationally, we are working through this. We have also done lot of analysis to see where the gaps are.

For example, we have observed that a lot of bottles from West Bengal goes to Bhutan. So we are actually working from regulators to say, how do we ensure that bottles are not going from India to Bhutan and Nepal and in a border town. So those are the things also which are opening up here. But I would say that it is very difficult based on our assumptions to go back to the pre - COVID level.

I think we actually think that we will have to make gradual progress and consistent progress, and we are also working with regulators to have systemic program like Goa is testing a new program where there is basically a deposit scheme for consumers on the bottle, so we're also working at an industry level to see what the other options are .
Krishnan Sambamoorthy : Understood. Very useful. Thank you.
Moder ator: Thank you. We have a next follow -up question from the line of Harit Kapoor from Investec. Please go ahead.
Harit Kapoor: Yes. Just one question on first half performance. So I think when you exited last year, you were building up market shares at an overall level. I remember you , still close to 50% again there.
If you look at the first half performance, this roughly 5% volume growth with double -digit revenue growth. So in your opinion, in your analysis, is this kind of market competitive performance that you've been able to deliver, both overall and premium? Prem ium certainly looks the case. I just wanted to get your sense on overall, how you've seen it.
Vivek Gupta: Yes. I think on the premium, we are 100% growing shares. We have whatever data because the data is not available to do that. On the overall volume, I think we are flat because there are barring three states, we are growing share in most of the states. But overall, we are flat on the volume year -to-date, if you talk in the first six months. And there are two, three drivers. I think one is, as I mentioned in the previous quarter, we got imp acted more in election than others because we are the market leaders in some states with 60% to 65% share. So when we don't get a shift approval, our volumes get impacted the most to do that.
The second is the supply situation in certain states, like if they are not interst

ate permits, then of course, the local brands sell more. And of course, with the duty changes, again, like it has an impact on the other one. But overall, we are flat on the volume share, but the good part is we are able to drive the category growth. I think, both in the premium and in the volume segment. So overall, I think we are not too worried about it because our goal is to grow the category and get the right shape of the category growth as well. But there are state -specific issues we are addressing and which gives us confidence that we can be on track.
Harit Kapoor : Got it. That is my question.
Mod erator : Thank you. The last question is from the line of Ajay Thakur from Anand Rathi Securities. Please go ahead.
Ajay Thakur : Hi sir, thanks for taking my question. Just wanted to understand a bit more on the gross margin, which has kind of contracted by 70 basis points during the quarter. So if you can just elaborate what is driving this correction? And also, if you can highlight how or what kind of growth or what ki nd of input cost scenario we can build for the next few quarters, that will be helpful.
Jorn Kersten: Yes. No, absolutely. I think in the quarter, from a margin perspective, we see a bit of impact also from the premium growth. And as Vivek mentioned earlier on, it means that we're also injecting a lot of bottles and it's something that we also believe is r eally building towards the future. And secondly, state mix plays a bit of a role also around the quarter, where we see that there's, on the

one hand, positive impact from growing in Maharashtra and Karnataka, but also offset partly by Tamil Nadu.
I think some of these items also play a role in longer term over the next couple of quarters. Of course, we're looking to expand margin, always one of our top priorities. And as I said, we do think that premiumization here plays a role even if it may need a bit of a runway. We have to inject these bottles in order to get the system, if we have to build the local capabilities in our breweries to bring that premium production closer to the market and to the consumers. But long term, these are some of the unlo cks for margin.
Overall, we are looking also at input costs, of course, where we see some mixed bags and also for the next couple of quarters, we see some ups and downs in the outlook if you look at commodities and also glass pricing and these type of things So, it's a combination of things where, first and foremost, we will be looking at growth, but also with an eye on margin because expanding margin is part of the long -term strategy.
But again, I think we're very much focused on the longer term to make sure that we build that balanced portfolio that's really going to help us drive that GP margin. And next to that, I think what's an important piece here is also how can we drive volume a cross the different states, both from a sourcing perspective, from a supply chain perspective as from a demand perspective and what can we do to really use the data analytics that we have to win in all the stores and win in

the markets .
So that we can make sure that, that's not only benefiting volume growth and premiumization as such, but also to drive margin to make sure that we bring in the right channels and bring in the right products and where consumer centricity is going to help us not only to win in the market, but also win in terms of financial returns.
Ajay Thakur : Understand. So if we were to kind of continue with the premium kind of a growth in the coming quarters at the same pace as that we are kind of doing right now, then obviously, our gross margins will remain a bit under pressure. Is that the right kind of a conclusion, if I were to make it?
Jorn Kersten: Yes. I think, it's I mean, we're playing the long -term game here, and we see that contraction and it's been under pressure

, and we are bringing it up slightly and slowly. So that is the overall expectation that we have that we will continue to increase our efforts, but it's not going to be a linear road towards margin expansion. I think that's something that we need to be careful about, but also realistic that this is what it is, and we will have to absorb some hike in pricing left and right from an input material perspectiv e.
And then we're continuing to also increase our efforts and our capabilities in terms of understanding really what drives the margin and how can we influence the demand side to make sure that the margin -accretive efforts get the most of our resources. And i t's going to be a balanced premium, not only exports, but definitely something that we continue to keep an eye on.

And I think you are right , that will be continued to be on the pressure. Also, if you look at global scale, I think markets have been on the pressure across many countries. And that global scale, I don't think that there's an immediate upside to the short term. And obviously, we do see the effect of that as well.
Vivek Gupta : Yes. First thing I would say is premium is one variable. But in India, the state by state is another variable. So while we will be investing in premium and all, we are also looking at states with a low gross margin and working very actively on the brand. Like there's various variables, which are coming, but premium is only one variable, I would just say that as you look at the margin.
Ajay Thakur : Okay. And also, there was this fact that there was mention of moderation of the glass input, the new glass cost actually. So I was just wondering that is kind of not reflecting in the current quarter, but the impact of the premium actually is kind of offse tting that. So I was just kind of comin g from that perspective as well?
Vivek Gupta : Yes, I think, as I said, the state mix is also an important one. So as you look into the gross margin, we have state where the gross margin is extremely low. And we are waiting for pricing to happen. We work with the government, give the pricing submission and we have states, th e gross margins are reasonable.
So I think there are a lot of other factors, which have come in, which also impact the gross margin. But as I said, consistently, if you see versus previous quarter, the gross margin, there is a significant gross margin improvement of quarter -on-quarter. But what we are definitely doing is, we are not slowing down our plan to just hit the growth numbers versus a year ag o. But we are very cautious of this.
Ajay Thakur : Thanks for that's. And just last part of it, Vivek, you mentioned about certain states, which still are kind of having issues. So if you can mention those states and what are the things that we are doing to address the concerns in those states? That will be the last part of it. Thanks.
Vivek Gupta : Yes, I would say there are three type of states, which are issues for us. Let me start with one, where there is an issue related to regulatory, where the duties have gone up significantly on Beer and that impacts the volume like West Bengal is a good example, where we work with the Brewers Association of India and consistently on the corporate affairs. And then we also look at, okay, what do we need to do in our portfolio to keep driving growth.
Then there are second kind of states where there are a lot of operational issues in the State Government. Like I don't know how many of you heard about Delhi excise portal did not work for a period. Jharkhand had an issue in September where excise orders w ere not accepted and all. The permits were not given from one state to another through this.
So there are operational cooperation issues, which is also impacting. And this is industry level impact and which we are consistently communicating, understanding

, offering for help wherever we can, given our technology resources so that there's a continuity because state builds revenue.

I think there's a third issue, which we really need to understand deeper at a state level where we have to actually work on is, just our own competitiveness portfolio, which is mostly in our control. And those will take time because fixing the portfolio, getting the pipes connect ed. And when I say time, we are actively working on it, but you will see over the coming quarters where we will address that. So I think those are the third ones.
But primarily, I would say the first one related to policy ones, West Bengal, Punjab, they are really big concerns right now. In terms of the excise system stability, it was Delhi, Jharkhand were the states to do that. On the third one, I gave you some exa mples as well.
Ajay Thakur : Thank you, sir.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for the closing comments.
Jorn Kersten: Thank you, everyone, for joining and for your questions. Again, I think, we would say that we're happy with the results year -to-date with the continued momentum in the volume as well as how it translates into the P&L, where we've seen that sales are or revenue growth is ahead of the volume and translating into a very solid EBIT growth. And we continue , we see a continuation of this progress ahead of this. We're confident that also with the contribution of Amstel Grande, I think, we can continue this journey in building a really strong company that is going to grow the beer category in India.
Vivek Gupta : Yes. And just I want to wish all of you very happy Diwali and festival time. And I think if you are in Mumbai, in the first week of November, please do try Amstel Grand e and give us the feedback. Good or bad, we'll take the feedback because we are really excited on what it can do to our business and the category going forward.
But thank you for joining. We continue to we are on a journey, it's not a one quarter journey. There's a lot of things needed to build this category. There will be ups and downs, 2 steps forward, 1 -step backward, but we will continue to work on that. But thank you for your engagement with us.
Moderator: On behalf of United Breweries Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

****

Call: Feb 2025

“United Breweries Limited
Q3 FY '25 Conference Call ”
February 14 , 202 5

MANAGEMENT : MR. VIVEK GUPTA - MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER - UNITED BREWERIES LIMITED

MR. JORN ELIMAR KERSTEN - DIRECTOR AND CHIEF FINANCIAL OFFICER - UNITED BREWERIES LIMITED

MR. ROBIN ACHTEN - HEAD OF STRATEGIC AND COMMERCIAL CONTROL - UNITED BREWERIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Quarter 3 FY '25 Conference Call of United Breweries Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vivek Gupta and Mr. Jorn Kersten from United Breweries. Thank you, and over to you.
Jorn Kersten: Thank you. Thank you very much, and hello, everyone. Thank you for joining this call. We're very happy to discuss the developments of quarter 3 of the financial year '24-'25. I will give some of the highlights on the quarter before I hand it over to Vivek for some comments, and then, of course, we will open up for Q&A as well.
So looking at Q3, we see continued strong fundamentals, while we're also investing for the future. In our volume growth, we accelerated in Q3, and we're very happy with the 8% overall volume growth, driven by broad-based growth across the entire footprint and positively impacted by recent policy changes in states like Andhra Pradesh. We gained share at an overall basis, but also in the premium segment, continuing the growth trajectory from previous quarters.
Premium volumes grew 33%, where we saw the strongest growth coming from our Ultra portfolio, both Kingfisher Ultra and Kingfisher Ultra Max. And we recently launched Amstel Grande, and we are happy by the early, but still very promising consumer response a nd growing momentum in the market.
Overall, volume growth was predominantly coming from Telangana, Andhra Pradesh, Uttar Pradesh, and Rajasthan and partially offset by Tamil Nadu and West Bengal. If we look from volume to net sales, net sales increased by 10% on the quarter as well as in year -to-date, driven by price increase across multiple states, but also a mix from premiumizatio n, which is partially offset by growth of the economy segment and a negative state mix in terms of volume growth.
On the EBIT side, we delivered an EBIT of INR 90 crores, which is significantly lower than last year, so a contraction on the like -for-like, but we have continued investments in the organization as well as into our supply chain, making sure that we are ready for the peak season, and Vivek will also be able to shed some light on that later in this call.
As part of the ongoing efforts we put in to enhance our operations as well as drive growth, we've implemented a productivity program in Q3. This program and the related change initiatives are there to improve our efficiency, but also productivity and compe titiveness in the market towards which we incurred a onetime exceptional cost of INR 26 crores in Q3, but our overarching goal is to deliver annual gross savings that we estimate to be around INR 50 crores annually kicking in 2025.
In addition to unlock growth opportunities, we are very happy to announce a major investment in the state of Uttar Pradesh for a greenfield brewery, which has been approved as well here, Vivek will share some further insight .

Now before I hand over, I do also want to mention from a portfolio perspective that we're very excited to announce the launch of Kingfisher flavors, which targets a younger, more experimental consumer. We're seeking a sweeter and less bitter taste in the b eer options. We introduced 2 flavors Lemon Masala and Mango Berry Twist, and the brand draws inspiration from popular Indian street food flavors. Currently, we launched in Goa and Daman and Kingfisher flavors will gradually expand to other regions as well in the months to come.
Our key areas will remain as they

have been over the last quarters, really looking at category
growth and winning in all segments, making sure that we leverage and increase the importance of our supply chain network, the quality of our beer and really brew a winning culture through investments behind the organization as well as continue to look at profitability and capital efficiency in the choices that we make to sustain long -term growth in the Indian beer market.
This continues to be pillars of our strategy as we work towards the growth path across all of India. We're happy to take some questions, but first let me hand over to Vivek for some comments on his side.
Vivek Gupta: Yes. Thanks, Jorn, and good afternoon, everyone. I know Jorn talked about our continuous strong momentum and actually building on the momentum, we're growing the full shares. But I wanted to talk 3 things before we get open for Q&A, and I know these will be on top of your mind as well.
The first, I want to talk about the investment in Uttar Pradesh. I'm very happy to announce that after almost 12 years, United Breweries is actually investing in a greenfield brewery. So while we have been a company of -- we have so many breweries there, but it's a very important moment
for the company to do that.
And one of the work we did last year, around 6 months back, we put a business development team who are exploring that to meet our future capacity requirements as we want to be the
category maker, where are the opportunities of growth and where can we do that.
Currently, we actually do business in UP through a contract manufacturer, Wave Distilleries and Breweries . So we actually buy it from them. And based on the category growth and positive policies where the stores are going to double of our beer, we wanted to make sure our premium brands, and we have a long- term supply there. So we actually work the design, and I'm very glad to share that the global Board of Heineken as well as the UBL Board has approved it. We are in an advanced stage of con versation with the government.
We have even identified the land, and this will be probably one of the world-class brewery at an optimum cost because as we have designed the brewery, we have also don't want to create a palace. We actually want to make sure we use the local technology, lo cal machinery wherever possible, but we have the right standards, and we will have our premium brands as well as Kingfisher to be produced there.

So -- and the capacity of brewery is going to be modular. We are looking at anywhere between 1 million to 3 million depending on the -- because the brewery is set up for many, many years. So very excited to talk about that. And this will not be the only investment we will be doing. We will also be -- we are also in talks with other state governments on various models of how do we expand our capacities and be future ready.
The second important thing, I also want to talk -- I'm pretty sure there'll be a lot of concerns on why the profit is down, what has happened structurally, and I'm sure we will address some of them, not to all your satisfaction. But I want to tell you that one of the critical choice we made was to really prepare ourselves for 2025 summer season.
And the reason I would say that because if you remember, in 2024, when I came to you, we mentioned the impact of elections and why election had more impact on us. So elections really
slowed down our growth rate in certain states during the April, May, June quarter. We are expecting summers, and we're expecting a higher growth rate.
And to prepare ourselves for the growth rate, we wanted to make sure we are setting up breweries for success. So we did a lot of investment in repair and maintenance of our breweries. To give you an example, in Andhra Pradesh, we had a brewery for last 4, 5 years, it was operating at 1/3
the capacity. Now

suddenly, if you want to utilize the full capacity, we realized that since we
have not invested in maintenance and repair, our boilers were giving up after 50% capacity increase.

And there were -- filters are giving up, we started having some quality issues. So we actually took a step back and actually made a significant investment in making sure the breweries are ready. So in fact, I'm very happy to say that from this month itself, the same Andhra Pradesh brewery will give us 2.5x versus we were getting 1.5 to 1.7x from Andhra.

Similarly, we did that in many other breweries to make sure we are future ready. We also invested in warehouses so that in the places where we have shelf life of a beer as 9 months, we actually can bring the stocks forward, do the production in the non-season. So we are ready to fill up the market when the summer start, and we are lucky that you see February already is getting hotter in many places. So -- and usually, March is the time when the inventory start builds up, but it has started building up now also. So we made investments in the peak season.

We also made investment in the organization and our fixed cost is high because trade marketing, corporate affairs, all of these are investments where you have to work on long term. At the same time, we also worked on a productivity plan, which the impact you will see this year because most of the people who left us were there till December to bring together. But we didn't let them do that. So the other thing I wanted to say is we have actually invested and we feel pretty good about our preparation for the season given the constraints we had on the capacities and how to maximize it.

The third topic I wanted to address was the Telangana. I know this was a big, big topic of discussion. Look, I would say, extremely proud of the organization and proud of -- to do the right things. We are there to serve consumers. We absolutely want to make sure that consumers

are served with the full capacity. But at the same time, the viability of the business because the pricing was getting delayed and the outstandings were high. So we were left with no options after multiple negotiations to be very reasonable and say, look, we will not be able to supply to the corporation because there is a limit to that.

I would say that we had very constructive conversations with the bureaucracy as well as the government. Some of us were personally there for many days. And I think I'm happy that they have shown some progress. I think a 15% price increase does make our red P&L there to amber P&L. We are not fully out of the red, but it is -- definitely it helps gross margins. It also helps the EBIT.

Unfortunately, all of this price increase has gone to consumers. I think I would have -- we had recommended and I would have loved if they would have done some tax restructuring so that the consumer impact is minimum, but the consumer impact is going to be -- is quite high, though it's still in line with the neighboring states, the consumer MRP, but we have to see INR 30 and INR40, how much that impact in Telangana.

We still have outstanding in Telangana, but we have started getting regular payments from September like everyone in the industry. And we also got a couple of payments, which have reduced our outstanding balance to do that. And we have got an assurance or a plan that over the next few months, we will get back our outstanding.

We are -- the reason I said we are proud because even after this, we are in talking terms with the government and the bureaucracy. We are discussing with them. I have told them the impact that look, very thankful for the progress, but the impact is still -- we are still not out of red. At the same time, the consumer impact is very, very big. And let's monitor it so that the category doesn't attack in one of the most important places

to do that.

So that's about Telangana, but it again, should give you the confidence that we structurally want to improve our profitability of this business. We structurally want to build the category. And as a UBL, we will go state by state, state by state where we have structural profitability issues for the category, we will elevate that, and we will continue to work with the government and through the association so that we can have a better investment climate in those states.

So with this, I hand over back to the moderator for any Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask a question may press star and one on the touch-tone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Please limit your questions to two at a time per participant. You may join back the queue for further questions.

We'll take our first question from the line of Jay Doshi from Kotak. Please go ahead.

Jay Doshi: Hi, Vivek. Thanks for the opportunity. And c ongratulations on good progress on both volumes and premium portfolio. I've got 3 questions. First is just checking if I heard you correctly. So even after a 15% price increase, your Telangana operations would still be EBIT negative?

Vivek Gupta: Yes.
Jay Doshi: So then what is the way forward in terms of -- because Telangana is a state that is known for not giving price increases for 3 years, 4 years, 5 years. So then why would you want to sort of continue operations if you don't have any commitment or if there i s no visibility on further increments to make the business at least minimal profitability?
And partly because, again, I agree with you on restructuring, the kind of price -- tax increases that they -- if they're not changing the taxes, then even if they give you another 10%, 15% price increase, then it will -- there will be a lot of headwinds fr om demand perspective. So basically, the problem for the state sort of doesn't get addressed with this ?
Vivek Gupta: Yes. No, let me address your first question because -- we do that. I think -- look, I think I would say that at an operating level at a local state level, we are slightly okay, okay? If I not put the overhead cost because your question was at an EBIT level, if I don't put the head office and the other overhead costs, I'm okay, right ? And on certain SKUs, I'm okay. So if I drive some mix, I can do that.
Having said that, as I said that without revealing much, our discussions have been wide open, and they know that. And we have to be a little bit more pragmatic also here because we -- all the complex issues will not get solved in one go from where we are c oming of 5 years of no pricing and having a massive hole to having a little hole now, which can be worked at a local level for some time.
But I think we would be expecting a Phase 2 in very near foreseeable future because we have been telling government that, look, with this pricing, it is not an investment grade. We can make some cost savings to at least avoid our operating losses. But at the same time, we are also working very, very closely to also show the impact for the consumer pricing and what are the other options to do that.
So it is like you have to work consistently on this. This is not a one go where we ask something we'll -- got it. But I think it's a significant progress from where it has come now. So that is what I would say.
Jay Doshi: This is the first step, and you are hopeful that there will be some more release on this?
Vivek Gupta: Absolutely, because we will be consistently engaging with them. And I would say it will -- definitely won't take 2 years to get another one or 5 years to get there. So it will be a consistent one. And I think the -- if you

ask me, the government or the off icials will also agree to that, not us giving pricing, but yes, they have more work to be done on this.
Jay Doshi: Sure. Second question is, there is an excise duty increase in Karnataka and more importantly, at the economy end and then there was a media article that indicated that United Breweries has commented that they'll absorb a part of excise duty. First of all, is that accurate? And if not, could you give us some color on what is your exposure to the popular end or economy portfolio in Karnataka? And what is the premium portfolio?

I know you will benefit relatively, but on an absolute basis, this may still be a headwind. So if you could share some color on how big is Karnataka for you? How big is the popular portfolio? How big is the premium portfolio? And are you going to absorb an y of the excise duty increase? Or are you going to pass it on?
Vivek Gupta: Yes. No, absolutely. I think, first of all, it's very unfortunate what is happening in Karnataka for the industry. I think it's not only Karnataka, in many other states, like what we saw, the beer is becoming less affordable for consumers. So it means the market leader or the category maker like us, they have to work much harder.
So in new economy segment, it is 25% of our business today. So our volumes like brands like Bullet and UB are 25% of our volume to do that. So we have passed on the duty increase to consumer in those brands. However, we have made a strategic call that Kingfisher bra nd on the mainstream and Ultra, which is Kingfisher and its allies , we are not passing on the duty to consumer, and we are absorbing the price increase.
Why have we done this? I think 3 reasons. First of all, as I said, as a category leader, we really need to make sure that the category growth is there. And we believe that in the past, when the economy segment was there, when the lower price point came in the market, Kingfisher was the biggest donor. And it happens, right? The biggest brand becomes the biggest donor in the economy.
Yes, we have 25 share, but on mainstream, I have 60 share. So this is a bet we are taking, which means that the trade- up should happen to Kingfisher and because the delta between the economy brand and the Kingfisher is much lower now. So think about a INR 35, INR40 delta versus

INR80.
So this is a business call we have taken to make sure that we offer -- we do the value reframing and offer the legendary beer at the same price when all consumers are thinking the beer is becoming very expensive. I can tell you the early read is very positive. Too earl y to say, but at least what we are seeing in the stores, what is there, there is a momentum on this, and we have made a call on that.
How will this whole react and pan out? We don't know. We have assumed a category contraction at the economy end. And we think many of these consumers will go to low -end spirits. And we just need to monitor it and then continue to work with the government. But we do think that if we get our plans right, we should be able to accelerate premiumization with the launch of Heineken Silver last year here with our continuous momentum on Ultra, Ultra Max, in future launch of Amstel Grande.
And at the same time, we should be able to blow back our shares on Kingfisher and get at least consumer a better experience.
Jay Doshi: Sure. Could you tell us what is the volume salience between economy where you're going to pass on the price increases and the segment that is Kingfisher, Kingfisher Ultra where you are absorbing the excise duty? And are you absorbing entire excise duty? Or is it partial increase?

Vivek Gupta: See, first of all, the duty increase on the economy is much higher than the mainstream segment. So just to give you an idea, in the economy, we co

uld not price anything below INR 145, and our price was INR 120. So just to give you an idea because the way the duty is structured at the economy is a much bigger increase. But at a mainstream, it is a much smaller increase, but it's still an increase. So that's what I will say.
Jay Doshi: Lastly, is it possible to give us an update on where your bottle recovery rates are today? And any road map, any -- what are your plans as you get into the peak season? How do you expect it to sort of improve versus what it was maybe last year?
Vivek Gupta: Yes. I'm actually happy to report all the efforts we are putting this quarter, we had actually 5% improvement versus the last year. So it is improving in our bottle network. But at the same time, since our volumes are growing, we're also putting more new b ottles in the system. And especially for the premium launches, we are putting the bottle in the system. But the good part is all the operational measures we have put together, they are going in the right direction. And last quarter was actuall y 5% above the previous quarter.
We have to do much more work. Like, for example, as the -- like Andhra Pradesh is one state where our bottle return is very low in the past. So we are working on a new model of having more distributors and scale distributors of bottle collectors so that we can actually improve that significantly. Similarly, the places where there were floods like Kerala and all, we are also working on a plan for a better recovery, but it's in the right direction now.
Jay Doshi: But will it be close to 70% in FY '26? Do you think you'll get close to that number or still too early to say?
Vivek Gupta: It is too early to say. Our goal is to get there, but also this is why we are working with the state governments to say they have more permit rooms. Because if the permit rooms are not there, then it becomes very messy. So what we are learning is where there are permit rooms, the consumer can actually sit and drink, the bottle collection is much better. When consumer just take it from the store and go is there.
So actually, we are working with a lot of state governments to show the data and to see how if they can follow Maharashtra kind of model, it could really help in bottle returns and cost of doing business also, apart from sustainability.
Jay Doshi: Sure. Thank you so much. Thanks.
Moderator: Thank you. We'll take our next question from the line of Latika Chopra from JPMorgan. Please go ahead.
Latika Chopra: Hi, thank you for the opportunity…
Moderator: Mrs. Latika can you use your handset mode, please? Your audio is not clear ?
Latika Chopra: Is it better now? Yes. I'm using my handset only.
Moderator: Yes. Please go ahead.

Latika Chopra: Yes. My first question was on gross margin. There are a lot of moving parts there. The mix is improving, which is good. The state mix, which is tough to call, but with developments in

Telangana looks like it's moving in the right direction. And then the ki nd of capex you're putting
up to scale up for large capacity.
So where do you think gross margins could look like 2, 3 years down the line? In some of your productivity programs and capacity and whatever tax changes that we've seen in recent months
in certain states. Can we really aim for, say, a high 40s kind of gro ss margin in this business?
Thank you.
Vivek Gupta: Jorn, do you want to answer?
Jorn Kersten: Yes, yes, I'll answer this one. Look, this is something that we continuously look at. And also in
previous calls, we mentioned that we're in this for the long run. So if we look at the mix
development in the salience of premium and there we have a lot to g ain in terms of
premiumization, which will, first and foremost, improve our revenue mix. But then as Vivek
mentioned earlier on the call, it will require a lot of infusion of new bottles to gro

w SKUs that
are not available to that extent or n ot sold to that extent in all states yet.
So in the short term, the premiumization mix will do a lot for our revenue and for our market share, but not necessarily immediately for margins. But as we go along, this will get better. And
same goes for the translation of the investments that we're doin g in our breweries. We said we
have premium capabilities available in many more places coming season than we had last year, and that obviously also impacts the margins as we are closer to the consumer. So these things long term will help us to further develop the gross profit margin.
The state mix, that's something that obviously is partly in our hands. We try to grow volume across states where we keep an eye on where we make the strategic choices. I think Karnataka that Vivek just commented on is also an example of that, where we don' t only think that
Karnataka is the home of Kingfisher, and therefore, it's a consumer -centric choice to absorb on
Kingfisher duties, but it's also in our state mix, one where we really want to drive volume. So that's something that's developing.
Obviously, things that happen such as in Telangana, despite the fact that we are not where we want to be yet, that will definitely help our margin delivery in the short term.
Latika Chopra: Sure. So fair to think that probably gross margins will improve, but it could be a more gradual progression, right?
Jorn Kersten: Yes. And that's also how we look at it. We want to build a sustainable profitable business, and
we take small steps where we can, but we also want to keep our focus on the share development
and the volume growth to really make the category.
Latika Chopra: Sure. And the second one was on volume growth. Volume growth is …
Moderator: Mrs. Latika I am sorry to interrupt but audio is not very clear.

Latika Chopra: Can you hear me better now?
Moderator: Yes, please go ahead.
Latika Chopra: Yes. So my question is on volume growth. 8% is fairly impressive. And clearly, there are a lot
of flexibility build -outs you have done and the aggression is very much visible. So are we now
in a relatively more comfortable space to say that 6% to 8% kind of volume growth is minimum
for you when you're looking at the next year -- next fiscal year?
Jorn Kersten: I think overall, we look at similar rates moving forward, and we think that's where the category
will grow. Obviously, with all the efforts we put in to shape the category and also look at beer
as a drink of choice for consumers, we do obviously hope to push it forward and also with the
premium share gains that we've been showing for UB, it means that we're happy with the 8%.
And we think that's for a quarter, a really good a very good delivery.
We aim to be ahead of the market, of course, moving forward as well. But I don't think that
necessarily, given the volatility of policies, etcetera, that we will see a huge acceleration in
overall growth. Also, this is a long -term play where we're sustainably building the category.
Latika Chopra: Understood. Thank you so much.
Moderator: Thank you. We'll take our next question from the line of Abneesh Roy from Nuvama. Please go ahead.
Abneesh Roy: Thanks. My first question is on the first greenfield project in 12 years. What is the main reason
behind doing this? Is it more for production of the premium portfolio quality improvement or there is a cost advantage? And second is, when do we start seeing the manufacturing of this
because the project is yet to start because you identified the land, but obviously, approvals are
pending. Will it be more of FY '28 where we see the benefit of this?
Vivek Gupta: Yes. hi Abneesh, I'll answer that. It takes almost 24 to 30 months to set up the brewery to do
that. So our goal is we should have this set up by '27, sometime in '27. Of course, th

e team will
work at that accelerated pace as there, but the fastest brewery setup, it still takes, I'm told, 12 to 18 months to really do that. Why are we doing it? Because as Jorn said, we are in the long run in India.

We expect the beer category to grow. We want to continuously be the category maker to really do that. We see in UP, which is the highest population state, we see the -- with the urbanization happening, with the infrastructure development happening, our projections are that category growth rate will be strong. We have assumed the similar 6% to 8% in UP to really do that. And as we look at that, then we will need more beer and m ore beer to be produced locally.

The second thing is it's always a trade -off. But based on the environment, the number of stores, the policy -- excise policy, positivity of the government, access to raw materials because UP is one of the states where we also get barley from to do that. Th e cans versus bottles because UP is more cans versus bottles as well. So when we look at all of this, we think there is a net present value, which is positive for us also.

Third is, I don't know if you know UP government last 2 years back, they introduced a franchisee fee which is basically, if you don't produce it locally, you actually end up paying more fee than that. So putting all of this together, of course, when everyone is approved it, it is a financial sense to this project. But we actually think this is -- and this is also to produce our premium brands, produce Heineken there, produce a local Kingfisher, but it is to invest in future based on the category growth.

Just to give you some data in '24, UBL volume grew almost 20% in UP.

Abneesh Roy: Understood. So one follow -up question here. So you have done very well in UP last 1 year, this quarter, Q3 also. Is premium also doing well here? Because I do see almost 1:4 difference in terms of pan -India mass versus premium, 8% versus 33% growth. But is the premium growing largely in the big urban cities and UP is more of a mass market? So if you could tell us how is UP doing in terms of premium? And the stores getting doubled in UP, when is that fully happening? Has that already played out in terms of distribution?

Vivek Gupta: No. So the UP excise policy has only come last week. As per the policy, if you see in UP earlier, there were separate stores which were selling IMFL and separate stores who are selling beer. What the new policy has said is composite stores. So the beer sto res will go up from almost 6,000 stores to 10,000- odd stores. The composite number is 10,000 to 11,000. So both these stores will sell both IMFL and beer.

So the stores are doubling for the branded category. So that's a very positive news because in the last stage, you need to have beer for beer accessibility is very, very important. So this implementation will happen from April 1. So the government is going through the e -auction and all process. So the future is looking quite bright there.

In terms of the premium number, I don't have the category numbers, but our business on premium doubled in UP. Our Ultra brand is growing 157% and Ultra Max is doing and there is much more scope of premiumization as well. And that's what we see around in th e other states also when the supplies are available, the execution gets better with urbanization, there is a faster growth in the premium brands than what we're only thing -- only in the urban centers.

Abneesh Roy: Sure. That's helpful. One follow -up question to my first question is Delhi is adjacent to UP market and UP has done so well. Now BJP end-to -end in Delhi in terms of the government. Do you see at some stage, Delhi also seeing a lot of reform? And currently, how is Delhi market doing for you? Because for spirits, Delhi has been challenging in the last 2 years. For you, how has the Delhi market been?

Vivek Gupta: So it has been challenging for us as well. We are doing okay because -- but we are very low in shares because it's still a cooperation market, and there are a lot of ordering system issues there and all. Look, I'm like you, like anyone else, we are hopeful that the governments do what they are supposed to do. So I won't comment more than that.

I had hope from previous government. I still have a hope from this government as well that they do something because the quality brands have to be available more consistently in the stores.

And I see a lot of potential in Delhi if the policy comes in. But I'm also pragmatic that it will not happen immediately.

Even in Andhra, if you see, it took 6 to 9 months for policy to come in position. So I'm pretty sure it will not be an immediate change that somebody is sworn in and then next day policy will change. I really hope things get better.

Abneesh Roy: Sure. My second and last question is on the 2 brands you have put -- photos you have put in the PPT, Mango Berry and Lemon Masala. You spoke also that in terms of that in the opening

remarks. If you could tell us in terms of pricing and market opportunity, how big it is? And if you could talk about the margins here. I understand this is catering to a customer who is more new to the beer, more in terms of mild beer, etcetera. But how big is the market? And is this a premium product?
Vivek Gupta: Look, this is premium to Kingfisher. We have just launched this in only in a couple of markets of Goa and Daman. It will get expanded to Mumbai because it needs some work on the breweries to produce the flavors. As you know that in India, there has been flavors, but not -- the legendary brand has never done flavors. And young consumers who are new recruiters in the category, they are looking for different flavors and varieties and do that.
So this is -- think of this as an experiment as a pilot to start with, which has been well tested with the consumer and well one with our R&D, working with the global R&D to design it for a local sense. We actually think doing it in the right manner on a very consumer focused because they were -- there are some companies who launched many flavors. It became hit, but then they struggled because they were -- the inventory was catching dust in the shelves to do that.
So this is -- these are definitely -- they definitely are at premium price, slightly premium price, better margins. But they will also are designed for young Gen Z consumers who are new recruiters coming in the on -trade, wants to try different flavors of beer because the trend is towards cocktails and other things. So we will learn through it, and then we will selective ly expand them.
So these are 2 variants of Kingfisher, which we have launched, but we are very excited because this just shows the opportunity that we are not going to be the old Kingfisher brand. We are listening to the consumers and we are making the interventions. And early response, I can tell you, is fantastic. If you ever go to Daman and Diu or in Goa, there's a lot of demand for it.
Abneesh Roy: Understood. Thanks, that’s all from my end. Thank you.
Moderator: Thank you. Before we take the next question. I would like to remind participants to ask a question they may please press star and one on their phone. We'll take the next question from the line of Krishnan Sambamoorthy from Nirmal Bang Institutional Equities. Please go ahead.
Krishnan Sambamoorthy: Thanks Vivek and Jorn. You indicated in the presentation that there's been market share gains for the quarter, both on an overall basis as well as in the premium segment. If you -- at 8% volumes for the quarter, what do you reckon would have been the industry growth for the quarter?

Vivek Gupta: Sorry, your

question is what is the category growth? Sorry, can you just...
Krishnan Sambamoorthy: Category volume growth for the quarter, yes ?
Vivek Gupta: For the quarter, I think our volume growth is 8%. Our estimated category is 7%. So that's why we have grown overall market share. Based on whatever data we have, it is 7% for the quarter.
Krishnan Sambamoorthy: And yes, can you also indicate the key states where you gained share significantly?
Vivek Gupta: Look, I tell you -- I can tell you where we lost share. And I can also tell you where we gained share. We lost shares in -- sorry, one second. We lost share in West Bengal because if you see the beer has become very expensive in West Bengal after the duty increase. So we lost share in West Bengal because we took the pricing from -- to pass on the duties from INR 135 to INR160 and there is an economy brand, our competitor kept at INR 140. So there was a loss of share to that brand. So the West Ben gal was one area where we lost share.
We think we lost share in Rajasthan, again, some of those concerns. And we lost share in Tamil Nadu because Tamil Nadu is still the go -to-market, the way the TASMAC needs to still do a better job of ordering. And we have been raising this to the government that we believe there's a lot of out -of-stock of Kingfisher in Tamil Nadu because coordination from TASMAC and all are there. We have had a couple of meetings with them, but that seems to be an issue as well.
Karnataka, I'm not sure. I think we gained share despite declining 5%, we gained share, which is an impact of category which was already happening because of this whole humour of excise duties being increased and all. But everywhere else, we gained share. we gained share in every other state. We gained share in Telangana, UP, Haryana, Maharashtra, Assam, Arunachal, Meghalaya, you name the state, we gained share.
Krishnan Sambamoorthy: And would you be able to call out how much was the contribution of Andhra in this 8% volume growth? Was that fairly substantial for the quarter?
Vivek Gupta: It is 1.5% to 1.6%. So without Andhra, we would have been 6.5% to 7% rounded off growth.
Krishnan Sambamoorthy: Okay. And a couple of questions on disruptions. Any material disruption in the current quarter because of the Delhi state elections? And similarly, in the -- what was the period where supply was halted Telangana?
Vivek Gupta: Look, this quarter, honestly, the January has not been good because of 2 big disruptions. One is in Karnataka. The Karnataka category is down 30%, 35% because if you know Karnataka,

because of the duty change, there was label approval for the beer, and the y were trying to manage
old inventory, excise was managing. So for 15, 20 days, it took -- there was no stock in
Karnataka, you would have read also in the market, which only started off. So there is an impact in Karnataka. Now we are filling some pipeline, but there is an impact in Karnataka.
Second thing is, of course, our operations were closed in Telangana for a good 15 days. So that
is -- that's something we are aware of this. Third, there were pricing changes and policy changes
in some of the other states like Odisha . We got the price increase in Odisha , but there was a

period of change to do that. So there were disruptions in Jharkhand also where we got the pricing,
but there's a disruption because of excise policy change as well.
So January had a lot of disruptions, one led by -- driven by us and 3 driven by -- there with the
big disruptions. We are off to a good start in February, and we will try to do that, but let's see
how much this impacts the quarter. But from an overall year perspective and long-term
perspective, I think we are in a good shape.
Krishnan Sambamoorthy: Okay. And any material impact of Delhi elections on volumes in the state?
Vivek Gupta: As I mentioned, t

he Delhi business is not too big. There's a lot of opportunity there. So not much impact. We are fine right now.
Krishnan Sambamoorthy: Great. Thanks a lot Vivek.
Moderator: Thank you. We'll take our next question from the line of Ashutosh Jain from Barclays. Please
go ahead. Mr. Ashutosh Jain please go ahead with your question. Please check if your line is on
mute?
Ashutosh Jain: Hello. Am I audible?
Moderator: Yes. Please go ahead.
Ashutosh Jain: Thank you. I was looking at the Heineken Group recent trend and happened to notice that in
Brazil, digitization efforts of the RTM helped its margins now very close to the group level. So could you just give more update on similar efforts in India and likelihood of similar impact on
margins if it could have in this geography? Thank you.
Vivek Gupta: Jorn, do you have any idea about what Brazil is doing? I've not followed up on this digitization
piece, but do you want to take that?
Jorn Kersten: Yes, I can tell you. I think if you look at Brazil, it's hard to compare it to India, looking at where they are in terms of, for instance, digitization, but also in mix of their portfolio. So the Heineken
brand, Brazil is actually the biggest market global ly for the Heineken brand. So also in their mix
development as well as other parts of route to market play a big role in the margin. So I think in
terms of absolute margins, it's hard to compare it.
Obviously, overall digitization helps on 2 areas. I think one is the productivity piece. And the
other piece is to be better in terms of using data on where are the opportunities and what does
the consumer want. And I think on both areas, there is definite ly room for us to also develop. I
think that also comes with really building the category.
But to be very honest, we are taking steps and we're developing and we're working with apps for our sales team that are locally developed to help them and to help win in all the stores. But we're
also looking at basics of in-store visibility. If you look a t the number of, for instance, coolers
that we deploy or that we plan to deploy in 2025. I think that's short term where for us it's the
biggest gain.

But of course, the benefit of being part of the Heineken system is that we can learn and that we
can look at other markets and see what works and then take those best practices and develop it
for India specifically.
Moderator: Ashutosh, does that answer your question?
Ashutosh Jain: Yes. Thank you so much.
Moderator: Thank you. Ladies and gentlemen, to ask a question, please press star and one on your phone.
We'll take a question from the line of Ajay Thakur from Anand Rathi Securities. Please go
ahead.
Ajay Thakur: Thanks for taking my question. So I wanted to understand a bit more on the consolidated EBIT
margin impact from the Telangana price increase. While I understand you had mentioned about 100 basis point kind of a gross margin impact, but can we expect a similar or a higher kind of a
numbe r on the EBIT margin from the Telangana price increase?
Vivek Gupta: Jorn, do you want to take that?
Jorn Kersten: Yes, yes. Of course, we welcome the additional pricing. And like Vivek said, it's great progress whilst we are not

there where we want to be. And to be very honest, it's also us gaining back some margin as we were selling at loss in Telangana. So yes, of course, this will improve the
top line margins. But like we said, we're also investing in growth. So I don't expect that to one -
on-one translate into a margin extension.
It's very welcome to balance our business and to get after where can we invest behind the brands,
behind the organization to continue the growth. So I would be very careful to translate that
immediately into bottom line margin expansion.
Ajay Thakur: And second question was more on the cost -saving initiatives that we have undert

aken. While I
understand that there has been already front -loading of the cost in terms of the exceptional items.
I just wanted to understand, is it kind of totally been kind of covered with the exceptional item?
Or we still have some more of it pending, which can come up in the next quarter?
And also, in addition to that, is there any one -off also sitting in the other expenses during the
quarter related to the cost saving measures that we have undertaken?
Vivek Gupta: Yes. I think I can answer one first part. And second, Jorn, I'll ask you to answer if there are any
other one -off items which are there in the P&L this quarter. I think productivity is going to be
an ongoing thing at UBL because as we are going to invest a nd grow, we will keep looking at
the opportunities to save. So -- but what we wanted to do was we didn't want to do multiple
small initiatives throughout the time.
So we actually did 4 or 5 programs at the same time. And all of these programs were intent of upgrading the organization, finding the structural efficiencies, but also using digitization to get
better on this. So this is why you have the exceptional cost in this quarter, and we will be having

the savings. We will absolutely have another productivity program for '25. When will we do
that?
Definitely not during the season because you want to focus on making sure you're serving the
consumers to -- on doing that. But somewhere in the second half, we will do that. And when we
do that, we will let you know on that. But any other exceptional items, Jorn, you can talk about
it in the current P&L.
Jorn Kersten: Yes. No, absolutely. I think not necessarily exceptional items, but conscious choices for the most
part. So like we had mentioned to be ready for the summer season 2025, we did put additional
money behind making sure that our breweries are ready. So in ter ms of maintenance costs on
the quarter, we see quite a peak other than in other quarters. So to make sure that the breweries
are ready to fill the demand for the peak season.
We still continue to see an increase in the organization cost because we started investing in the
organization in, let's say, Q2 -- Q1, Q2 of this fiscal year. So we still see continued increase in
those expenses if you compare it on the Q3 from the previo us year. And the last thing I would
like to mention here as well is that -- and as you all are aware, the outstanding receivables in
Telangana, of course, have an impact on our financing costs and the cost of working capital and
part of that also reflecting on the Q3 P&L and im pacting the margins there.
I think those are the 3 items that I wouldn't necessarily consider them to be exceptional, but we do expect those items to normalize moving forward. So the underlying margin of the business is
still very healthy.
Ajay Thakur: Understand. Thank you, sir.
Moderator: Thank you. We'll take our last question from the line of Vishal Punmiya from Yes Securities.
Please go ahead.
Vishal Punmiya: Thank you very much. My first question is on Visi coolers. If you could share the improvement
of Visi coolers over the previous quarter? And what is the number currently?
Vivek Gupta: Yes. No, I think it's a great question. We actually added almost 10,000 Visi coolers in 2024. As
I said, beer is sold when it is cold. And again, going back to our role as category maker, we
actually are working on ensuring there are more coolers in various parts of the places. We were
able to place almost 1,000 -plus coolers in Andhra Pradesh as the market opened up to really do
that. So we have implemented more than 10,000 coolers.
Vishal Punmiya: Okay. And also, if you could share the capex number for '26 and '27, including Uttar Pradesh?
Vivek Gupta: Look, it's very difficult to share the capex number because as we said, we are investing in the
growth

. We are looking at the opportunities. The numbers are very variable because some places, we may go with a hybrid model, some places we're investing in our own brewery. So we have a total strategic plan. So I won't be able to share the number at this stage.

And I would say that a lot of it also depends on the policy regulation because one of the things I'm really, really concerned about is the affordability of the beer because in the last few months, most of the states are taking duty increases, price increas es for the consumer. And while we are putting a lot of effort to invest in the category growth, but this can be a real dampener because like -- Karnataka is a very good example.
If the momentum would have continued what it was there for 5 or 6 years, we would have actually gone and maybe built another brewery or expanded another brewery to meet that demand. But unfortunately, I think some of our competitors are not seeing from that lens as a category maker. I think they see it only growing shares and they get okay with some of these changes. And I really hope that with the new platform of Brewers' Association of India, we are actually trying to make sure that as large players, we actually advocate the right things.
Even in Telangana, when we took that -- the right thing for the industry sustainability, I'm told that there were many beer manufacturers who were trying to see if they can grow shares in this environment. So I really think that one of the things is to rea lly think beyond the current pie and think about a much larger pie to actually see the category opportunity. And as more and more of those opportunities open up, I think our capex plan will change with that.
So I would be very open with you. Look, so it is actually -- you'll be surprised that the capex plan are as fluctuating as your travel expenses sometime because a policy change happens and you suddenly say, "Oh, really, do I need a brewery here if this is going to be the trend there?" So I don't want to give a number, but I would say that it will be a very healthy number for UBL and there because we'll still invest in expansion and driving the growth.
We are still investing in our own breweries to have better technology. You heard the UP investment, which is close to EUR82 million investment and a significant investment as well.
Vishal Punmiya: Would it be fair to assume a 2, 3x capex versus what we have seen in the last 2, 3 years? Would that band be right?
Vivek Gupta: Look, it would be very difficult to give a number because we're also looking at various models because in one of these states, we also -- our CBU partner or a contract manufacturer is expanding their capacity, and we are working through it. So it will be definitely higher than where it is today. I can definitely tell you, but I don't want to give a number.
Jorn Kersten: If I can add something here, touching on a couple of items. So if we look at the beer category growth, we think there's 3 things that really drive category growth. It's awareness, availability, and affordability. And I think Vivek spoke to affordability. And if we look at awareness also, that's where the Visi coolers play a big role. So in the store, the visibility of beer is definitely helped with Visi coolers. So we think that's going to help for the category and for our brands as well.
On the availability, that obviously ties into the investments as well. And that's why we also look at it state by state, what is the availability, what's the capacity and how can we tap into the capacity? Is it through a greenfield like in UP? Or is it thr ough a partnership with existing brewing capacity? Because still -- and I remember having this conversation with Vivek as well,

overall pan -India, there is underutilization of brewing capacit

y. So you need to make sure that we take the smart decisions here and not invest in greenfields where we don't have to.
On the UP specifically, I think if we look at UP, it's the state with the biggest state revenue coming from the alcohol -bev industry, but still versus other states, we see a lot of headroom in terms of consumption of beer versus spirit. So that's one of the reasons why we think UP is a very good potential for us to invest. And that's where also that piece on availability plays a role with the new policy because doubling the store is a massive change.
And we talk quite a bit about urbanization as one of the drivers for growth. Yes, that is definitely true because availability in cities is often better. But the doubling of stores will also make sure that in nonurban areas, there's more availability of beer. And we do see across FMCG that actually rural demand is outpacing urban demand. So we think in that sense that UP has all the right levers turns to ma ke sure that that's where the growth is.
So from an investment point of view, it shot up quite rapidly on our priority list in terms of where do we think a greenfield makes the most sense. So we're extremely confident that this is the right decision now to go with the greenfield. In another state , the decision might be a different one, but based on similar trade -offs.
Vishal Punmiya: Got it. Thank you.
Moderator: Thank you. I now hand the conference over to Mr. Vivek Gupta for closing comments. Over to you, sir.
Vivek Gupta: No. First of all, thank you, everyone, for your questions, and thank you for everyone for your confidence in this. I

again want to repeat, I think as a team, we feel very confident that we are
on the right track as a company. We also know that it will be a lot of hard work, a lot of
uncertainty.

But having said that, I think we are investing in building the category and investing in driving the growth and investing in winning in this market. We are continuously investing in the
capabilities as well. And one of the big capability is our corporate a ffairs through Brewers'
Association of India, but also our own effort to really talk about the affordability of the beer and
accessibility of the beer.

The one thing which is giving me sleepless night is the affordability of the beer because if beer becomes expensive and versus spirits, it can lead to not only the long-term category erosion, but
also it has other effects on sociability and health and other factors. So that is one area where I
think broader industry and broader influencer group can really track and do that.

But other than that, we are very buoyant on the potential of India, but at the same time, there's a lot of hard work ahead.

Moderator: Thank you, sir. On behalf of United Breweries, that concludes this conference. Thank you for
joining us and you may now disconnect your lines.

Call: May 2025

"United Breweries Limited
Q4 & FY'25 Earnings Conference Call "
May 08, 2025

MANAGEMENT : MR. VIVEK GUPTA - MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – UNITED BREWERIES LIMITED

MR. JORN KERSTEN - CHIEF FINANCIAL OFFICER – UNITED BREWERIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to United Breweries Limited Q4 and FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touch- tone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Jorn Kersten, Chief Financial Officer.
Thank you, and over to you, sir.
Jorn Kersten: Thank you and h ello everyone and thank you for joining this call. We are pleased to have you here to discuss the developments of quarter 4 for the financial year. By means of an introduction, allow me to share some of the highlights on performance before I'll also hand over to Vivek for some comments and then afterwards, we'll get into the Q&A.
On the quarter, we see a volume growth of 5%, which is despite some temporary suspensions in Telangana, which I think everyone is well aware of, as well as industry- wide challenges from duty structure changes in Karnataka, one of our biggest markets as wel l. The growth was predominantly coming from Andhra Pradesh, Uttar Pradesh, Maharashtra as well as Assam.
From a segment point of view, we continue the story on premium, growing our premium segment ahead of the market, both for the quarter where we grew 24% as well as for the full year, where the growth stands at 32%. And within premium, we are growing the tot al portfolio and it's led by Kingfisher Ultra, Ultra Max as well as the Heineken Silver brand.
Moving to the P&L, we see that net sales increased by 9% in the quarter, which is roughly in line by the 10% growth that we see for the year, which is basically the volume growth and the premiumization, but also supported by price increases in multiple states.
And then if we look into our gross margin development for the quarter, it stands at 42.1% and full year at 43%, which are both improving versus last year, which is good despite some of the short -term margin pressure that we see ahead of the completion of o ur own capacity expansion, so relying largely on growth coming from contracted buying parties.

And last but not least, looking at the bottom line, we delivered 24% EBIT growth for the quarter, which stands at INR137 crores. While we are still carrying continued investment behind the brands as well as the organization and the supply chain, as mentioned, and we al so invested ahead of the peak season, which is the current quarter.
Now in the quarter, we're happy to mention that we continue our journey as a category maker, focusing on beer category growth and winning across all segments. We allocated significant resources to develop our supply chain network,

both with our partner net work, but also with investments into our own network,
where we announced in this quarter the new Greenfield brewery, which will be set up in U.P.
In the quarter, we've seen the annualized cost of the investments into our organization. That's been a very conscious choice to drive the growth journey and something we will continue to invest behind the brands and the quality of our beers. And these are just a few of the pillars that continue to guide the strategy as we work towards long-term sustainable growth in the market, and of course, still
aiming to long -term improve on profitability as well as our capital efficiency.
I'm sure there will be questions. But before we address those, let me hand over to Vivek, who will also share some of his comments on the development of the business.
Vivek Gupta: Yes. Thanks, Jorn, and thank you, everyone, for joining. I would say, I think we're
quite satisfied with the results of this quar

ter and the progress, because I think in the last investor call, I mentioned we had a rocky start to the year in January, driven by almost full month we could not sell anything in Karnataka because of the la bel
changes, and which was an industry issue, but that was a big impact.
And then in Telangana, we made a commercial decision of suspending our supplies for a good amount of the month, almost more than half of the month, to do that.
So the largest volume market and largest profit market, both were impacted in January, which would have led to a lot of other challenges because in both these locations, put together, we have 5 of our Breweries, and that impacts the cost and everything.
But I would say that I'm very proud of the team who bounced back despite these challenges , and we ended up with the quarter at 5% volume growth and 9% sales
growth, but structurally much better output than where we were.

We also announced last quarter our capex investment in U.P. , about our Greenfield
brewery. I'm happy to inform you, I think last week, we got the final land that we
needed. So we are accelerating that build -up of our Greenfield will be at a very
fast pace.
We also made further design choices on how do we make this business more sustainable. We looked at each of the markets. We have put some design -to-win
projects. One of the projects I know is shared in the investor presentation is about
Maharashtra, which is one of the distributor market, but we never looked at our distribution network in de pth.
I was quite shocked to see that almost there were 13 districts where we had 0 distribution points of coverage. And so we looked at the design and distribution
network, which is aimed to provide better service to retailers. There are almost more than 20,000 outlets in Maharashtra. And we think that the response time ,
where if they order and they get next -day delivery , will move from around 62% to
almost 95%. So we are really improving the service, which really helps to build a category in doing that.
So those kinds of design projects, we are doing this kind of work in a few other states also , which helps us to design to win. We also expanded our Amstel Grande
into West Bengal, very good early results. And as we talk, we are actually launching Amstel Grande in UP as well.
We did a lot of work on peak season planning during this quarter. So our
inventories are higher despite some disruption. So all put together, I think we
ended up -- we are having a very good quarter. We are in the middle of the season,
almost half the season is gone, but we feel confident that some of the choices we have made are going to be in line with the long- term aspirations.
The big worry part in this whole is the increase in consumer prices and duties. I think we are seeing the impact of that on the category like Telangana took 20% price increase for consumer. Karnataka, we have still had a duty increase and now again, there is conversation happening on that.
So I keep repeating that affordability is the biggest threat to growth of this
category. But we are working very closely with the government regulators to give
data to really have a voice so that there is more sustainability on this industry. And
there are states where we're doing extremely well. There are states where the

category is down and they are states where we are working hard at. So -- but
overall, I think we are in a good shape.
From an organization perspective, I would say, we continue to invest in building a
very strong talent pool and very strong capability and that is completely on track. Yesterday, we announced that our Supply Chain Director, Wiggert Deelen, who has been in I ndia for almost 2 years, 2.5 years and very experienced, he's moving

back to Amsterdam in August.
And we are actually gettin

g a top talent to replace him, who has been a brewer
throughout his career and worked in Heineken from 2013, worked in markets like Haiti, Congo. He's a Belgian and he's right now looking after Caribbean business and he'll be coming here. So we continue to work on the talent plan as well to do that. So with this, I hand over to the moderator if you have any questions.
Moderator: The first question is from the line of Krishnan from Nirmal Bang Institutional Equities.
Krishnan: Yes. My first question is regarding Telangana. You had mentioned last time that
there was a 15% price increase that you obtained. You also stated that there is a further price increase that you expect "shortly." A, has that price increase come through? And if not, when do you expect that? That's my first question on Telangana.
Vivek Gupta: Yes. No, see, we just got the pricing only on February 15. When I say very soon,
I think it has to go through the government pricing committee and all. So I don't
know the timing of that. And there is no notification which has come. But I'm not
expecting any pricing in the next few months, because it goes through a process. It is a pricing committee which needs to be there. But our conversation with the government is completely on that it is important that they understand that we are still not out of the red completely on this one.
And also the recent price increase for consumers is also impacting category
growth. So we also have to see the data in the next couple of months how the beer
category performs in Telangana overall. And then we will go back with a
comprehensive proposal whi ch actually they would like to see how their revenue
increases, we would like to see how our viability of our business increases. So it's still a work in progress.

Right now, another focus in Telangana is to get the payment back. There is
overdue . I think we did get a part of it, but we are still not out of the wood there. I
think we are also working with the government and through the industry
association. So that the payments are regularized as per their commitment, because
especially in the season, we don't want to get back to a situation where the category is growing, we are growing, and we expect some working capital and we don't get
the payment.
So we're working very closely with the finance department of the state and the stakeholders so that things get in line.
Krishnan: My second question is regarding Karnataka. You had mentioned, after the third
quarter results as part of the conference call , that there was a 30% to 35% reduction
in Jan versus Jan. You also mentioned in the presentation that there was a decline
in Karnataka for the quarter. Does that continue in the month of April and the earlier part of May? And if so, what's the extent of the decline?
Vivek Gupta: Yes. I think there is -- I cannot share the exact numbers of April with you. But I
would say that the decline is not to that extent. But there is a decline, double -digit
decline in the category, which we have seen since the duties have increased. And it has also driven primarily because the price of the economy there has actually
gone up.
Now , on the other side, as a company, we are growing our shares. But as I keep
repeating, my role is not to only grow share. It is also to growing category. We are
category makers, not category takers. So on the share front , we are doing well,
because the economy segment has slowed down. We did not take pricing on Kingfisher. We have a very strong program. We're sponsoring IPL. All of those things are there. But there is a real challenge on the category versus the previous year in Karnataka.
Moderator: Mr. Krishnan, does that answer your question?
Krishnan: Yes, it does.
Moderator: The next question is from the line of Latika Chopra from JPMorgan.
Latika Chopra: My first question was on demand trends.

There are a lot of moving parts here. You just mentioned chatter on another round of tax increases in Karnataka. There have been price increases in certain parts of the country. And of course, weather has been also n ot exactly turning out to be hot in certain parts of the country. So, in

this backdrop, what is your confidence of sustaining mid- to-high single -digit kind

of volume growth for your portfolio? That's the first question.
Vivek Gupta: Yes. No. Look, I think it's not all doom and gloom. There are states where we're also doing extremely well. U.P. is one good example where the policy -- the excise policy has been progressive. They are adding number of outlets of beer. You could see the fact of that. The prices were more or less stable for the consum er to do that.
The action we took in Assam continues to yield results. The work we are doing in our go- to-market and design choices to better serve because, all said and done , there is enough work to be done other than price on this category -- driving category , and we have installed 2x number of fridges already. Because one of the things I talked to you about is that we want to invest in cold beer.
So we have markets where we are doing extremely well. Andhra is another example where we actually did quite well in the quarter and continue to serve the market. And in fact, one of the reasons our gross margins got also impacted, because we're doing a lot of volumes beyond our brewery in Andhra to serve consumers' demand there.
So it's a tale of 2 cities. Basically, there is 2 halves. You have states where we're doing extremely well. There are states where we are creating demand. And there are states like Telangana, Karnataka, and in case -- some cases where we have supply issues in certain states, which is where we are -- the category is really struggling.
But I also believe it's a cycle. We just have to continue to work with the regulators and the government and bring the impact of this. So I think I'm still confident that the level of growth we are delivering , 5%, 6% to 7% volume growth we talked about , is extremely possible there.
Latika Chopra: My second question was on gross margins. This was a good performance in the quarter. But I also wanted to understand how are you sensing inflation in some of your key raw materials, barley, particularly because I think the current quarter probably is a key procurement quarter. Any thoughts on share of recycled glass bottles versus new glass bottles? How is that trending for you? And potential for these gross margins to improve going forward?
Jorn Kersten: Yes. No, that's a good question. And I think we keep a very close eye on gross margin development also from a future perspective , that long term we want that to, of course, develop in the right direction. There are a couple of items you

mentioned then. One of the challenges , of course , being that in India , we cannot translate cost price increase into consumer pricing. Therefore, we need to look at all angles to make sure that we drive sustainable margin development.
You mentioned bottles. Over the last 3 quarters we've been able to improve our percentage of bottle injection, so coming down versus the quarters before -- versus previous years. So that's one thing where we definitely have a lot of focus on to make sure t hat we take the right decisions.
Also , to balance duties that we see input costs also going up in other areas. So it remains a bit of a challenge.
And the other thing which also plays a part here is that, on our growth , we're investing behind capacity. But it means that while we're expanding our own capacity, we rely on contract partners to do which has, even though on the bottom line it delivers a similar profit, margin wise in the way we account for it has a negative i mpa ct.
So we're happy with the current margin development , but very cautious in terms of the outlook because there will be some short term pressure on the margins, which means offsetting these are items that I mentioned.
Latika Chopra: Any specific color on barley cast? What I made out was, your share of recycled bottles is increasing, right?
Jorn Kersten: Yes.
Latika Chopra: And specific color …
Jorn Kersten: Not specifically. No. So, I think we had -- yes, no significant impact.
Moderator: The next question is from the line of Harit Kapoor from Investec.
Harit Kapoor: So I just had a couple of questions. I just wanted to get a sense now , where are we as far as the share of premium the portfolio is concerned ? We had 2 years of fantastic growth on that part of the business. I know it is a slow move up in terms of mix. And when do we believe that scale benefits as well as benefits of RM, et c., start to really show up in an improved margin profile, which kind of positively benefit the portfolio? That's my first question on margins for premium.
Vivek Gupta: Yes. No, thanks. I think last year, you are right, in 2024, our premium business grew almost 24% for the full year. And we continue to see the momentum of the premium business. I think a lot of it is driven by the choice we made on localizing

premium production in many, many locations and also relooking at our portfolio to really do that.
During this period, we also had some disruptions like the la bel disruptions in Karnataka and all of those things we put together.
But having said that, I think our premium business is in the right track. Our aspiration is to grow even faster. So I'm not happy with 30% -35% growth because
we are -- our shares are still mid -single digit and growing. And we know that for the last 5 quarters, the premium business is growing, and premium is still today 17%, 18% of the market.
So we have a plan to hit a 35% share of premiums, for which we have to further accelerate premiums . And when we accelerate premium, we have to put lots in new bottles, as you know, because that's how the equation works.
We have done a lot of good work on collecting old bottles. In couple of quarters back, we talked about we are doing a lot of operating discipline there, working from choice. It is helping us, but this has also helped us to balance because we are
also putting a lot of new bottles on premium in the mix to do that.
So it is a plan. Structurally , we are getting the right way on the premium portfolio as we are making those choices. But the focus on premium will remain growth for the next few, I would say, years, not only quarters, because we really need to keep hitting 35%, 40% growth year -on-year on premium so that we at least reach a respectable share on premium. And I think based on the consumer response as we are making availability, better execution, better programs, we are very confident it will happen.
So we feel good about it. And then you know that once the returned bottles start coming in , then the margin profile will improve.
Harit Kapoor: The second thing was on preparedness for summer. Last year, we had certain supply chain challenges. I think a few months back, you also spoke of a lot of efforts have gone into making sure that those -- some of those blocks don't occur
again. So just wanted to know, we're 1.5 months broadly through the peak summer, how is your execution in your mind panned out? Do we expect some positive offshoots of some of the supply chain unlocks that you would have done showing up in this time summer?

Vivek Gupta: Actually, absolutely. I feel pretty good that we had a plan. But if you ask me , how did we execute that plan? I think 7 out of 10. But if we didn't have a plan, we would have been 3 out of 10. But definitely, I would

say that those plans definitely helped
us. We could feel that momentum and the share growth what we are seeing in our business right now.
Having said that, we also had a couple of setbacks very early on. One was around bottle supplies, because you know that the bottle industry went through a lot of changes, especially with some of the key big suppliers with mergers , and some of the acquisitions did not come through. So we had a little bit of glitch there , which we are trying to manage in the whole park.
And other than that also, a big challenge we learned was these government
warehouses where we are having in the corporation markets, while we increased our supplies and planning. In many cases , government states were not able to
increase their depots or execute their warehouses. So we had situations where a lot of trucks were standing outside the depots for many number of days. Not because we were not planned well, but it was just because the space in the government depots did not increase proportionately, where the category is going.
So all these are part of learning, that's why I call it 7 out of 10. So not only on the issues like the right taxation , we're also going to go back and working actively on
what is the right network design, especially for the corporation market with government depots are there.
Because if the beer category is going to grow and we are going to really lead that category grow, it needs space, it needs to do that. So states like Rajasthan, we face a challenge where depots are not there. We face some challenge in Agra in some of where the category is growing. And you can give it to them because it was not growing as fast as a year back and 2 years back. And it takes time to build infrastructure.
So I think these are all learnings , but these also become opportunities for next year.
Moderator: The next question is from the line of Abneesh Kumar from Nuvama.

Abneesh Kumar : I have 2 questions. My first question is on the Maharashtra distribution changes ,
which you are doing. So the question there is essentially, is this something new for the beer industry in India in the mass end, premium end clearly will be more urban focused, so there it is easy to do. So the benefits of this will be more from a working capital for the distributor , or it will be more that the stockouts which were

happening, those will get addressed? And any sense on the stockouts, if you can
mention? That's the first question.
Vivek Gupta: Sure. I would say -- I think we designed this whole, we looked at it from a pure
customer point of view, and customer as a retailer that if the store getting the best service in the distribution model. Right? And the service measure hours , that if
they're placing an order , do they get the delivery within 24 hours? Are they getting
good fresh goods? Are they able to get access to all the range? Are we closer to
the market?
So this was a complete network design exercise that where do we need
distributors? Where do we need distribution points? Where do we need -- how do
we serve the retailers better? How do we make sure that the execution in the store is there? So the design was made keeping end customer in mind rather than the distributor part.
Now the benefits are going to be all of it, whatever you said, better availability because in many cases it expanding the distributor warehouse space. In many cases
distributors are opening up multiple distribution points so that they can store it. Now all that needs excise regulatory approval. Some is there, some is not.
It is also about making sure that there is better discipline in the market and execution. So I don't know that it's the first in the beer industry. But I definitely think that the quality of work which has happened is quite intense. It is quite world-class from what we see in terms of quality of data at a store l

evel, quality of
execution , and what we are going to monitor. And we will be able to reach 100%
of the stores in Maharashtra in every nook and corner. And we know it's a market which has a good gross margin also. So we can actually invest in developing the market.
And in parallel, we are also continuously recommending to the government to
reduce the gap between periods of taxation and even reduced taxing of beer because the industry has not grown significantly for the last few years. So we are feeling good about it on what we have done.
Abneesh Kumar : Two follow ups here. One is , which are the 2 other states where you are doing this ,
and eventually, will it be fair to expect that, medium, long -term pan-India India
this will happen?
And in terms of cooler placements say in Maharashtra, what percentage is there currently and will you target here also say the 100% which you mentioned?

Vivek Gupta: Yes. On the cooler placement, apologies, I don't have the exact number. I can come
back to you. I don't think our target is 100% cooler placement in Maharashtra. I
think we'll be around 50% cooler placement in the next couple of years. But it will
be much hig her than 8% to 10% or 10% -15% we have today because it will take a
lot of time.
Yes, we are doing this work in other states. I can't tell you right now which, we have to keep something for the next quarter's call also. But we are doing and some
of it is little bit confidential and competitive because there's a lot of work, redesign
work we are doing.
But in Maharashtra we have completed this work in terms of defining a distributor, defining the points, the execution. I think already the people are in place in the stores so we wanted to share it. But yes, this will happen at least in 4 states this year. And the idea is to get this playbook and go to all India.
So we are picking one distributor market , which is Maharashtra, one corporation
market , which will be one thing, one wholesale market , and one corporation
market led by corporation. So we're using a different architect of markets. Create a playbook, have an execution model so that for next year and the year after we keep expanding it.
Abneesh Kumar : Sir, my second and last question is, in terms of innovations and new brand launches, we have seen sharp scale- up in the last 18 months. So specific question
is, in the states where AMSTEL and say Heineken Silver etc. have been launched,
could you share is this creation of a new revenue generator for you, more market share gains? How exactly has this panned out , and any learnings, any things you

can improve in terms of execution based on the launch which has happened till now?
Vivek Gupta: Yes. No, I think we are feeling good -- very good about AMSTEL -- both Heineken
Silver and Amstel Grande. I would say Heineken Silver, we had a challenge of producing only in couple of states , and we got approval to produce in Karnataka
last year , and we are expanding Heineken Silver in Karnataka again.
In some markets like Goa , Heineken Silver is a very sizable business now and
growing. And actually, when I look at our plans , I think we are actually growing
high double -digital on Heineken as a brand and Heineken Silver is growing in
leaps and bounds where we are doing. So great a product, great acceptance.

Amstel Grande is in 2 markets right now, Maharashtra, Mumbai and West Bengal.
We are expanding to U.P. this week. The initial thing is there. We are very encouraged with the initial trials and repeats, especially on the premium brand.
And in West Bengal we already reached almost 4 to 5 share of that premium
category. So it's helping to grow shares, but it is also helping to grow our revenues .
It's a premiumization.
I think on the execution learning, it is just state by state game, getting l

abels
registered, local production, making sure we have the full model especially in a
dark market, because as you know you cannot advertise and talk about how the product is bette r than what you already -- you know what is available. So lot of it
depends on in- store execution and distribution.
So it's a slower buildup than what I would like, but we are working creative ways to make sure that consumers actually tie the product. But we are extremely happy with both the launches , and our focus is on the states where we have launched. We do a very good job. Then we go to the next state and the next state.
Moderator: The next question is from the line of Jay Doshi from Kotak.
Jay Doshi: Vivek, around last summer, if I remember correctly, your bottle recovery rate was about 65% or maybe a little lower than that. If you could talk about the progress you've made over the last 3, 4 quarters? And what should be the expectation for this summer in terms of bottle recovery rate?
And second is, if you can give us some idea of -- for the new bottles, whether you
-- what is the nature of contracts you have? And do you have visibility at a full
year level of the inflation? And any outlook or color you can give there?
Jorn Kersten: No. Thank you for the question. Very straightforward on the bottle returns, we've
improved by approximately 300 basis points. So we're very happy with that. And as Vivek mentioned, a lot of operational improvements that are going on and that
will continue to happen. And we see it across India. We see pockets where things move better and where there's still opportunities to continue to do so.
And as we continue to expand the portfolio, also mentioned by Vivek, we'll
continue to have a challenge on this, because building the category it also means
that we're looking at our consumers and future consumers, which means that we
want to attract new consumers into the category with new innovative products, which, in many cases, also leads to be better. So it's something that we continuously balance and where we also closely connect with our sup pliers.

I won't go specifically into contracts. But we are running a key supplier program,
which also involves both suppliers as they are for packaging materials, one of our main partners. So we're looking into building longer term strategic partnerships
with many suppliers, which are also better suppliers.
Jay Doshi: Actually, I think there is some -- maybe you're away from the speaker or whatever.
But we're not able to sort of get the message clearly. Anyway, I will go back and revisit the transcript.
Second question is in this quarter, there's a significant -- if I look at March quarter
gross revenues versus December quarter gross revenues, it's broadly flat. However,
the excise component has declined 13% , and net sales on a Q -o-Q basis is up 16%.
So normally, we don't look at quarter -on-quarter. But very surprised to see the
trend of a sharp decline in excise. So if you could explain us what is the change in
the state mix that has resulted into this?
And my last question is, at a full year level the receivable days have increased by about 23% -- receivables have increased by 23% versus 10% increase in net sales,
so -- or maybe even lower increase in net sales. So some updates on what is the

situation o f collections from the state where we had problems? And is it getting
better or the problem still sort of remains?
Jorn Kersten: Thank you. I hope I am audible. I'm a bit closer to the speaker. Yes, that actually, that's an accounting impact from a change in the Uttar Pradesh , where the excise
is no longer part of our P&L because we are no longer liable for paying the excise.
So it's a change in who's liable for paying excise and nothing else but that. And
that's the full change in our P&L in terms of the difference between net sales and
gro

ss revenue. So that's one.
On the receivables, yes, we see 2 main items, which is, one, there's still an effect of Telangana there if we compare it versus last year in terms of the aging of the inventory -- sorry, the aging of the receivables.
And secondly, we see also an increase in preparing for a season where we grow more inventories in the corporation markets, which leads to a temporary increase in our receivables because the collection happens only after we dispatch further
into the market. So we did expect also a temporary peak in receivables, which we
also expect to recover.

Overall, I think, as Vivek mentioned earlier, the conversation with Telangana
remains ongoing. And it's our main priority now after we've got the first pricing to make sure that we also recover the cash. I think we can say that we are in a better
space than where we were a quarter ago. But it remains a high priority to make
sure that we recover it.
For these other markets, we do expect that as the season continues, we will recover
that peak in receivables over the next couple of weeks and months.
Moderator: The next question is from the line of Dhiraj Mistry from ICICI Securities.
Dhiraj Mistry: So first question is regarding capex . So, when do we expect that the U.P. capex
would be done , and when it would be materially contributing to the volume
numbers? And what would be the capacity of this plant?
Vivek Gupta: I think the U.P. is going to take 2 years minimum to build. So, without that, we
cannot count on extra volumes. And we already shared there is a range of capacities
we are looking at , from 1.5 million to 3 million, 3.5 million. So , depending on the
demand at that point of time, the policy, we can be modular there.
And we have already started investing in the capex . As I said, we already got
approval for the land and we have to make some deposits. We already started placing some orders working with
architectures and all. So the work is going on, but it will take minimum 2 years to complete the project.
Dhiraj Mistry: So the reason why I'm asking is that, during the peak summer season, we have seen multiple times there is a capacity constraint which we faced. And given that now
the summer season has been going on, what would be the constraint because of the
capacity? And whether it would materially restrict the volume growth in the
current quarter?
Vivek Gupta: There is some restriction. In some states, there is a concern. I also talked about reduction in demand because of excise duties increase and pricing increase as well. So we are balancing. We also transferring stock from one state to another, which has an i mpact on margins, but we are taking those calls. We're also strengthening
our partnership with our partners contract manufacturers .
I think as Jorn said that, as we increase the volumes, while the profitability looks very similar, but there is an impact on the margin. So we are making all those calls. Yes, do we have supply issues in a few states? So I would say, yes.. We did peak

planning, but there are a couple of things. But I would say we are in a much better
shape than the last year.
But as the trends on the category growth normalizes, we'll continue to invest capex
to improve our capacity. And we are making a lot of strategic calls, which we will hear sooner about those calls as well.
Jorn Kersten: Yes. And if I can add something here, as Vivek mentioned earlier on that it's about the network design, which is -- which consists of many different pieces. Part of
which is investing in the capacity expansion, partnering up with network partners as well a s planning and logistics , and warehousing, et c. So we're working on all
these pieces to make sure that while we are building capacity , we will be able to
supply the market.
So it'

s a consistent trade -off where we also look at margins versus growth, again, to really build the category. So we will continue to make these trade -offs also when our own capacity becomes on- stream. And it's a conversation that we have if we look across the whole of India, there's still excess capacity. So it is really a matter of deciding what is the trade -off between maybe incurring lower margins on the short term but really growing the volume so that at the moment that we get capacity on stream we can also benefit from the margin expansion.

So the trade -off will be part of our continuous business for the short term, but also for the long term.

Dhiraj Mistry: And a second question related to that. so , what would be your current capacity in terms of hectolitres , and what can we expect capex for next 2 to 3 years period?

Jorn Kersten: Sorry, could you repeat the question?

Dhiraj Mistry: Yes. So what would be your current capacity in terms of hectolitres , and what would be the capex on over next 2 to 3 years period?

Vivek Gupta: Yes. Look, as I said, we are adding more capacity. And the current hectolitre capacity is a function of the capacity in our own breweries , and the negotiated capacity is there with the contract breweries. So I cannot give you the exact numbers, because it's easy for me to give you numbers, but there is also commercial contacts attached to it. But it is safer to say our capex investment rate is going up in multiples versus the previous years, so we already announced a massive investment in U.P. We already talked about making capex investment in our breweries.

We are already -- I don't know if we shared with you view, we are already setting up a can line in Maharashtra in one of the breweries , which will be ready by the next season , which will give us a significant leverage on our can volumes as well. So that is another capex investment we have made.

We are investing Capex in Coolers , which is the last Capex investment. So I can only say that the capex investment is going to grow in multiples , and we just need to do a better job of execution and making sure the momentum we see in the business continues to happen. Jorn, anything you want to add there?

Jorn Kersten: No, I think again this is a trade -off between investing in commercial capex to really grow the demand and make sure that we serve consumers as well , so from the sourcing and where we also balance to really service the trends that we see. So I think Vivek mentioned cans, when we see that there is momentum on cans. So we need to make sure that we are ready to supply that. So we'll continue to do that as we move along.

Dhiraj Mistry: And sir, the last question is related to price hike. So other than Telangana, is there any state where we are expecting price hike or likely to already taken the price hike?

Vivek Gupta: We have taken pricing in a few markets. Rajasthan , there has been a price increase which has been effective April. We have taken in Orissa, the price increase. U.P., we have taken a pricing in U.P. , so there are few markets where the pricing has happened.

We also -- at the same time we are also investing in the business. Like in Karnataka , we did not take a pricing increase on Kingfisher Strong despite the duty increase last time. So we are balancing our investment choices there. But yet there have been few states where we got the price increase.

Dhiraj Mistry: If possible , can you quantify that?

Vivek Gupta: Quantify in terms of -- we can quantify that in the next quarter. But right now I don't have the numbers with me. So in U.P., our volume versus the price mix has been 4%. We grew 5% , and price mix has been 4%. We're hoping to maintain that for next few quarters.

Jorn Kersten: If you look at the current quarter , there is quite a good balance between volume growth

and the contribution from price mix on net sales. And like Vivek mentioned, we go case by case and state by state , where we see how we best serve

the consumer and grow the category. So there will be again here a balanced trade - off on where we take pricing and where do we invest in the market.

Very much also speaking to earlier comments around the importance of

affordability and that we really want to be the category maker , which means that
we need to keep a very close eye on what consumer wants and needs, while also safeguarding our margin. So it's going to be a case by case decision. Overall our
aim is to maintain sort of a similar trajectory with the balance between volume
growth and contributions from price and mix.
Moderator: The next question is from the line of Vanshika Gupta from JRK Stockbroking.
Vanshika Gupta: I just have one question. I know we've spoken about capex being multiple. We're
doing it in the brewery in cans, in coolers. So I just wondered if we could quantify
that in numbers over 2 to 3 years. What is the capex that we're investing in? And
we plan to use debt to finance some of this capex if it is substantial. That will be
the follow -up.
Jorn Kersten: Yes. I'm not going to comment exactly on the capex numbers. I think it's been a
continuous conversations we had also in these calls where it's been highlighted that over the previous years, we were falling slightly behind in terms of capex in terms
of looking at the percentage of revenue. So that's where this comes in, where we plan to significantly increase and also make sure that we have the structure in place to make sure that we are able to finance that.
I think over the past year, we've also learned a lot from the situation in Telangana ,
and looking at how does that work for our cash flow, similar to peak season planning, the question that we had earlier on receivables. I think these are all things that have happened now but continue to be part of this market for years to come.
So that means that we also want to invest, which is clearly part of the plan that we
need to make sure that we have the structure in place to be able to do so.
Moderator: Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to Mr. Vivek Gupta for closing comments.
Vivek Gupta: Thank you for the engagement and thank you for the questions. As I always summarize, I think we feel good that the choices we made of being category maker in both premium and mainstream, winning in all stores, making sure we leverage our brewery network, w e drive cost mindset and we really have a winning culture.
I think we are all -- we think we are on the right track.

I think this was the sixth consecutive quarter of double -digit growth on the
business. Our premium business is doing extremely well. We are building design
capabilities that will help us to win in future years, not only tactical volume. And
I feel pretty good that I'm hoping this momentum will continue.
We will continue to engage with the government and set of governments in every
state to make sure we keep bringing the thought leadership on how do we grow the
category. We need to do a lot more work on backward integration with our
vendors, suppliers while we capture this growth market by market.
There are also volatilities in the market, which we don't know how they will impact
and how they will pace out. But I would say that UBL is much better geared to meet the category growth and the momentum.
So thank you for your support. And thank you for al l your questions.
Moderator: With that, we conclude today's conference call. Thank you for joining us. And you may now disconnect your lines.
Thank you.
****

Call: Oct 2025

“United Breweries Limited
Q2 FY '26 Earnings Conference Call ”
October 30, 202 5

MANAGEMENT : MR. VIVEK GUPTA – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – UNITED BREWERIES LIMITED
MR. JORN KERSTEN – CHIEF FINANCIAL OFFICER – UNITED BREWERIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the United Breweries Limited Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star a nd then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jorn Kersten, CFO. Thank you, and over to you, sir.

Jorn Kersten: Thank you very much. Good afternoon, everyone, and thank you for joining this update for the second quarter and the first half of full year 2026. Welcome to the call. As you are used to, we'll give a quick introduction, I'll hand over to Vivek for some, a bit more background and then we open up for Q&A. But to start with an opening comment, I think as everybody is very much aware, this past quarter saw an unusually strong monsoon, which dampened consumption across multiple categories and defin itely also in beer.
But despite the weather -driven challenges, we have outperformed the broader beer market, where we also remain resilient and on track with our commercial plan and execution. In Q2, you would have seen that our volumes declined versus the previous year by ap proximately 3%, which is a tale of multiple parts. I think in part of our business, we still see robust growth in states such as Maharashtra and Andhra Pradesh on the back of interventions, Tamil Nadu, Assam also there, we still see growth in the business .
Then there's definitely a part, roughly 1/3 of the business heavily impacted by the weather. I think about, for instance, Rajasthan. And then also, there's a part where we do see an impact from affordability in beer that's also impacting part of our busine ss.
So, all in all, it's a mixed bag where we definitely still see growth, but also a quarter where the overall growth of the category was muted. Now I do want to call out that our premium segment continued to do really well with volumes up 17% and also meaningful market share gains led by the portfolio of Kingfisher Ultra and Ultra Max, but a lso Heineken Silver doing well.
And we think this really highlights the success of the premiumization strategy that we continue to follow, and it's an ongoing shift in consumer preference towards more high-end offerings.
Now we also understand that at face value, the financial results may not seem too exciting, but we want to stress that these also reflect that we continue to believe in the growth for the industry in India, the beer industry in India and that we believe in our role as the market shaper, and we will continue to invest beh ind our brands accordingly.
Even though net sales declined by 3% in the quarter, nearly full offsetting single -digit price and mix improvements because of an adverse state mix and a source mix. We do see that our year - to-date results remain solid with net sales up by 7%, thanks to favorable volume as well as the pricing that we've been able to tak e. Now gross margin for the quarter at 42.8% was slightly below last year due to mix effects, but sequentially better than Q1. And our commitment to

building brands and portfolio was clearly there with brand investments rising by over 20% year - on-year.
However, we do see that the combination of increased spending behind our brands as well as the temporary deleverage from lower volumes has a pronounced impact on profitability, which is reflected in the EBIT number for the quarter. On a half year basis, al so EBIT was down 18%, which reflects the pressures that we saw in Q2.
Now we reflect a bit further on the cost base, it's clear that the ongoing and elevated investments behind t

he brand as well as our strategic initiatives, which we think are essential for long -term brand equity building, alongside with fixed costs that wer e less absorbed due to the softer top line and softer volumes that weighed in our operating profit and overall profitability for the quarter.
And we do absolutely recognize that optimizing our cost structure is critical, especially in a period where we continue to see costs increasing, where we have limited ability to price, and we
see that volume is volatile, even though we still believe that long term, the growth will be there.
To address this, we are accelerating some of our productivity and efficiency measures, which include network optimizations, for instance, like we have announced the closure of our brewery in Mangalore. Also, we will further streamline trade spends and other organizational costs to make sure that we stay on track for the margin trajectory and that we ensure sustainable profit growth going forward.
I further like to highlight that on the capex spend, we continue as well with this quarter seeing the first significant spend s on the greenfield brewery in Uttar Pradesh as well as us continuing to spend behind commercial investments such as visi -coolers in the trade.
Now looking ahead, a little bit before I hand over to Vivek. We do anticipate that the category will come back to growth with an improving consumer sentiment towards beer after the rains, and we do remain confident in long-term growth prospects of the beer category in India.
Our commitment to investing behind our brands, our people as well as capabilities will put us in the right position to capture the future opportunities of the market, but we will have to maintain a disciplined approach to cost and profitability to make sur e that we build a sustainable business.
I'll hand over to Vivek for his comments before we move to the Q&A.
Vivek Gupta: Thanks, Jorn. I'm assuming moderator, you can hear me?
Moderator: Yes, we can hear you loud and clear , sir.
Vivek Gupta: Okay. T hanks and good afternoon, everyone. I know you'll have a lot of questions on this, but I think Jorn has captured it pretty well. I'll just add a few things. I think, first of all, as we look at

the overall quarter results, and I think we are already one month into when the results were closed. So, you know, we are already into end of October right now.
I think , you know, there are a few things I would say. First of all, we are absolutely clear and consistent that our strategy is working. The premiumization, despite having a big monsoon issue, we are growing at 17%. Our brand power, which is a true measure of how the consum er is perceiving the brand , has gone up.
We actually have hit the highest ever brand power on Ultra and Kingfisher, which gives us confidence that our brands have become stronger. Our coolers penetration is now around 37,000 stores. We have added 37,000 coolers, which used to be around 15,000. So , we continued the execution of, because we believe in what is cold is going to be get sold. You know, our focus on execution and focus on strategic changes is working.
Maharashtra is a prime example where our business actually grew more than double digit. So as Jorn mentioned, one-third of our business actually grew more than 14% growth rate in the states where we have done strategic interventions. We got impacted by rains because the places which got flooded, we had our own breweries. While we didn't want to create a lot of noise about i t, three of our breweries got flooded during this time, which we had to spend money on repair and maintenance to bring them back, safet y of our people. In those states, the category also went down by 2 0%.
So, we got -- UBL got disproportionately impacted because our own breweries got flooded and we had to rely a lot on contract brewers

to still serve the market. So, the way we look at this, you know, we had two choices when all of this happened during the quarter. One is to say, okay,
let's pull back all the investments because, you know, there is a big crisis or to say, look, let's stay consistent on what we really truly believe in. It's a quarter where we will get impacted because of the deleverage, but we have to do the right thing.

So, I think looking at overall plan, we are a bit disappointed on the overall financial result. But I think it's just a quarter because the way we look at it, we are still on track for our overall plan. We have accelerated our productivity and some of the other initiatives which we are doing to make sure that we overcome some of the big headwinds we are seeing in terms of commodity pricing and other areas.
So, I think, and we have also looked at how we are going to further convert some of our fixed cost into a variable cost. So, we have probably more agility next time when, you know,
something like this happens because the momentum on the category was there and the rains this time in many states were very unusual when you see the data.
So, I think overall, I would say , you know, it's a mixed result, but nothing which makes us really worried that the work we are doing, the investments we are doing, we should not continue to make. And that's how we are seeing . I think category did come back in September with almost

4% to 5% growth after a double -digit sort of decline in July, August. And we are still in October. So, we feel confident that there will be a bounce back.
Having said that, as I mentioned in my two previous calls, the number one concern I continue to have is affordability. We have made a lot of progress in states like Maharashtra, where beer taxes did not go up. Even in Meghalaya, where beer actually taxes went down. We hope it happens in some other states.
We are in deep engagement with the governments of Orissa, Karnataka, Telangana, where the -
- and even West Bengal, where through Brewers Association of India and our own corporate affairs effort because this whole cycle of beer taxation increase leading to double-digit category decline is not sustainable. And, but we are in active conversations through the Brewers Association of India and Corporate Affairs.
And we really hope some of the good success stories of Maharashtra and other states and the revenue heard, which government is getting about beer will lead to some kind of a change over due course of time. So, with this, I'll hand over back to the moderator.
Moderator: Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to please use handsets while asking a question. Ladies and gentlemen, we will now wait for a moment while the question queue assembles. Our first question comes from the line of Latika Chopra from JP Morgan. Please go ahead.
Latika Chopra: Hi, team. you mentioned you know, potentially you saw September month being a 4% to 5% .
Moderator: Latika, unable to hear the question .
Management: Can you hear her?
Moderator: No, not yet.
Management: No, I can't hear her.
Latika Chopra: Can you hear me?
Moderator: Latika, your line is unmuted. You may proceed with your question.
Latika Chopra: Hi. Can you hear me now? All right.
Moderator: Ladies and gentlemen, we do not seem to be getting a response from the current participant. We will proceed to the next questionnaire . The next question comes from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: Yes, hi. Good afternoon. Can you hear me?

Hello?
Moderator: Yes, you are audible, sir.
Harit Kapoor: Yes, hi. So I just had a couple of questions. You know, one was there have been certain challenges apart from the season also from a state level perspective. If you could just give us a sense of , you know, the second half of the year in terms of some of the deep declines in certain states, how do you expect that to play out over the next 2, 3 quarters? How much of it comes in the base? How much of it , you know, can take -- be taken care of by a normal season? That will be very helpful.
Vivek Gupta: Yes. Thanks, Harit. I think you are probably asking about the states where category is declining big time, right?
Harit Kapoor: That's right. That's right. That's right.
Vivek Gupta: So, I would say -- so let me focus on the -- let me focus on four states. It's primarily where we are seeing a significant decline. The number one is Karnataka. So, we are seeing a double-digit decline in Karnataka in the

category.
I think what we are seeing is because in July this year, the pricing came back on economy brands because there was a taxation where the economy brands cannot be sold below a certain price. Now that was revised in July. We think that we will start cycling that, you know, very soon. And there was another tax revision, which happened in October or September last year, which we'll be cycling on.
Second is I also, we also believe that the whole dispute which was there with the retailers because duty is completely going up, you know, will also stabilize. And we start seeing Karnataka actually in a positive territory sometime in -- from March next year. Also, there is the impact of rains in Karnataka, which has been significant this year, continues going, but we are discounting that at this stage.
Second category -- the second place where the category is declining is Orissa. And there has been a weather impact there and also a taxation impact versus spirit. We know that Brewers Association of India and myself, we have been clearly communicating to the government the loss of reve nue and impact on the beer industry. We are hoping that the government will look at it positively. When will they do the policy? Anyone's guess. We have to , you know, we have to wait for, at least , you know, for them to make a call.
At the same time, we have made a very strategic intervention towards the end of this quarter. We actually have launched the economy brand, London Pilsner in Orissa. And we have already started getting very good distribution and initial offtake. It happened towards the end of the quarter. So, we should also start seeing that mobilizing the category growth.

In West Bengal, the category is declining double -digit . I don't expect much to change there. Other than there also, we have launched a very, very prominent local beer Kalyani Black Label, which is actually the number one beer in Singapore of Indian beer . But it used to be a big beer brand in West Bengal pre -COVID. And during COVID simplification, it was removed.
Now we have actually launched it, and we are also getting very good response. So, what will that do to the category, we have to still see, but we feel positive about that. But structurally, I'm not very hopeful in West Bengal because the policy was already declared recently.
The fourth one is Telangana, where we are seeing a double-digit decline, but some of it is exaggerated because of the licensing of the retailer because the government has auctioned the retail for 3 years now. Yesterday or day before, that process is completed and that new transition to retail will happen in December. So, we will expect some disruption in Telangana in November, but then we will have a pipeline over December, January.
So, I would say that a lot of work being done there. But we are not only relying, at least a s a UBL, we are not relyi

ng only on the government. We are making our portfolio interventions to really drive the affordability in the market and give consumers what they are looking for. So that's the update there.
Harit Kapoor: Great. That's very helpful. I just had one more question, which was on the stepping up of the productivity initiatives. So , maybe if you could just give a , maybe if Jorn or yourself could just give a little bit of a sense of , you know, what are you kind of, what are the areas in which you are actually stepping this up before time? And what do you expect as the likely outcome in terms of output on account of this, either qualitatively or quantitatively, that will help. Thank you.
Vivek Gupta: You're talking about productivity initiatives?
Harit Kapoor: That's right. That's right. That's right.
Vivek Gupta: Yes. Jorn, do you want to answer that first?
Jorn Kersten: Yes. No, I'll go first. Look, I think it's very evident in the industry that we are in and the context that we are in with limited ability to price. This is always top of our mind. As you know, we have been investing behind the organization, behind capabiliti es, behind the brands over the past quarters, 18 months. And now we also need to streamline some of these things, which means that we also look at our, for instance, our network footprint.
So, how can we streamline that? The example of the closure of our Mangalore brewery is one example. In the future organization, we're also looking into it, which doesn't mean that we take overnight action. But as we further expand the business and as the business continues to grow, we really look at how do we do that in the right way. And I think it's also across items like, for instance, the bottle returns , where we have been making considerable progress, and we see that there's still headroom there.

So, we're also setting up a separate project to make sure that we accelerate the speed of returns.
So, I think in the end, across the P&L, we continue to look for upsides to make sure that we increase the productivity, better it's based on output, better returns on investment or better ratios on volumes or financials, doesn't really matter. It's across the board.
Harit Kapoor: Good. Good. Thanks for this. I'll get back in the queue. Thank you very much. Wish you all the best.
Jorn Kersten: Thank you.
Moderator: Thank you. Our next question comes from the line of Avnish Roy from Nuvama. Please go ahead.
Avnish Roy : Yes. Thanks. My first question is on the competition, etcetera. So the craft player is facing a lot of crisis currently, almost like an existential crisis. So if you could tell us, last few quarters anyway, the results of that craft player has been quite weak. My specific question is, in which markets do you see more opportunity to get share from this specific player? Anyway, you are taking market share, I understand that. But from this specific player, are you able to get a specific market shar e in which place? That was the first question.
Vivek Gupta : Yes. Avnish, like in Andhra Pradesh, where the specific player you are referring to, we have been able to gain good share. We're also able to gain the shares across. Actually, if you actually think about it, we never look at our business versus one specific player, but our pr emium business is actually growing 17% and we are growing shares on that premium business. In some of the states, our premium business is up 40%, 60%.
I would also say our Heineken brand, Heineken Silver expansion, which we did is now up 34% at the country level. So, I would say that we are growing shares of premium from all the brands. We are taking from this particular brand. We are taking from the previous brands or the other market-leading brands on the premium business.
I'm also happy to share that, Avnish, that we have been talking about that

improving our margins on premium business through the return bottles. But by end of September, we have actually significantly improved localization of production on large part of our premium portfolio, especially Ultra, Ultra Max, and we are, actually, one of the acceleration project we have done is to further accelerate that by end of this quarter so that from at least new year, we will see a good increase in our gross margins on our premium portfolio as well.
So, I think it's a combination of both. I don't want to comment specifically on the states where we don't have data on this particular brand. But yes, we are gaining share from all the other brands as well on premium.

Avnish Roy: Sure. My second question was on your more promising states currently. So, Maharashtra and Meghalaya, there was some audio issue, and so I could not fully capture what you said on Maharashtra. So, what we have picked up is in Maharashtra, spirits industry i s seeing mid -single - digit kind of a -- mid-teens kind of a volume decline, so around, say, 13%, 14%.
So, is your growth in Maharashtra also similar mid -teens kind of growth, if you could clarify? And do you see that sustaining if everything remains same in terms of, say, the winter, etcetera, Anyway, Maharashtra winter is not much of a challenge. Similarl y, for Meghalaya, where you spoke of some cut, what has been the growth there?
Vivek Gupta : Yes, Avnish, on Maharashtra, we actually had, I would say, mid -teens growth in the quarter itself. We believe that growth will accelerate not only sustain. We have invested as UBL significant on distributary design, on in-store fundamentals, on coverage, on resources and we kept the foot -- feet on the accelerator.
We, in fact, also have improved the capacity of our brewing and our canning lines in Maharashtra by actually investing in repair and maintenance so that we can actually get more output for those breweries as well. So we actually are pretty confident that i f there's no change in taxation, we will continue this momentum and we are in the best position to not only continue the momentum, but also grow shares in Maharashtra, Mumbai belt.
On Meghalaya, the change happened recently, very early on October. And I think it's too early to give data, but I think we have taken a price reduction on our Kingfisher brand based on the duty reduction to offer best value to the consumer. We know the las t time when we did it in Assam, our business has doubled there. So, we will see what happens once the implementation happen over the next few months.
Avnish Roy: Sure. A quick last question. You did discuss on Karnataka and Telangana. So specific question here is in Karnataka, when I combine the beer tax hike and the beer double -digit decline, the government tax collection from beer industry, is it a good increase? So, if it is a good increase, then the political, the policy advocacy may not be that relevant for government. So, I wanted to

understand that part.
Second is on Telangana, you got a very good price hike. So now you also discussed on some of the changes which are happening in terms of distribution, licensing, etcetera. But purely from a price hike perspective, in hindsight, yes, margins improved. But i n terms of volume, was it a challenge? Clearly, ultimately, customer in India is very, very price focused, which we saw in Maharashtra. So, if you could discuss that also. Thank you.
Vivek Gupta : Yes. Avnish, I'll start with the second one. Absolutely, I think the consumer price went much more than the price we got in our EBP increase. And that's why our consistent message in Telangana is they need to reduce taxes, because the net realization, what we get as a manufacturer and the price increase what consumer had to pay has been significantly high.

So, there has been a negative category trend because of the volume increase, which got exaggerated in last quarter because of the monsoons. Many of the Telangana had a higher range and also because of now retail licensing. So, our business actually -- the category actually went down, I think, almost 20% in Telangana during July, August, September.
Despite that decline, we grew shares in Telangana because our brand power is very strong and we continue to invest in brand. So, we are consistently representing again to the government that beer is a big part of Telangana and the math won't work if the ca tegory declines high double digits despite the increase. But so there is -- there are -- they still see some revenue growth, but I think we have to consistently work on consumer value and getting the taxation. In case of Karnataka…
Jorn Kersten: Yes. It’s…
Vivek Gupta : That there is a revenue, sorry, go ahead, Avnish.
Jorn Kersten: Yes. Vivek, before you go to Karnataka and Telangana, if I can just add one thing. We got a price hike earlier this year. But I just want to remind everyone that, that price hike was roughly half of the price hike that we did ask, because this was the first price increase in close to five years in Telangana, which makes the business more feasible, but definitely not where we want to be.
So, the combination of fact is still that business is tough in Telangana. But we also think that both the consumer is not getting to where we want them to be in terms of affordability. The category is under pressure, but also from a feasibility of the busi ness, still things need to happen in Telangana. So, we will continue to have that conversation as well on pricing -- on further pricing in Telangana. Sorry to interrupt you Vivek, I just wanted to make sure that...
Vivek Gupta : No. No. I think it's a great point, absolutely. I think on Karnataka, look, our data suggests that government is actually losing revenue on beer, and they are not able to make up that full loss through spirits also. So we are, again, through Brewers Associ ation of India, we are consistently representing that Karnataka has been capital -- the beer capital of India that consistent increase in taxation since 2020 -- late 2023 has impacted the beer category significantly.
It was growing 8% CAGR. Now it is down, we estimate to be down around 14%, 15%. And this needs a significant review. So, we are in a consistent conversation on this. But on your point, government is seeing a revenue loss now.
Avnish Roy: Understood. That's all from my side. Thanks a lot.
Moderator: Thank you. We have our next question from the line of Latika Chopra from JPMorgan. Please go ahead.
Latika Chopra : Hi. I hope you can hear me now.

Jorn Kersten : Yes. We can.
Vivek Gupta : Yes, Latika.
Latika Chopra : All right. A couple of questions. The first one was on your comment that in the September month, you saw volume growth reviving to 4% to 5%. Just wanted to get a check -- sense check from you. Do you expect this to be a level of more normalized volume grow th for you or do you think depending on what we've seen in October, that the second half would fare better than this range? What's your confidence level? I know there are different state mixes, but what's your best guess?
Vivek Gupta : I think structurally, we think that the beer category should grow again, there's no reason why it should not grow 5% to 6%. If you look at the last two years CAGR is 5%. I think we had a weather anomaly this time and affordability in certain markets. As I said that in certain markets, the category is picking pace like Maharashtra is a good example. We have to wait and see in Meghalaya.
Recently, there is an announcement that Manipur is opening up. So, hopefully, that will also add to new consumers, new category to do that. We are working our plans assumin

g the category
will grow. But as I said, we have to work a lot harder to get that category growth.
So, in no way we are saying it is a dead game and it's going to be 1% or 2%. But weather this time has been a problem. I think there have been talks about the winter is going to be severe. We don't know the impact of that, but we think that it is cyclical, not structural. But getting into next year, for example, if I fast forward a quarter, we expect the category growth to be in the range of 5.5%, 6%.

Latika Chopra: Sure, Thank you. The second question was around competitive dynamics. You know your two key peers have also reported September qu arter performance. And it seems, you know, they probably fared a little better than you. One registered 1% decline in volume and the other mentioned double -digit growth in the quarter. Any possible reasons for the growth divergence?
Is it largely attribu ted to the different state mix o r do you see any structural risk on competitive aspects? I'm talking about th e mainstream portfolio included her e?

Jorn Kersten: Yes. Let me take up this one.

Vivek Gupta: I understand that. Y es Jorn, Why don't you answer that, yes?

Jorn Kersten: Yes, yes. I think -- there's, I mean, there will always be some differences in states and which states are reported and which not. I think here we also need to make sure that we look at it like -for-like because if we look at our Heineken reporting, we also reported mid single -digit revenue growth. So, we would have to look at that on a like -for-like basis.

What we do know, however, is that we did gain share in the quarter based on sellout, so on secondary sales, where we have been broadly flat. And we did have in our case, we did have a difference between sell -in and sell -out. And here, we're looking at sell -in data because of stock building post the election last year, which i mpacted UBL disproportionately.
So, our Q2 last year was high on sell -in to pick up after elections. So, we're cycling that disproportionately versus comparable numbers. So, I think those are the main items that, that impact the quarter in terms of our comparables.

Vivek Gupta: Thank you. Kersten just to add -- sorry, Latika, just to add to that, Jorn, on your point . I think, you know, I understand some of our competitors have reported this. But we are also seeing , you know, some of the activities in the market today, which doesn't make sense to us from an economic point of view. We are seeing some pricing or promotions or economy launches, which if you look at from a bottom line, we just cannot see how the math can work.
So, we, I also think that some of it could be a reaction to the decline the category saw in the month where they put the pipeline on the quarter or whatever is there, but it doesn't make sense to me, but why is it happening. But our data clearly suggests a nd we have quite robust system that we grew almost 100 basis points of share nationally on our total portf olio in this quarter.
So, it's -- we are quite okay with that.

Latika Chopra: And this is Y- o-Y gain in market share, Vivek ?

Vivek Gupta: Sorry.

Latika Chopra: Is this a Y-o -Y?

Vivek Gupta: Yes, year -on-year -- year-on-year in this.

Latika Chopra: Year -on-year. Okay. All right. Thank you. That’s.

Vivek Gupta: And e ven quarter -on-quarter, we grew the shares. Even quarter -on-quarter, we grew the shares because during season, our shares usually drop because of capacity. So even quarter -on-quarter, we grew the sales.

Latika Chopra: Understood. And the last piece was on margins. You know I heard you mentioning about some headwinds on commodity prices. I didn't really understand it very clearly. So, I wanted to check with you, you know, what is the sense on your key raw material prices or w hat is the inflation that you're witnessing on Barley?
Also on

glass, if you co uld give us a little more color on, you know, the new bottle salience as premium continues to grow faster. And any comfort or any guidance you want to share on how are you thinking about building the margin bridge back? You know, w hen is there a path towards moving to double -digit EBITDA margins, assuming, you know, we work with normalized weather conditions? Thank you.

Jorn Kersten: Yes, yes. So, to start with the -- with the new bottle infusion, we 're still making progress there. Even though, like you said, it's muted by the growth on premium. And like Vivek mentioned -- earlier in the call, we do see somewhere if we see through towards next year, which we do see that there's options in pockets where we get that scale to also see accretive margins on the premium portfolio, which we've mentioned on previous quarters that is depending on reaching a certain scale of returnable bottles and we see that now picking up.

So, while we still see there's headroom in the overall bottle collection as the continuous progress that we make and we do make considerable progress ver sus the same quarter last year and w e do see that, that's still continuing. If I look at the commodity pricing or other input materials, there's a few items that I would like to call out.

One, first and foremost, I don't think there's a lot of surprises on the short term. We see that cans are in shortage, I think across India, both for beer, but also for adjacent categories and industries, with also an exposure to aluminum pricing. So, we d o see a hike in cans as a pricing, but also as a salience, which is something that we need to counter and which we also take into account into our future pricing strategies.

On the hops, we already have seen communicated pricing for next year from a government point of view, which will lead to a high single -digit price increase on H ops , sorry, Malt is that Barley mostly. So, on Barley, we see that there will be a price hike, but that was anticipated. So, no surprises there.

On bottles, it's still looking quite okay in like -for-likes as it has been over the past quarters. So again, that's a bit of a mixed bag, but what I would like to call out here is that there's no surprises that we haven't foreseen. In the margin mix and bu ilding it back, bringing it back, I think this is still very much the story of premiumization, which will continue.

And like I said, we see some green shoots there coming our way in the next couple of quarters.

There also the localization of premium from a production footprint will start to add some value there as well. That being said, since we also see the economy seg ment in m ultiple markets now picking up.

We need to make sure that we balance moving forward between really shaping the market across different segments. So, both on the premium side as well as on the mainstream and the economy side versus building long-term margins. We keep a very close eye on how our gross margins will develop and take whatever action is needed to make sure that we remain on track.

Latika Chopra: All right. Thank you and all the best.

Jorn Kersten: Thank you.

Moderator: Thank you. O ur next question comes from t he line of Krishnan Sambamoorthy from Nirmal Bang Institutional Equities . Please go ahead.

Krishnan Sambamoorthy : Hi, Vivek and Jorn. W ould it -- would you be able to quantify how significant the value segment is, which is represented by Hunter, LP and Kalyani Black Label, either in terms of annualized number of cases or in terms of category, the subsegment sales to the overall category?

Vivek Gupta: See the -- thanks for asking question. See, the segment is still very small, but in certain states, it's big. So, for example, in Karnataka the segment is actually one-third of the catego

ry. It used to be 40% of the category at one stage. So, it is now one -third of the category, significant in Karnataka.

In West Bengal, it is small, b ut it is growing there. As I said, affordability is an issue. In many, many states, you can't even have an economy brand because of the taxation structure. So, I think, you know, it is only going to grow if the -- if the excise duties and taxation and affordability issues we are seeing continues and persist.

What we are trying to do is we are trying to cost engineer, reverse engineer here, look at because we have a unique strength of breweries. We have local production in many of these states. So, we at least are in the best position to actually offer consumer s a choice wherever possible.

So, in Maharashtra, we offer with London Pilsner, which is growing, which has actually accelerated after the recent duty chang es. We are just trying in Odisha off to a good start. We are doing in West Bengal with Kalyani Label. We have Bullet and London Pilsner again in Karnataka. And then we have UB Exports, which is an affordable economy there. So, we are doing where the equation is and the financials make sense and where we can actually design the premium. So, it's a small segment, but it is growing seg ment because of the affordability issue.

Krishnan Sambamoorthy : Thanks Vivek. Just a follow -up to that. It's been over a year since you've launched LP in Karnataka. I know the category overall broadly has been declining by double digits, but any traction that you've been able to take through LP in Karnataka in the value segment?

Vivek Gupta: So, we, initially when we launched, we got very good traction. But after the category price points increased, we tried to simplify the choices for the consumer because the price band between the brands narrowed down quite a lot. So, I think we are, and thi s gave us the confidence to expand LP in some of the other states because we have a formula, we have a model which works there.

But Karnataka issue meant that the price in the category increased so much. So, we had to limit our offering, and we got all those consumers in the brands because in Karnataka, we are growing shares. We are not happy about it because we want category to gr ow in Karnataka. But in the declining category, UBL is growing shares in Karnataka.

Krishnan Sambamoorthy : Okay. Just one clarification on your visi -cooler statement. You said 37,000 visi -coolers now compared to 15,000 earlier or you mentioned 37,000 incremental visi -coolers?

Vivek Gupta: No, no, 37,000 now versus 15,000 earlier.

Krishnan Sambamoorthy : Okay. And lastly, going through your state commentary, I was slightly surprised that Uttar Pradesh was not a part of the states with healthy volume growth. And given the positive developments that have happened over the last 9, 10 months, anything that you want to highlight here?

Vivek Gupta: No, I think we were in the positive growth last quarter. This quarter, not because we had a challenge in our supplies on cans. You know, a nd as I mentioned, can supplies was an issue. And we have a national footprint. So, we had to manage that. And I think that did impact our growth rate in Uttar Pradesh. But as I said, that's something we are working on to drive that. But overall, our funda mentals are very strong in Uttar Pradesh.

Our premium shares are increasing. Our premium volume is increasing. And we wish we could have supplied more in the season mode, but that's something we will take the learning and as an opportunity for coming quarters.

Krishnan Sambamoorthy : Understood. Thanks a lot.

Moderator: Thank you. Our next question comes from the line of Dhiraj Mistry from ICICI Securities. Please go ahead.

Dhiraj Mistry: Yes, hi. Good afternoon, sir. Sir, my first question is regarding capex . So, we have done significant capex . Can you quantify what would be the amount of capex in FY '26 and '27? And also related to that, if we see that the capex amount is so high, there should be an increase in cost line item also. So, does that our mid -single -digit volume growth what we have been envisaging is sufficient to mitigate that cost increase at least in the near -term perspective?

Jorn Kersten: Yes. Thanks for the question. I think in line with the plan that we meticulously follow we expect that as a percentage of our sales, capex will go up to high single digit, which is coming from mid-single digit or even a little bit below in previous years. So, we're accelerating capex , both for the footprint as well as behind commercial investments.

We do think that that's needed to support the growth in India. We also think that the impact, which will take a while to materialize, especially on the bigger projects, but we do expect that the combination of volume growth together with price and mix impa ct on the top line, wil l be able to sustain the increased asset base.

And we also, of course, in India have the combination of assets and contracted capacity. So overall, while beer is a very asset -heavy industry, in India we do have the flexibility of mix operating models with our contract partners. So that also gives us room to be flexible in how we move forward in terms of building capacity.

Dhiraj Mistry: Okay. Okay. And second question is again related to margin only. So, regarding erstwhile question that we have been increasing our product offering in economy brand to increase the affordability also to, in a way, protect volume. Again, what would be the m argin differential

between our existing product versus economy? Is it materially different? And does it come in line where we want to achieve double-digit EBITDA margin going ahead?

Vivek Gupta: I don't think we can share the specific margins, yes Jorn.

Jorn Kersten: No, but I do think it's a very valid question. Look, it's still very small. It depends on state by state. I think the economy has less impact from bottles because we can use similar bottles. So that impact we won't see. So that has a positive impact on the margin that we start with in terms of growing the economy brands.

So overall, I think when we decide state by state to also go into the economy segment, obviously, this is part of the equation. Like I said, it's mainly to be the balance between the growth in India and being, taking our position and shaping the market and being the market leader versus building a sustained business. So, we won't take decisions that incrementally impact our margins from the economy segment point of view.

Dhiraj Mistry: Okay. Thank you very much and best of luck.

Moderator: Thank you. The next question comes from the line of Mehul Desai from JM. Please go ahead.

Mehul Desai: Yes, hi. Good evening. My first question is, you said one -third of your business where

interventions were made grew by 14%. Similarly, can you quantify what is the salience of business from the four states which saw double -digit decline, I think the Karnataka, Orissa, West Bengal and Telangana?
Vivek Gupta: So, it is similar. It's around 33%, 34% business. So, one-third of our business where affordability is a challenge, one -third of the business is really doing well and one-third where we see the temporary because of the rains.
Mehul Desai: Sure. And can you quantify what was the impact of this adverse source mix in the quarter on the margins?
Vivek Gupta: Yes, Jorn, on the source mix, you can explain?
Jorn Kersten: Yes, we have some impact on source mix. I think here, it's also a question of looking like -for-like, if you want to be comparables. And we do think that is, like I mentioned earlier on the call, it is also a conscious choice where we move to contract partners in markets where we see the gr

owth.
All in all, it's a few basis points up and down, but it doesn't have much impact on margins. It does have an impact on price mix and from some interstate sales as well as we see the movements between Andhra Pradesh and Assam. So, it's a bit of a mixed bag, but overall, it's not something that impacts the margins too much in the quarter.

Mehul Desai: Okay. And sequentially, should we assume that while this quarter would be the worst in terms of state mix, source mix and sequentially, should this improve?
Jorn Kersten: It improves with the increase of our premium capabilities and the optimization of our footprint and it's something that we focus on. A gain, coming back to the continuous focus that we have on improving the margin and making sure that we're in line with the margin track that we've laid out. So yes, we do improve. We do expect that we will be able to improve. Although, again, here, we will also take the case-by-case decisions depending on whether we need to accelerate on volume and share versus going after margin.
Mehul Desai: Got it. Thank you so much. That’s it from my side.
Moderator: Ladies and gentlemen, if you wish to ask questions, you may please press star and one. We have no further questions at this time, ladies and gentlemen, I would now like to hand the conference over to Mr. Vivek Gupta for closing comments. Over to you, sir.
Vivek Gupta: No. Thank you, and thank you for joining us, and thank you for your questions. I would just say that, look, I think, as I said, we are extremely confident about the strategy. We are making sharper decisions. We are learning from this quarter. So, we don't want to come across , oh this is life as usual.
I think we have already taken some actions to further accelerate some of our localization plans, some of the productivity initiatives, being more choiceful, being very agile in turning around some of the products we talked about within a matter of weeks ve rsus the innovation, which takes time.
We have doubled down on work with consumers as our brand power is going up on our big brands like Ultra and Kingfisher . We are already thinking about, how do we sustain that momentum, what can we really do. We are very focused on , we are also quite buoyant on the success we are seeing where we are trying to do things which are in our control and make the intervention.
We are trying to expand those projects in other states, the learnings from Maharashtra, learning from UP, learning from other states as well. But the biggest bottleneck, you can call it, will continue to be affordability and taxation. And we have a long wa y to go there, and we'll continue to put effort through BAI and our resources and the data and some of you also gave us some even thought provokers on that , to continue to engage with the government. But overall, we feel positive about the outlook.
We feel that the beer category if anyone can create in India, it is going to be UBL, and we'll continue to be consistent in our effort and continue to tweak the plan and try to move, also variabilize our fixed cost , so that we are in better position to take some of the seasons where next time we are hit by some kind of a tragedy or anomaly.

Thanks, everyone. Jorn, anything from you and then we can close.
Jorn Kersten: No, I think that's it. I think, yes, as always, it remains a dynamic industry, but we're absolutely in the right position to maintain the market. So, we continue as we've done over the past quarters.
Absolutely.
Moderator: Thank you. On behalf of United Breweries Limited, that concludes this conference. Thank you

all for joining us. You may now disconnect your lines.
****